

REALIGNING OUR FUTURE



Taprobane Holdings PLC

Annual Report 2015 - 2016

Milestones

2006

SEPTEMBER: Incorporated Taprobane Holdings Limited

2009

SEPTEMBER: Acquisition of Browns Investments Limited

2010

MARCH: Commenced Corporate Finance Activities

2011

JANUARY: Commenced Margin Trading Activities

2012

MAY: Obtained listing on the Colombo Stock Exchange

NOVEMBER: Disposal of Browns Investments PLC

NOVEMBER: Acquisition of a 29% stake in Lanka Century Investments PLC

2013

SEPTEMBER: Managed largest non-bank listed debenture issue

2014

MARCH: Acquisition of Capital Trust Partners (Pvt) Limited

MARCH: Lanka Century Investments PLC becomes a subsidiary of the Group

AUGUST: Further increased stake in Lanka Century Investments PLC from 46.19% to 80.76%

2015

OCTOBER: CHC Investments (Pvt) Limited, a consortium of investors namely the Galle Face Hotel Group, textile giant - Hirdaramani Group and ARRC Capital, buy into Taprobane Holdings PLC.

REALIGNING OUR FUTURE



Annual Report 2015 - 2016

WHO WE ARE

WHAT WE DO

“A Group of companies providing a wide range of financial services ranging from financial brokerage to investment management”

Taprobane Holdings PLC was incorporated in 2006, with the vision of becoming a leading investment powerhouse by generating a large fund base and mobilizing such funds, by investing in the Government Securities market, Debt securities market, and Equity market via the support of the companies within the group. Marking our presence in the investment market as a company with integrity and honesty in its dealings, and known for our creativity in providing different combinations of risks and returns through various combinations of asset classes.

Key focus areas of our group are Inter-bank Money and Forex brokering, Stock Broking, Margin Trading and Corporate Finance.

Our multi-disciplinary approach offers our clients a comprehensive and a novel solution in achieving their objectives, through our group companies, which mark their presence in different sectors. Apart from its core businesses the Company through its subsidiaries has presence in manufacturing & exports, agriculture and real estate sectors. In the short history of the group, we have already catalogued landmark corporate finance transactions that are significant in terms of the group's future.

2	Who are we / What we do
3	Our Vision and Mission
4	Group Financial Highlights
6	Chairman's Message
8	Group Managing Director/CEO's Review
10	Chief Executive Officer's Review
11	Board of Directors
13	Corporate Governance
19	Audit Committee Report
21	Remuneration Committee Report
22	Related Party Transactions Review Committee Report

OUR VISION

To be the most recognized investment powerhouse
in the country.

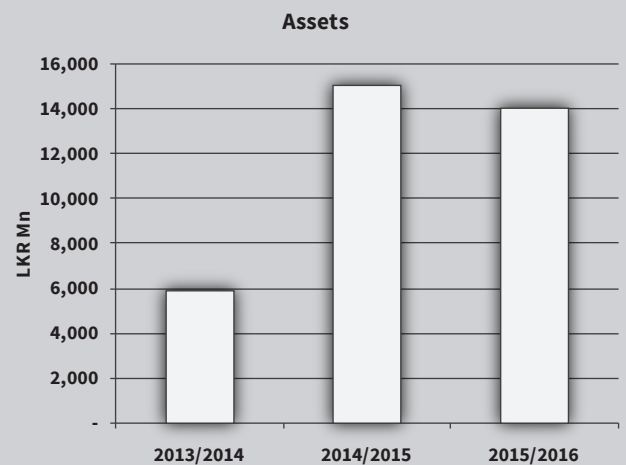
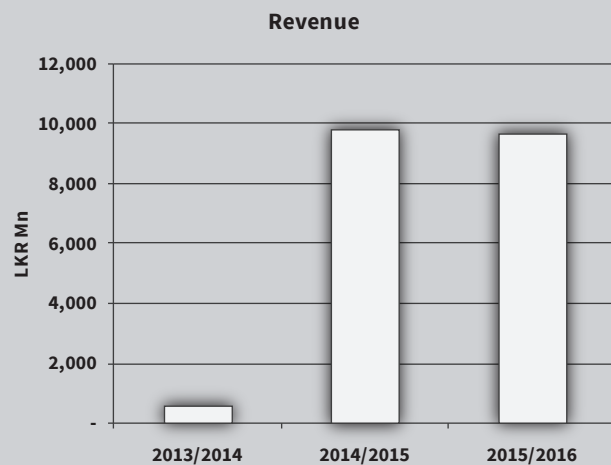
OUR MISSION

Satisfaction while optimising the return to the Company and to relentlessly search for new investment opportunities in diversified sectors so as to be the most recognised and sought after investment powerhouse in the country.

25	Annual Report of the Board of Directors on the Affairs of the Company
27	Statement of Directors' Responsibilities
28	Independent Auditors' Report
29	Statement of Profit or Loss and Other Comprehensive Income
30	Statement of Financial Position
31	Statement of Changes in Equity
32	Statement of Cash Flows
33	Notes to the Financial Statements
85	Five Year Summary of Profit or Loss and Other Comprehensive Income
86	Five Year Summary of Financial Position
87	Investor Information
88	Notice of Meeting
89	Form of Proxy

Group Financial Highlights

	2015/2016	Restated 2014/2015
INCOME STATEMENT		
Revenue (LKR Mn)	9,506	9,733
Gross Profit (LKR Mn)	1,601	1,934
Operating Profit Before depreciation, interest and tax (LKR Mn)	238	884
Finance costs (LKR Mn)	472	460
Pre-tax Profit/ (Loss) (LKR Mn)	(1,853)	269
Profit / (Loss) attributable to Ordinary Shareholders from Continuing Operations (LKR Mn)	(1,596)	214
BALANCE SHEET		
Total Assets (LKR Mn)	13,988	15,031
Borrowings (LKR Mn)	6,155	5,556
Shareholders' Funds (LKR Mn)	3,673	4,963
INVESTOR RATIOS		
Earnings per Share from continuing operations (LKR)	(1.59)	0.21
Net Assets Per Share (LKR)	3.66	5.00
Market Price Per Share (LKR)	4.00	3.90
Dividends Per Share (LKR)	-	-
KEY RATIOS		
Gross Profit Margin	16.84%	19.88%
Operating Profit Before depreciation, interest and tax margin	2.50%	9.08%
Interest Coverage Ratio (Times)	(0.08)	1.33
Debt to Equity Ratio (Times)	0.91	1.03



“RE-ENGINEERING FOR SUCCESS HAS BEGUN AND THE PROCESS HAS ALREADY YIELDED RESULTS AS WAS EVIDENT IN OUR POSITIVE FIRST QUARTER PERFORMANCE FOR THE GROUP”

... Chairman

6	Chairman’s Message
8	Group Managing Director/CEO’s Review
10	Chief Executive Officer’s Review

Chairman's Message

As the Chairman of the Group, I am pleased to present to you the annual report and the financials for the year 2015/2016. The Group posted an overall loss of Rs. 2,020 million mainly owing to a one-off mark-to-market correction of over one billion due to a change in the Browns Investment portfolio from an associate to an investment. Losses were compounded by a significant loss from the Group's leather products manufacturing arm, Ceylon Leather Products PLC (CLPL). CLPL, moved into negative territory due to a major public sector suffering in view of 2015 being an election year - resulting in a delay in the processing of large Government orders.

Despite the losses reported this year, we assure you that a significant transition is underway and we are in the process of re-structuring the businesses to achieve a sustained long term wealth creation for the stakeholders. The envisaged restructure while looking at innovative business strategies will also focus on bringing in cost efficiencies in operations through building group synergies where applicable.

“RE-ENGINEERING FOR SUCCESS HAS BEGUN AND THE PROCESS HAS ALREADY YIELDED RESULTS AS WAS EVIDENT IN OUR POSITIVE FIRST QUARTER PERFORMANCE FOR THE GROUP”

Re-engineering towards success, Galle Face Hotel Group, textile giant - Hirdaramani Group and Navitas joined hands with the Company, to bring about change focused on becoming a dynamic and robust organization, futuristic with technology advancements at the heart of change. As part of our structural change, and a key initiative, a new Group Managing Director/CEO has been appointed to bring in re-engineering strategies to build the foundation for long term sustainable performance. Plans have been drawn up to bring in long term value for our shareholders and I am pleased to state that re-engineering for success has begun and the process has already yielded results as was evident in our positive first quarter performance for the group. The Group has a presence in the global arena as a manufacturing and export company in textiles, footwear and porcelain catering to globally renowned brands in textiles, while being the market leaders for porcelain in Sri Lanka with a proven track record for its success in the bond and money markets. However, in light of economic and financial headwinds in the global economy as well as at home, there is a growing need to realign our markets and businesses. With reputed brands in our possession and the pathway set for future earnings potential, there is a lot more to do in terms of improving our market share and due emphasis has been given on brand repositioning to give customers a new experience with our products.

“...DUE EMPHASIS HAS BEEN GIVEN ON BRAND REPOSITIONING TO GIVE CUSTOMERS A NEW EXPERIENCE WITH OUR PRODUCTS.”

In 2015, global economic activity remained subdued and the growth in emerging market and developing economies continued to decline while a modest recovery continued in advanced economies. Overall growth in real GDP was slower at 4.8% (4.9% in 2014) for Sri Lanka and a slowdown in global demand affected the Sri Lankan export market. Short term capital outflows were witnessed amid the US rate hike and investor confidence wavered with secondary market yields rising for most part of the year. A relaxed monetary policy was maintained for most part of the year with a gradual tightening towards end 2015. With aid from the IMF and the US rate hike to be delayed, secondary market yields have been easing and we expect the economy to show signs of improvement in the medium term. Uncertainties in the local and global environment as well as the one-off exceptional loss on the Browns Investment rendered a weaker performance which was further exacerbated by the hefty finance costs related to investments. Group revenue had decreased marginally by 2 per cent to Rs. 9,506 billion during the year mainly due to a contraction in revenues of the footwear division of the Group which was affected by the lack of confirmed sales orders in the local arena. The Financial Services and Investment segment made a total loss of Rs 2,376 million mainly due to a loss of Rs 1,180 million from the classification of associate to fair value through profit and loss relating to the Browns Investment and a sum of Rs 553 million losses on disposal of Browns Investment shares, and a further Rs 93 million due to fair value changes in financial assets. The Group's manufacturing sector, especially the textile and porcelain sectors had demonstrated better growth due to some of the short term initiatives taken by the new board. The overall growth of the manufacturing sector topline increased by 2% however profits recorded a steep decline amid the weaker performance from the footwear segment coupled with the decision to close down unprofitable business units which had a lower profit making potential in the future. Group property sector had posted Rs 333 million in profit when compared with a profit of Rs. 103 million last year. The fair value gain on investment properties was Rs 323 million.

“.....WITH THE ENLISTING OF AN EXPERIENCED GROUP MANAGING DIRECTOR / CEO DURING THE CURRENT YEAR AND THE ENVISAGED CHANGES TO STRATEGY, STRUCTURE AND PROCESSES ON AN ONGOING BASIS IS EXPECTED TO BRING ABOUT A LASTING CHANGE TOWARDS BUILDING AN ENTITY FOR FUTURE GROWTH...”

In order to give full effect to the new direction of the board one of the key initiatives implemented during the second half of the year was reconstitution of the board including the subsidiaries of the Group. I am of the view that the eminent board will bring

Chairman's Message (Continued)

about better control, and the effective policy making processes into the Group whereby increasing the overall efficiency. During the first half, the Board focused on corporate governance, restructuring of the top level management which included the appointing of a Group Managing Director/ CEO and formulating a strategic direction to the Group. Further the Board has spent a significant proportion of its time to take initiatives to strengthen the Corporate Governance framework, building trust and transparency and to continue to strive to adhere to the highest levels of ethical business practices as stakeholder value is of utmost importance in driving business success.

Strengthening and empowering of the top management team and the structure in order to redesign and re-strategize the Group for sustainable growth was yet another priority for the Board. With the enlisting of an experienced Group Managing Director / CEO during the current year and the envisaged changes to strategy, structure and processes on an ongoing basis is expected to bring about a lasting change towards building an entity for future growth.

“GOING FORWARD, WE ARE LOOKING AT CONSOLIDATING THE GROUP CSR ACTIVITIES UNDER ONE BANNER THUS HARNESSING THE GROUP SYNERGIES IN DELIVERING SUSTAINABLE COMMUNITY DEVELOPMENT PROJECTS.”

The Group is committed to share our growth and values with the society and we believe Corporate Social Responsibility (CSR) to be an integral part of our business and it permeates throughout the organization. During the year under review, several individual CSR projects were initiated through the group subsidiary companies with particular reference to providing flood related relief to the community by South Asia Textiles Industries (Pvt) Ltd. Going forward, we are looking at consolidating the group CSR activities under one banner thus harnessing the group synergies in delivering sustainable community development projects.

As the Group's new Chairman, in taking the businesses forward, I am pleased to say that we are very much on track with laying out the foundation for sustainable growth of the Group. Concerns on the external vulnerabilities and the refinancing risks are not completely warded off although the Government has taken the appropriate measures for fiscal reform. Global uncertainty still prevails with the current developments and Britain's exit from the EU, the slowdown and rebalancing in China, and geo-political tensions. Whilst economic uncertainties remain and some of our markets will take time to fully recover, I believe that the key enablers of our strategy, together with our ongoing restructuring efforts would propel the Group towards success in the years ahead. It will further strengthen our position in the EU with the removal of the restriction on Generalized Scheme of Preferences (GSP plus) on Sri Lanka and it will enable our entities to be more competitive and increase export sales in to EU.

I wish to extend my thanks to our valued clients, partners, all other stakeholders for the continued support extended to us including my fellow directors and the members of the staff for the commitment and loyalty towards the company.

Sgd.

Sanjeev Gardiner
Chairman

Group Managing Director/CEO Review

The Group has undergone a major transformation in its history from being a small company with operations centered in financial services, to now, a relatively medium sized diversified conglomerate with the acquisition of Lanka Century Investments PLC (LCI). Through its subsidiaries, Taprobane is engaged in the manufacturing of textiles, footwear and porcelain for the export and local market along with a presence in real estate and other investments.

The change in ownership, with two of the most reputed names, Galle Face Hotel group and Hirdaramani Group and with the resultant guidance, we are confident of reaching our objectives and goals for the organization. As the new Group MD/CEO from the year 2016/2017, the foremost task at hand is aligning our strategy to deliver sustainable long term value for the Group. Consolidation of our Group structure remains a strategic objective with a view of building long-term value through the optimization of Group resources. We aim to achieve cost efficiencies and optimum operational performance through process improvements and integrations. With the world moving towards disruptive innovations our aim would be to leverage on the core competencies across the group to build a lasting and sustainable competitive advantage for all businesses and the group. The Group is in a transitional phase and every aspect of its businesses is given due consideration towards progress and growth.

The Group's textile manufacturing arm, South Asia Textiles Industries (Pvt) Ltd (SAT) embarked on several upgrades and process improvements with investments of over one billion in high-speed knitting machines and new equipment including high-end fully computerized printing machines resulting in doubling of its printing capacity. Special emphasis on quality enhancement to our fabric to match the regional trends and our attitude towards continuous improvement is expected to augur well for the company in adapting to the dynamic needs of the global apparel market. We also seek to diversify geographical risks by seeking new areas of growth on the backdrop of challenges in the global economy. The company is engaged in the manufacture and export of knitted fabrics to some of the globally renowned brands such as PUMA, Diesel, Marks & Spencer and DKNY among others through the best companies in the garment industry in Sri Lanka.

Dankotuwa Porcelain PLC and Royal Fernwood Porcelain Limited together command an impressive share of the porcelain sector in Sri Lanka. The "Dankotuwa" brand is strongly associated with that of quality and innovative design and without doubt one of the preferred brands in Sri Lanka. Dankotuwa products are found in some of the most renowned department stores around the world. While US and Europe remain to be two of the largest export destinations, we have successfully ventured into the Middle East, India and many other in the Australasia markets in the recent past. During the year, Dankotuwa Porcelain and Royal

Fernwood factory support services and some key areas were amalgamated to achieve operational synergies in sync with our thinking to streamline our processes. To complement this, we have embarked on an ERP system implementation during the current year to achieve greater efficiency and transparency - further strategies to rein in costs, develop new products and designs and exploring new regional markets seeking high growth emerging markets are in the pipeline.

In footwear, Ceylon Leather Products PLC known for the "DI" Leather brand has a long-standing history and is predominantly known for its safety leather products in the minds of the consumer. This entity is now in a transformational phase, changing the consumer's perception of the brand by catering to the ever changing trends in the market providing quality footwear to a more diverse array of segments as a part of its repositioning strategy. We are gearing up to become a key retail player in the market and progressing towards becoming a cost-efficient and flexible company adapting to the needs of the local and global arena.

Our real estate assets under Colombo City Holdings PLC carry a value of more than LKR 1 billion and we are currently in the process of exploring ways to maximize utilization and optimize the returns on these assets. With the positive momentum in the real estate sector in Sri Lanka and in a bid to enhance returns for our shareholders, we continually assess and evaluate the opportunities that may arise in niches and segments that are profitable for the Group.

The financial services segment includes money broking, stock broking and bond trading. Taprobane has a long history in bond trading, managed and run by experienced personnel with over 20 years' in the bond market, moreover its money broking arm holds a commendable market share. The operations of these sectors are dependent on the interest rate movements and investor sentiment and are more vulnerable to market fluctuations. The key to making the right decisions with regards to investments and reducing losses is the information flow. The Company has undertaken methods to increase the information flow across all subsidiaries and encourage knowledge sharing. We plan to strengthen our presence in the local arena and perhaps diversify our risks geographically.

GROUP FINANCIAL PERFORMANCE REVIEW

The Group's performance for the year has been relatively subdued given that our key export destinations witnessed a slowdown impacting the growth of the Sri Lankan export sector while a strengthening US economy prompted short term capital outflows which made the year under review an extremely challenging one. The volatile global economic conditions and the uncertain economic conditions in the domestic arena resulted in a slight contraction of revenues to LKR 9.50 billion.

Group Managing Director/CEO Review (Continued)

These uncertainties in socio-economic fronts did not help the overall revenue growth while the mark- to- market losses of our investments held under Lanka Century investments, mainly stemming out of the large parcel of Browns Investments had resulted in weaker net performance. Hefty finance costs arising from debts undertaken to finance strategic acquisitions had also weighed down on performance. The losses from investments came in at LKR 2.4 billion, compounded by losses from the footwear segment. However, the overall position came in at a reduced loss of LKR 1.9 billion due to profits from the textile and real estate segments.

Our subsidiary Lanka Century Investments PLC, of which we hold an effective stake of 83.20%, had posted a loss from continuing operations of LKR 1.50 billion primarily stemming out of the investment losses arising from the Browns Investment share portfolio mainly due to a change in the accounting treatment; as an associate of LCI, the investment was accounted for on the basis of equity up until December 2015, and now is accounted for on a fair value basis treated as part of financial assets. This resulted in the losses being reported on a mark-to market basis.

Earnings reserves for the Group were eroded due to losses for the year resulting in a depletion of shareholders' funds to the tune of LKR 1.3 billion. The total asset base clocked in at a lower LKR 13.99 billion compared to LKR 15.0 billion the prior year. Despite a reduced stake in Browns Investments and fair value adjustments, the net effect on the asset base was cushioned by acquisitions of property, plant and equipment within the Group.

With the new shareholders and eminent board, we are on a positive trajectory, gearing up for growth and progress. At a broader level, our strategy is to grow the business by leveraging on our brands and our market position in the textile, footwear and porcelain. Moreover, we seek to reposition our brands and business to improve overall profitability and we are realigning our markets and diversifying our customer base to be better positioned to withstand unforeseen risks and weather downturns in global and local arena.

I take this opportunity to thank the Chairman and the Board of Directors for their valuable advice and support in re-engineering this entity. Let us also place on record our appreciation to all other stakeholders for their continued support and partnership. A special appreciation to the management and staff for their untiring efforts and continued support to build an organization that we can call a special place of work.

Sgd.

Murali Prakash
Group Managing Director / Chief Executive Officer

Chief Executive Officer's Review

The financial arm of the Group witnessed many challenges this year amid the prevalent uncertainty and the volatilities in economic vagaries which had resulted in lackluster market sentiment. The uncertainty regarding the US Fed rate hike, the overall global slowdown, turbulent currencies, and continued outflow of foreign funds for most part of 2015 resulted in volatilities in the economic environment. Increased pressure on domestic interest rates emanating from the increased borrowing need of the government, heightened volatility and upward movement in government security yields in spite of relatively low inflation and the withdrawals of foreign investments were key areas of concern in 2015.

On the backdrop of these challenges performance in our core areas in financial services, stock broking, money broking and bond trading experienced a steep decline during the year. The stock broking arm was affected by the dampened investor sentiment amidst uncertainty relating to policy direction and the significant foreign outflows from the equity market which rendered an overall weaker performance for the bourse. The money broking and bond trading segments had witnessed challenges amidst volatilities in the interest rates and mounting pressure from the withdrawal of foreign investments held in government securities and the steep depreciation of the exchange rate. The ongoing restructuring of the corporate finance and the margin trading operations further added to the weak segmental performance.

On the contrary, looking ahead, we expect investor interest to be upbeat given the approval of the IMF funds, the reversal of fund flows to emerging markets and Sri Lanka's attractive bond yields compared to most of its Asian counterparts. On the backdrop of the positive measures taken by the Government to bring about financial stability and ease economic pressures, the outlook for the financial services arm of the Group is promising.

It is noteworthy to mention that we are in the process of reviewing our operations and processes as well as balance sheet restructuring in order to maximize returns. We are exploring avenues to ease the finance cost pressure at the holding company as a result of debt undertaken to finance the group's strategic investment at Lanka Century Investments PLC. Moreover, we are evaluating strategies to expand our clientele to strengthen the revenue in financial services. In doing so, we hope to leverage on the possible opportunities in the market and favourable developments in the economy.

In conclusion, I wish to thank the Board for their guidance, senior management for their unwavering support, shareholders and our team for their commitment and tireless efforts.

Sgd.

Ruwan Sugathadasa
Chief Executive Officer
Taprobane Holdings PLC

Director's Profiles

Mr. Sanjeev Gardiner

Chairman/Non Independent Non-Executive Director

Mr. Sanjeev Gardiner counts over 26 years of Management experience in a diverse array of businesses and is the Group Chairman and Chief Executive Officer of The Galle Face Hotel Group, which includes Ceylon Hotels Corporation PLC, of which he is the longest standing Director and Kandy Hotels Co.(1938) PLC of which he is the Chairman. He is also a Director of many public quoted and unquoted companies including Cargills (Ceylon) PLC. He was appointed to the Board on 26 October 2015 as a Non Independent Non-Executive Director.

Mr. Gardiner holds a Bachelor of Business Degree from the Royal Melbourne Institute of Technology and a Bachelor of Business Degree (Banking & Finance) from Monash University, Australia.

Considering his contribution to the state project, for prevention of Kidney Disease in Sri Lanka, H.E The President of Sri Lanka, Maithripala Sirisena appointed Mr. Gardiner as an Ambassador, representing Sri Lanka. He is also a Director and Council Member of Helpage Sri Lanka, and a Member of many Prestigious and Charitable Associations.

Mr. Ajith Devasurendra

Deputy Chairman/Non Independent Non-Executive Director

Mr. Ajith Devasurendra is a veteran in the financial services industry in Sri Lanka and counts more than 32 years' work experience both in Sri Lanka and overseas. As one of the pioneers in money markets, he was able to bring new dimensions to the local money market industry. He acted as a consultant to Price Water House Coopers, Bombay, India on a USAID project. He was appointed to the Board on 20 September 2006 as a Non Independent Non-Executive Director.

Mr. Devasurendra is the Chairman of South Asia Textile and a Director of Ceylon Hotels Corporation PLC.

Mr. Murali Prakash

Group Managing Director/CEO

Mr. Murali Prakash holds a MBA from University of Southern Queensland, Australia and is also a Certified Professional Marketer (Asia Pacific) and a Certified Management Accountant (Aust.). He also holds an Executive Diploma in Business Administration from the University of Colombo and is an Alumni of the National University of Singapore and Asian Institute of Management, Manila. He is a Fellow of the Chartered Management Institute (London) and Certified Professional Managers Sri Lanka. He was appointed to the Board on 28 April 2016 as a Non Independent Non-Executive Director and appointed as the Group Managing Director/CEO on 01 June 2016.

Mr. Prakash also serves as the Group Managing Director / CEO of Lanka Century Investments PLC (LCI), which is a subsidiary of Taprobane Holdings PLC and is a Director of LCI Group Companies. He is also a Director of LAUGFS Holdings Limited, LAUGFS Gas PLC and several other subsidiaries of the LAUGFS Group.

His previous engagements include key positions in several public quoted companies. Immediately prior to his current status he served as the Group Managing Director/Chief Executive Officer of Browns Group of Companies, a public quoted conglomerate involved in trading, manufacturing, finance, travel and tours, plantations and investments. Concurrently he also held the position of Chairman, Galoya Holdings (Private) Limited a public private partnership in sugar plantation and manufacturing.

Mr. Prakash was also the Sales Director of Singer (Sri Lanka) PLC, and has also served as the Deputy Credit Director and Credit Manager for many years, handling the marketing and management of hire purchase and related credit portfolios at Singer. During his tenure at Singer he also served on the Boards of Singer (Sri Lanka) Ltd, Singer Finance Lanka Ltd and Singer Industries (Ceylon) Ltd.

Mr. Priyantha Fernando

Independent Non-Executive Director

Mr. Priyantha Fernando holds a B.Sc degree from the University of Peradeniya and a M.Sc degree in Statistics from the University of Birmingham, England. He has over 35 years of experience in the banking and finance sectors, as a regulator and Independent Non-Executive Director. He was appointed to the Board on 27 December 2011 as an Independent Non-Executive Director.

He was attached to the Central Bank of Sri Lanka serving in senior and diverse capacities. He was the Deputy Governor of the Central Bank of Sri Lanka, from January 2010 to September 2011 in charge of the Financial System Stability and the Corporate Services clusters. Mr. Fernando has extensive experience and expertise in the fields of Banking and Financial Sector regulation, Information Technology, National Accounting and Statistics, Fund Management, Risk Management, Restructuring, and stabilisation of financial distressed

Director's Profiles (Continued)

companies. At the Central Bank he was the Chairman of the Financial Stability Committee, Member of the Monetary Policy Committee, Member of the Risk Management Committee and the Chairman of the National Payment Council.

He was an Ex-Officio Board Member in several regulatory organisations namely Securities and Exchange Commission of Sri Lanka, the Insurance Board of Sri Lanka, the Chairman of the Credit Information Bureau of Sri Lanka, Chairman of Institute of Bankers – Sri Lanka and Board Member at Employer's Trust Fund, Lanka Clear (Pvt) Ltd and Lanka Financial Services Bureau. During his career he has initiated and spearheaded several key projects of national importance, especially in the area of the advancement of the national payments and settlement system, infrastructure.

Mr. Fernando has served in a number of committees at national level covering a range of subjects representing the Central Bank.

Presently, Mr. Fernando holds directorships in Union Bank of Colombo PLC, Commercial Leasing and Finance PLC, Ceylon Leather Products PLC, Thomas Cook Travels Sri Lanka (Private) Limited and Imperial Institute of Higher Education.

Mr. Harsha Amarasekera P.C.

Non Independent Non-Executive Director

Mr. Harsha Amarasekera, President Council is a leading lawyer in Sri Lanka having a wide practice in the Original Courts as well as in the Appellate Courts, specializing in Commercial Law, Business Law, Securities Law, Banking Law and Intellectual Property Law. He was appointed to the Board on 26 October 2015 as a Non Independent Non-Executive Director.

He also serves as an Independent Director in several leading listed companies in the Colombo Stock Exchange including CIC Holdings PLC (Chairman), Chemanex PLC (Chairman), Vallibel One PLC, Expo Lanka Holdings PLC, Chevron Lubricants Lanka PLC, Amana Bank PLC, Amaya Leisure PLC and Vallibel Power Erathna PLC. He is also the Chairman of CIC Agri Business (Private) Limited.

Mr. Ranil Pathirana

Non Independent Non-Executive Director

Mr. Ranil Pathirana has extensive experience in finance and management in financial, apparel/manufacturing and energy sectors. He is a Fellow member of the Chartered Institute of Management Accountants, UK (FCMA) and holds a Bachelor of Commerce degree from the University of Sri Jayawardenapura. He was appointed to the Board on 26 October 2015 as a Non Independent Non-Executive Director.

Mr. Pathirana is the Group Finance Director of Hirdaramani Group of Companies, Non-Executive Director of Sampath Bank PLC, Alumex PLC, Ceylon Hotels Corporation PLC and Odel PLC.

Mr. Sarinda Unamboowe

Independent Non-Executive Director

Mr. Sarinda Unamboowe holds a bachelor's degree in Business from Ithaca College NY. He was appointed to the Board on 26 October 2015 as an Independent Non-Executive Director.

Mr. Unamboowe is the Managing Director/CEO of Linea Aqua (Private) Limited and a Non-Executive Director of Dankotuwa Porcelain PLC. He is also a member of the MAS Apparel Board and the Group's Innovation Leadership team and heads MAS Holdings Group sustainability effort.

He received his executive education from Cornell University, INSEAD School of Business and TUCK Business School in Dartmouth.

Desamanya Deva Rodrigo

Independent Non-Executive Director

Desamanya Deva Rodrigo, a Fellow Member of the Institute of Chartered Accountants of Sri Lanka, is the former Territory Senior Partner of Price Waterhouse Coopers, Sri Lanka and Maldives, and a past Chairman of the Ceylon Chamber of Commerce. He was appointed to the Board on 26 October 2015 as an Independent Non-Executive Director.

He is also an Independent Director of Chevron Lubricants Lanka PLC and has held public sector appointments as a member of the Monetary Board of the Central Bank of Sri Lanka, the Administrative Reforms Committee, National Council for Administration, Presidential Commission on Trade and Tariffs, Telecom Regulatory Commission and Director of Peoples Bank.

Corporate Governance

Introduction

The Board continued its efforts to enhance its role in improving governance practices effectively to safeguard the best interests of shareholders and other stakeholders. The Board's commitment to upholding high standards of corporate governance, contains international corporate governance principles and best practices, in addition to the requirements outlined in the Listing Rules of the Colombo Stock Exchange (CSE) and other relevant regulations, and is applicable to the Group and governs the activities of the Board, how the Group conducts its business operations, its relationships with all its stakeholders while providing for accountability and sound internal control systems.

The Board confirms that the Company is compliant with the requirements stipulated in the Rules on Corporate Governance contained in the Listing Rules of the CSE and the requirements stipulated in the Companies Act No. 7 of 2007.

This report outlines the Corporate Governance framework, application and practice within the Group for the year 2015/16 and as at date.

1. The Board

The Company's business and Group operations are managed under the supervision of the Board. The role of the Board includes:

- ▶ Providing entrepreneurial leadership to the Group;
- ▶ Providing strategic guidance and evaluating, reviewing and approving corporate strategy and the performance objectives of the Group;
- ▶ Approving and monitoring financial and other reporting practices adopted by the Group;
- ▶ Effectively reviewing and constructively challenging management performance in meeting the agreed goals, monitoring the reporting of performance and ensuring that the necessary financial and human resources are in place for the Company to meet its objectives.

The composition of Board of Directors as at the date is as follows;

Name of Director	Date of Appointment to the Board	Position
Mr. Sanjeev Gardiner	26 October 2015	Chairman/Non Independent Non-Executive Director
Mr. Ajith Devasurendra	20 September 2006	Deputy Chairman/Non Independent Non-Executive Director
Mr. Murali Prakash	28 April 2016	Group Managing Director/CEO
Mr. Priyantha Fernando	27 December 2011	Independent Non-Executive Director
Mr. Harsha Amarasekera	26 October 2015	Non Independent Non-Executive Director
Mr. Ranil Pathirana	26 October 2015	Non Independent Non-Executive Director
Mr. Sarinda Unamboowe	26 October 2015	Independent Non-Executive Director
Desamanya Deva Rodrigo	26 October 2015	Independent Non-Executive Director

Table 1 – Composition of the Board

The profiles of the Directors are found on pages 11 and 12 of this Report.

▶ Composition and Balance of the Board

The Board comprises of Eight (08) Directors of whom Seven (07) are Non-Executive Directors and One (01) is an Executive Director, who is also the Group Managing Director/CEO. The composition mix of the executive and non-executive directors satisfies the requirements of the Listing Rules of the CSE.

The non-executive directors provide considerable depth of knowledge collectively gained from experiences, whilst serving in a variety of public and private companies in various industries. The Board includes two qualified Chartered Accountants who provide the Board with the requisite financial acumen and knowledge on financial matters.

The Board considers that the composition and expertise of the Board is sufficient to meet the present needs of the Group, but will continue to review the composition and the mix of skills and expertise on an ongoing basis to align it to the business needs and complexity of the Group's operations.

Corporate Governance (Continued)

► Board Independence

Based on the declarations made annually by each of the non-executive directors in accordance with the requirements set out in the Listing Rules of the CSE, Mr. Priyantha Fernando, Mr. Sarinda Unamboowe and Desamanya Deva Rodrigo are considered independent.

The Board considers the other four non-executive directors, namely Mr. Sanjeev Gardiner, Mr. Ajith Devasurendra, Mr. Harsha Amarasekera and Mr. Ranil Pathirana as non-independent, as they are nominees of CHC Investment (Private) Limited and ARRC Capital (Private) Limited, the major shareholders of the Company.

► Division of Responsibilities

The roles of the Chairman and the Group Managing Director/CEO are separated with a clear distinction of responsibilities between them, which ensures the balance of accountability and authority between the running of the Board, and the executive responsibility for the running of the Group's business.

The role of the Chairman, Mr. Sanjeev Gardiner, is to provide leadership to the Board, for the efficient organization and conduct of the Board's function, and to ensure the integrity and effectiveness of the relationship between the non-executive and executive directors.

The role of the Group Managing Director/CEO, Mr. Murali Prakash, is to implement policies and strategies approved by the Board, and develop and recommend to the Board the business plans and budgets that support the Group's long-term strategy and vision that would lead to the maximization of shareholder value.

► Board Meetings and Attendance

The Board meetings for each calendar year are scheduled in advance to enable the directors and management to plan accordingly and fit the year's Board meetings into their respective calendars.

To ensure that Board meetings are conducted effectively and efficiently, the time allocation for each agenda item is determined in advance. Members of the management and external advisors are invited as and when required to attend Board meetings to present proposals and provide further clarity to the Board.

The Board meets quarterly with a view to discharging its duties effectively. In addition, special Board meetings are also held whenever necessary to deal with specific matters. A total of six meetings were held during the financial year, which include one special meeting. The attendance of directors at these meetings is set out in the table below:

Name of Director	Attendance
Mrs. Rohini Nanayakkara (resigned on 29 September 2015)	3/4
Mr. Ajith Devasurendra	4/6
Mr. A.G. Weerasinghe (resigned on 26 October 2015)	2/4
Mr. Upali Witharana (resigned on 26 October 2015)	3/4
Mr. Priyantha Fernando	3/6
Mr. D.A.B. Dassanayake (resigned on 26 October 2015)	4/4
Mr. R.R. Antony (resigned on 26 October 2015)	4/4
Mr. Sanjeev Gardiner (appointed on 26 October 2015)	2/2
Mr. Harsha Amarasekera (appointed on 26 October 2015)	2/2
Mr. Ranil Pathirana (appointed on 26 October 2015)	2/2
Mr. Sarinda Unamboowe (appointed on 26 October 2015)	2/2
Desamanya Deva Rodrigo (appointed on 26 October 2015)	2/2
Mr. Murali Prakash (appointed on 28 April 2016)	0/0

Table 2 – Board Meeting Attendance

Corporate Governance (Continued)

► Access to Information

To enable the Board to make informed decisions, the Board is supplied with complete and adequate information in advance of each meeting, which includes an agenda, minutes, board papers with background or explanatory information, financial and operational performance reports. The Board also receives regular review reports and presentations on business development, risk profiles and regulatory updates. Any additional information may be requested by any director as and when required.

The Board has separate and independent access to the Group's Senior Management. All Directors have access to the advice and services of the Company Secretary, who is responsible to the Board for ensuring that Board procedures and applicable rules and regulations are complied with.

The directors, especially non-executive directors, have access to independent professional advice in the course of fulfilling their responsibilities, at the Company's expense.

► Professional Development and Performance Evaluation

The directors are provided with the opportunity to update and enhance their skills and knowledge through training conducted by both external and in-house facilitators, and are periodically briefed on changes to relevant laws, regulations and accounting standards which impact the Group's business and the directors.

The Nomination Committee is responsible for evaluating the Board's performance and decides how the Board's performance may be evaluated and also proposes the objective criteria.

► Delegation of Authority and Board Committees

Other than the matters reserved for the Board, the Board has adopted a Group Policies and Limits of Authority framework applicable to the Group, by which the Board has delegated authority to its Board Committees and management. The Group Policies state the principles and sets out the tone by which business is to be conducted whereas the primary purpose of the Limits of Authority is to set out clear guidance to management as to the matters over which the Board reserves authority and those which it delegates to management. The Limits of Authority has established a sound framework of authority and accountability, which facilitates timely, effective and quality decision making at the appropriate level.

The Board is supported by the following Board Committees which have been delegated with certain specific responsibilities:

- a. Audit Committee
- b. Remuneration Committee
- c. Related Party Transactions Review Committee

All Board Committees have written Terms of Reference approved by the Board and the Board, receives reports of their proceedings and deliberations. In instances where committees have no authority to make decisions on matters reserved for the Board, recommendations are highlighted for approval by the Board. The Chairpersons of each of the Board Committees report the outcome of the Committee meetings to the Board and the relevant decisions are incorporated in the minutes of the Board meetings. The Company Secretary acts as secretary to all Board Committees.

A brief description of each Board Committee is provided below:

1. Audit Committee

The Audit Committee ensures that the Group complies with applicable financial standards and laws. In addition, it ensures high standards of transparency and corporate disclosure and endeavors to maintain appropriate standards of corporate responsibility, integrity and accountability to the shareholders. The appointed members of the Audit Committee are required to exercise independent judgement in carrying out their functions.

The Audit Committee comprises 03 non-executive directors, namely Desamanya Deva Rodrigo (Chairman), Mr. Ranil Pathirana & Mr. Priyantha Fernando.

The activities conducted by the Audit Committee are set out in the Audit Committee Report on pages 19 and 20.

Corporate Governance (Continued)

2. Remuneration Committee

The role of the remuneration committee is to identify, consider and propose suitable candidates for appointment as directors and to formulate, review, approve and make recommendations to the Board with regard to the remuneration of the executive and non-executive directors and key positions within the senior management.

The Remuneration Committee ensures that the directors appointed to the Board possess the background, experience and knowledge in business, technology, finance and/or management, so as to maintain an appropriate balance of skills and experience of the Board, and also to ensure that each director brings to the Board an independent and objective perspective to ensure that balanced and well considered decisions are made.

The Remuneration Committee comprises 03 non-executive directors, namely Mr. Ranil Pathirana (Chairman), Mr. Priyantha Fernando and Mr. Sarinda Unamboowe.

3. Related Party Transactions Review Committee

In compliance with the requirements of the Listing Rules of the CSE, the Related Party Transactions Review Committee was established with effect from 04th December 2015.

The primary functions of the Related Party Transactions Review Committee is to review related party transactions as prescribed by Section 09 of the Rules. As per the Rules, the Related Party Transactions Review Committee shall meet at least once a financial quarter.

The Related Party Transactions Review Committee comprises 02 non-executive directors namely Mr. Priyantha Fernando & Mr. Ranil Pathirana.

The above Board committees are supported by a comprehensive and effective internal governance structure, consisting of the Group Managing Director to oversee the overall operations of the Group. Reporting to the Group Managing Director are the Chief Executive Officers that oversee the effective management and operations of the Group Companies.

► Re-appointment and Re-election

In accordance with the Company's Articles of Association, directors who were appointed during the year must submit themselves to the shareholders for re-election at the first AGM following their appointment and 1/3 of the non-executive directors are subject to retirement and re-appointment by rotation at every AGM. The directors who retire by rotation are those who have been longest in office since their appointment/reappointment.

The director retiring by rotation and eligible for re-election this year is mentioned in the Notice of Meeting on page 88.

2. Remuneration

The Company's remuneration policy endeavors to attract, retain and motivate directors of the quality and experience commensurate with the stature and operational complexity of the Group. The remuneration policy for directors is proposed, evaluated and reviewed by the Remuneration Committee, in keeping with criteria of reasonability.

3. Accountability and Audit

► Financial Reporting

The Board believes that the independent verification is necessary to safeguard the integrity of the Group's accounting and financial reporting.

The Board aims to provide and present a balanced and understandable assessment of the Group's position and prospects. Therefore, the Board has established a formal and transparent process to independently verify and safeguard the integrity of the Group's accounting and financial reporting and internal control systems which are periodically reviewed and monitored to ensure effectiveness.

The Chief Financial Officer declare in writing to the Board that the Company's financial reports present a true and fair view, in all material respects, of the Company's financial condition and that operational results are stated in accordance with relevant accounting standards.

Corporate Governance (Continued)

4. Recognise and Manage Risk

► Internal Control

The Board acknowledges its overall responsibility in ensuring that a sound system of internal control is maintained to safeguard shareholders' investment and Group's assets.

The Audit Committee conducts a review of the effectiveness of the Group's system of internal controls and reports its findings to the Board. The review covers all material controls, including financial, operational and compliance controls and risk management systems. Upon receiving confirmation from the heads of Group Companies CEO and CFO provide the Audit Committee with a certificate of compliance confirming compliance with all applicable statutory and regulatory requirements on a quarterly basis.

► Risk Management, Compliance & Control

The Group has established and implemented an Enterprise Risk Management system for identifying, assessing, monitoring and managing material risk throughout the organization, which includes;

- a) Oversight of the risk management system;
- b) Examination of the Company's risk profile which contains a description of the material risks facing the Company including financial and non-financial matters;
- c) Assessment of compliance and control;
- d) Assessment of effectiveness – mechanism to review, at least annually, the effectiveness of the Company's implementation of the risk management system

► Internal Audit

Internal audits are conducted by the Group Internal Audit Division which is independent of management. The Internal Auditor has access to management and the authority to seek information, records, properties and personnel relevant to the subject of audit review. Once an audit review is completed, a report is submitted to the Audit Committee.

The Audit Committee oversees the scope of the internal audit and has access to the internal audit without the presence of management.

In order to ensure independence, objectivity and enhance performance of the internal audit function, a direct reporting line has been created from the internal audit function to the Audit Committee. The Audit Committee is responsible for the appointment and dismissal of the Group Chief Internal Auditor. The activities of the Group's internal audit are detailed in the Audit Committee Report on pages 19 and 20.

5. Responsible Decision Making

The Group's Code of Business Ethics and Employee Code of Conduct actively promotes ethical and responsible decision-making and endeavors to influence and guide the directors, employees and other stakeholders of the practices necessary to maintain confidence in the Group's integrity and to demonstrate the commitment of the Group to ethical practices.

6. Respect for the Rights of Shareholders

The Company is committed to having regular, proactive and effective communication with the investors and shareholders. The Company respects the rights of the shareholders and seeks to empower them by communicating effectively and providing ready access to balanced information about the Company through the CSE.

► Communication with Shareholders

The Company communicates with the shareholders through the following means of communication:-

a) Annual General Meeting

The AGM is the main event for the shareholders to meet with the Board which allows reasonable opportunity for informed shareholders to communicate their views on various matters affecting the Company and the forthcoming AGM will be used to effectively communicate with shareholders. The AGM is also attended by the Senior Management and External Auditors.

Corporate Governance (Continued)

b) Announcements to the Colombo Stock Exchange (CSE)

Announcements of quarterly interim financial results and announcements on corporate actions are disclosed to the CSE in a prompt and timely manner in compliance with the Listing Rules

► **Investor Relations**

The Group Investor Relations (IR) team proactively disseminates relevant information about the Company to the investor community, specifically the institutional fund managers and analysts. The IR team maintains close contact with the investor community by means of road shows, company visits, one-on-one meetings, teleconferences, emails etc. to ensure that the Group's strategies, operational activities and financial performance are well understood and that such information is made available to them in a timely manner.

In the year 2015, the Company actively participated in two overseas investor conferences held in New York and London. In addition, the Company conducted one-on-one meetings and conference calls with key local and foreign investors on a regular basis.

► **Major Transactions**

There were no transactions during the financial year deemed as a "major transaction" in terms of the definition stipulated in the Companies Act No. 7 of 2007.

Audit Committee Report

Composition

At the commencement and at the end of the year the Audit Committee had three Non-Executive Directors two of whom, as required by the Colombo Stock Exchange listing rules, were Independent Directors.

Mr. Upali Witharana (Chairman)
Independent Non-Executive Director
(from 1 April, 2015 to 29 October 2015)

Mr. A G Weerasinghe
Non Independent Non-Executive Director
(from 1 April 2015 to 29 October 2015)

Mr. P D J Fernando
Independent Non-Executive Director
(from 1 April 2015 to 31 March, 2016)

Desamanya P D Rodrigo (Chairman)
Independent Non-Executive Director
(04 December 2015 to 31 March, 2016)

Mr. Ranil Pathirana
Non Independent Non-Executive Director
(09 February 2016 to 31 March, 2016)

The Chairman of the Audit Committee, Desamanya P D Rodrigo is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka.

The profiles of the members are given on pages 11 to 12 of the Annual Report.

Meetings

During the financial year, the committee held four meetings. The Chief Executive Officer and Head of Finance attended all Audit Committee Meetings by invitation. The Company Secretary functions as the Secretary to the Committee. The engagement partner of the Company's external auditors attends meetings when matters pertaining to their functions come up for consideration. The attendance of the members at the meetings is as follows;

Name of Director	Attendance
Mr. Upali Witharana - Chairman (resigned on 29 October 2015)	2/2
Mr. A G Weerasinghe (resigned on 29 October 2015)	2/2
Mr. P D J Fernando	2/4
Desamanya P D Rodrigo - Chairman (appointed on 04 December 2015)	2/2
Mr. Ranil Pathirana (appointed on 09 February 2016)	1/1

Role of the Audit Committee

The audit committee is established by and among the Board of Directors for the primary purpose of assisting the Board in:

1. Overseeing the integrity of the company's financial statements and the company's accounting and financial reporting processes and financial statement audits
2. Overseeing the company's systems of disclosure controls and procedures, internal controls over financial reporting, and compliance with ethical standards adopted by the company.
3. Evaluating the performance of the company's independent auditor and internal audit function.
4. Overseeing the registered public accounting firm's (independent auditor's) qualifications and independence.
5. Overseeing the company's compliance with legal and regulatory requirements.

The role and functions of the Audit Committee are further regulated by the Rules on Corporate Governance for Listed Companies issued by the Colombo Stock Exchange and the Code of Best Practices on Corporate Governance issued jointly by the Institute of Chartered Accountants of Sri Lanka (ICASL) and the Securities and Exchange Commission (SEC) of Sri Lanka.

During the financial year the Committee;

- ▶ Fulfilled its oversight responsibility on the effectiveness of internal control procedures by providing guidance and inputs to the design and coverage of internal audit programs and by the review of internal audit reports.
- ▶ Reviewed the appropriateness of accounting policies and their adherence to statutory and regulatory compliance requirements and applicable Accounting Standards.
- ▶ Reviewed the interim and annual financial statements prepared for publication prior to submission to the Board of Directors.
- ▶ Recommended to the Board of Directors that an Executive Risk Management Committee be established and the risk management function be expanded and upgraded.
- ▶ Assessed the independence of the external auditors and the effectiveness of the performance of the audit.
- ▶ Assessed the Company's ability to continue as a going concern in the foreseeable future.

Regulatory Compliance

A procedure has been laid down for reporting on the statutory compliance/non-compliance of the Company and its subsidiaries on a quarterly basis. This report is certified by the Head of Finance. Such non-compliances are followed up to ensure appropriate corrective actions are taken.

Audit Committee Report (Continued)

Independence and objectivity of the external auditors

Messrs. KPMG, Chartered Accountants were the external auditors to the Company for the financial year ended 31 March 2016. The external auditors were given adequate access by the committee to ensure they had no cause to compromise their independence and objectivity. The committee reviewed the non-audit services provided by the external auditors with the aim of assessing the independence and objectivity of the external auditor. Having reviewed these, the committee is satisfied that the non-audit services provided by the external auditors do not impair their independence.

Prior to commencement of the annual audit, the committee discussed with the external auditors their audit plan, audit approach and procedures and matters relating to the scope of audit. The fees of the external auditors were also approved by the audit committee. The audit findings were discussed at the conclusion of the audit, where the committee reviewed and recommended the annual consolidated financial statements to the Board for their approval.

The Audit Committee considered the benefits of having a single auditor for the parent company and all its subsidiaries which now have engaged five different firms of Chartered Accountants for this purpose. Based on Proposals for Audit received from two firms the Committee has recommended to the Board that Messrs. Ernst & Young, Chartered Accountants who audit most of the group companies be appointed as auditors for the year to 31 March, 2017.

The Committee also conveyed to the Board of Directors its appreciation of the high quality services received from the parent company auditors KPMG. Under the proposal to have a single auditor the Group will be able to engage the retiring auditor to obtain non-audit services without impairing the independence of the auditor.

Conclusion

Subsequent to the change of the Board of Directors in October 2015 the Audit Committee has also been reconstituted and the corporate management and governance functions have been revitalized. Under this programme the Audit Committee is undergoing an overhaul of its function and procedures, is in the process of documenting its charter and is filling gaps in risk management, internal audit, accounting and other functions impacting on the areas it oversees.

Sgd.

Deva Rodrigo

Chairman

26th August 2016

Remuneration Committee Report

Role of the Remuneration Committee

The Committee reviews the performance of the executive staff against the set objectives and goals, and determines the remuneration policy of the company for all levels of employees. The Committee supports and advises the Board on remuneration related matters and makes decisions under delegated authority with a view to aligning the interests of employees and shareholders.

Composition of the Remuneration Committee

The Remuneration Committee is a sub - committee of the main Board, to which it is accountable. The present Remuneration Committee comprises of the following Directors.

Mr. R.P. Pathirana - Chairman

Mr. P.D.J. Fernando

Mr. S.W. Unamboowe

The Chief Executive Officer attends the Committee meeting by invitation and the company secretary serves as the Secretary of the Committee.

The Committee members possess wide experience in the fields of business management, human resources management, labour relations and labour law. Hence the Committee has adequate expertise in remuneration policy and management to deliberate and propose necessary changes, improvements to meet the roles and responsibility of the Committee.

Meetings

The Remuneration Committee met once during the year. All Committee members attended the meeting.

During the period under review, the committee continued its responsibility of formulating & recommending to the Board, Remuneration policy which would help the organization to attract, retain and to motivate its staff taking into consideration industrial norms.

Details of executive remuneration are included under key management personnel compensation as disclosed in Page 79 of Annual report.

The committee has reviewed the remuneration policy of the company thoroughly and made its recommendations and has also advised on structuring remuneration packages in order to attract, motivate and retain quality staff personnel.

Sgd.

Ranil Pathirana
Chairman - Remuneration Committee

26th August 2016

Related Party Transactions Review Committee Report

Purpose of the Committee

The Board established the Related Party Transactions Review Committee on 04 December 2015 as per Listing Rules of the Colombo Stock Exchange (CSE).

The purpose of the Related Party Transactions Review Committee (the Committee) is to conduct an appropriate review of the Company's Related Party Transactions (RPTs) and to ensure that the Company complies with the Listing Rules of the CSE. The primary objectives of the said rules are to ensure that the interests of the shareholders as a whole are taken into account when entering into related party transactions and to prevent Directors, Key Management Personnel or substantial shareholders taking advantage of their positions.

Composition

The Committee consists of two members with a combination of Independent Non-Executive Director and Non Independent Non-Executive Directors. The members of the Committee are;

Mr. P. D. J. Fernando - Chairman/Independent Non-Executive Director
Mr. Ranil Pathirana - Non Independent Non-Executive Director

The above composition is in compliance with the provisions of the Listing Rules. Brief profiles of the members are given on pages 11 and 12 of the Annual Report.

M/s. Managers & Secretaries (Private) Limited functions as the Secretary to the Committee.

Role and Responsibilities

The mandate of the committee, derived from the Rules includes the following;

- ▶ To develop and recommend a related party transaction policy
- ▶ To ensure that the Company complies with the Rules
- ▶ To review in advance all proposed RPTs to ensure compliance with the Rules
- ▶ To update the Board of Directors on the related party transactions of the Company on a quarterly basis
- ▶ Define and establish the threshold values in setting a benchmark for related party transactions, RPTs which have to be pre-approved by the Board, RPTs which require to be reviewed in advance and annually and similar issues relating to listed Companies
- ▶ To make immediate market disclosures on applicable RPTs as required by the Rules
- ▶ To include appropriate disclosures on RPTs in the annual report as required by the Rules

Policies and procedures in related party transactions are being reviewed and strengthened on an ongoing basis.

Necessary steps have been taken by the Committee to avoid any conflicts of interests that may arise in transacting with related parties.

The Policies and Procedures Adopted by the Committee for Reviewing Related Party Transactions

The Committee formulated and recommended a process for adoption on RPTs for the Company, which is consistent with the operating model and the delegated decision rights.

The Committee in discharging its functions introduced processes and periodic reporting by the relevant entities with a view to ensure that;

- ▶ There is compliance with the Rules
- ▶ Shareholder interests are protected and
- ▶ Fairness and transparency are maintained

Any member of the Committee, who has an interest in RPT under discussion, shall abstain from voting on the approval of such transaction. A RPT entered into without pre-approval of the committee, shall not be deemed to violate this policy, be invalid or unenforceable so long as the transaction is brought to the notice of the Committee as promptly as reasonably practical, after it is entered into or after it becomes apparent that the transaction is covered by the policy. As such all RPTs, other than the exempted transactions, will be reviewed either prior to the transaction is entered into or if the transaction is expressed to be conditional on such review, prior to the completion of the transaction.

Meetings

The Committee met once during the financial year under review. Proceedings of the Committee meetings are reported to the Board of Directors.

Sgd.

P D J Fernando

Chairman

26th August 2016

FINANCIAL STATEMENTS

25	Annual Report of the Board of Directors on the Affairs of the Company
27	Statement of Directors' Responsibilities
28	Independent Auditors' Report
29	Statement of Profit or Loss and Other Comprehensive Income
30	Statement of Financial Position
31	Statement of Changes in Equity
32	Statement of Cash Flows
33	Notes to the Financial Statements
85	Five Year Summary of Comprehensive Income
86	Five Year Summary of Financial Position
87	Investor Information
88	Notice of Meeting
89	Form of Proxy

Annual Report of the Board of Directors on the Affairs of the Company

The Directors of Taprobane Holdings PLC have pleasure in presenting to the Shareholders their Annual Report together with the Audited Financial Statements of the Company for the year ended 31st March 2016.

GENERAL

Taprobane Holdings PLC is a public limited liability Company incorporated and domiciled in Sri Lanka. The registered office and the principal place of business of the company is located at No 10, Gothami Road, Colombo 08.

PRINCIPAL ACTIVITIES

During the year the principal activities of the group were money broking, stock broking, fund management, corporate finance activities, manufacturing of footwear, porcelain, textiles and managing property and investments.

REVIEW OF OPERATIONS

The Chairman's Review on Pages 5 and 6 which forms an integral part of these reports provides an overall assessment of the financial performance and the financial position of the company.

FINANCIAL STATEMENTS

The financial statements of the Group and Company are given on Page Nos. 29 to 84.

Summarized Financial Results

Y/E 31 March	GROUP		COMPANY	
	2016 (Rs.'000)	2015 (Rs.'000)	2016 (Rs.'000)	2015 (Rs.'000)
Revenue	9,506,231	9,733,107	133,654	247,900
Profit/ (Loss) before tax for the year	(1,852,603)	268,901	(331,174)	(34,717)

Auditors' Report

The Independent Auditors' Report on the financial statements is given on Page 28.

Accounting Policies

The accounting policies adopted by the Company in the preparation of financial statements are given on Page Nos. 33 to 47 which are consistent with those of the previous period.

DIRECTORS

The names of the Directors who held office as at the end of the accounting period are given below and their brief profiles appear on Page Nos. 11 and 12.

Executive Director

Mr. N.M. Prakash (Appointed on 28.04.2016)

Non-Executive Directors

Mr. S.E. Gardiner - Chairman
Mr. A. L. Devasurendra - Deputy Chairman
Mr. P. D. J. Fernando
Mr. S.H. Amarasekera
Mr. R.P. Pathirana
Mr. S.W. Unamboowe
Mr. P.D. Rodrigo

INTERESTS REGISTER

In terms of the Companies Act No. 7 of 2007 an Interests register was maintained during the accounting period under review. This Annual Report also contains particulars of entries made in the Interests register.

DIRECTORS' REMUNERATION

The Director's remuneration is disclosed in Note 32.4 to the financial statements on Page No 79.

THE AUDITORS

The financial statements for the year ended 31st March 2016 have been audited by Messrs. KPMG (Chartered Accountants). As far as directors are aware the auditors do not have any relationship (other than that of an Auditor) with the Company except for those disclosed above. The auditors also do not have any interest in the Company.

The audit fee payable to the auditors for the year under review is Rs. 400,000/-.

The Board recommends the appointment of M/s. Ernst & Young, Chartered Accountants as the Principal Auditor for the Company and its Subsidiaries from the financial year 2016/2017 in place of the current Auditors M/s. KPMG, (Chartered Accountants).

STATED CAPITAL

The Stated Capital of the Company as at 31st March 2016 was Rs. 1,053,643,405/- (1,002,724,815 Shares)

DIRECTORS' SHAREHOLDING

The shareholdings of the Directors of the Company are as follows.

As at	31/03/2016	31/03/2015
Mr. A.L. Devasurendra	138	138
Mr. R.P. Pathirana	500,000	-
Mr. S.W. Unamboowe	915,700	-
Mr. R.P. Sugathadasa - CEO	18,241,706	18,241,706

MAJOR SHAREHOLDERS, DISTRIBUTION SCHEDULE AND OTHER INFORMATION

Information on the twenty largest shareholders of the company, distribution schedule of the number of shareholders, percentage of shares held by the public as per the Listing Rules of the Colombo Stock Exchange are given on Page No 87 under Investor Information.

Annual Report of the Board of Directors on the Affairs of the Company (Continued)

PUBLIC HOLDING

The percentage of public shareholding as at the 31st March 2016 was 0.79%

CAPITAL COMMITMENTS

There were no material capital expenditure commitments as at 31st March 2016 other than those disclosed in Note 31.

STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory dues have been paid up to date, or have been provided for in the financial statements.

DONATIONS

There were no donations made by the Company during the year.

EVENTS OCCURRING AFTER THE REPORTING PERIOD

No circumstances have arisen after the reporting period which would require adjustment to or disclosure in the financial statements other than those disclosed in Note 33 on Page No 80 of the financial statements.

GOING CONCERN

The Board of Directors is satisfied that the company has adequate resources to continue its operations in the foreseeable future. Accordingly, the financial statements are prepared based on the going concern concept.

CORPORATE GOVERNANCE

Corporate Governance practices and principles with respect to the management and operations of the Company are set out on Page Nos 13 to 18.

An Audit Committee, Related Party Transactions Review Committee as well as a Remuneration Committee function as sub-committees of the Board and they are composed of Directors with the requisite qualifications and experience. The composition of the said Committees is as follows:

AUDIT COMMITTEE

Mr. Deva Rodrigo - Chairman
Mr. Priyantha Fernando
Mr. Ranil Pathirana

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Mr. Priyantha Fernando - Chairman
Mr. Ranil Pathirana

REMUNERATION COMMITTEE

Mr. Ranil Pathirana - Chairman
Mr. Priyantha Fernando
Mr. Sarinda Unamboowe

By Order of the Board
Taprobane Holdings PLC

Sgd.

Chairman

Sgd.

Managing Director/CEO

Sgd.

Managers & Secretaries (Pvt) Ltd
Secretaries

26th August 2016
Colombo

Statement of Directors' Responsibilities

The Directors are required by the Companies Act No. 7 of 2007 to prepare Financial Statements for each financial year, which give a true and fair view of the statement of affairs of the company as at the end of the financial year and the income and expenditure of the Company for the financial year.

The Directors are also required to ensure that the financial statements comply with any regulations made under the Companies Act which specifies the form and content of financial statements and any other requirements which apply to the company's financial statements under any other law.

The Directors consider that the financial statements presented in this annual report have been prepared using appropriate accounting policies, consistently applied and supported by reasonable and prudent judgments and estimates and in compliance with the Sri Lanka Financial Reporting Standards (SLFRS) and Sri Lanka Accounting Standards (LKAS), Companies Act No. 7 of 2007, Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995.

The Directors are responsible to ensure that the company keeps sufficient accounting records, which disclose the financial position of the company with reasonable accuracy and enable them to ensure that the financial statements have been prepared and presented as aforesaid. They are also responsible for taking measures to safeguard the assets of the company and in that context to have proper regard to the establishment of appropriate systems of internal control with a view to prevention and detection of fraud and other irregularities.

The Directors continue to adopt the going concern basis in preparing the financial statements. The directors, after making inquiries and review of the company's business plan for the financial year 2016/2017, including cash flows and borrowing facilities, consider that the Company has adequate resources to continue in operation.

By Order of the Board
Taprobane Holdings PLC

Sgd.

Managers & Secretaries (Pvt) Ltd
Secretaries
26th August 2016

Independent Auditors' Report



KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Marker Mawatha,
P. O. Box 186,
Colombo 00300,
Sri Lanka.

Tel : + 94 - 11 542 6426
Fax : + 94 - 11 244 5872
+ 94 - 11 244 6058
+ 94 - 11 254 1249
+ 94 - 11 230 7345
Internet : www.lk.kpmg.com

INDEPENDENT AUDITORS' REPORT

TO THE SHAREHOLDERS OF TAPROBANE HOLDINGS PLC

Report on the Financial Statements

We have audited the accompanying financial statements of Taprobane Holdings PLC, ("the Company"), and the consolidated financial statements of the Company and its subsidiaries ("Group"), which comprise the statement of financial position as at March 31, 2016, and the statements of profit or loss and other comprehensive income, changes in equity and cash flows for the year then ended, and notes, comprising a summary of significant accounting policies and other explanatory information set out on pages 29 to 84 of the annual report.

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group as at March 31, 2016, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we state the following:

- a) The basis of opinion and scope and limitations of the audit are as stated above
- b) In our opinion:
 - we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company,
 - The financial statements of the Company give a true and fair view of its financial position as at March 31, 2016, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.
 - The financial statements of the Company, and the Group comply with the requirements of sections 151 and 153 of the Companies Act No. 07 of 2007.

CHARTERED ACCOUNTANTS

Colombo

26th August 2016

KPMG a Sri Lankan Partnership and a member firm of the KPMG network of independent member firms affiliated with KPMG International cooperative ("KPMG International") a Swiss entity

M. R. Mihular FCA	P.Y.S. Perera FCA	C.P. Jayatilake FCA
T.J.S. Rajakarier FCA	W.W.J.C. Perera FCA	Ms. S. Joseph FCA
Ms. S.M.B. Jayasekara ACA	W.K.D.C. Abeyratne ACA	S.T.D.L. Perera FCA
G. A. U. Karunaratne ACA	R.M.D.B. Rajapakse ACA	Ms. B.K.D.T.N. Rodrigo ACA
R. H. Rajan ACA		
Principals - S. R. I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardena ACA		

Statement of Profit or Loss and Other Comprehensive Income

For the Year Ended 31st March	Notes	GROUP		COMPANY	
		2016	2015	2016	2015
		Rs.	Restated Rs.	Rs.	Rs.
Revenue	4	9,506,231,410	9,733,106,849	133,653,788	247,900,021
Direct Cost	5	(7,904,989,953)	(7,798,643,772)	-	-
Investment and Other Income	6	228,496,511	143,795,121	12,453,508	36,473,422
Selling and Distribution Expenses		(441,085,549)	(387,783,719)	-	-
Administrative Expenses		(1,198,989,442)	(935,108,061)	(44,789,761)	(49,969,598)
Impairment of Trade and Other Receivables	20.3	(47,176,110)	(7,286,004)	(20,048,461)	(12,863,350)
Reversal of Impairment of Investment in Subsidiary		-	-	-	73,854,559
Change in Fair Value of Financial Assets Held for Trading		(94,410,126)	77,716,131	(84,684,592)	(1,599,905)
Impairment of Property Plant Equipment & Investment Property	15	(20,863,358)	(91,597,394)	-	-
Changes in Fair Value of Investment Property	15	323,522,086	41,908,364	1,000,000	6,000,000
Finance Cost	7	(472,333,239)	(459,525,508)	(328,758,825)	(334,511,705)
Share of Loss of Equity Accounted Investee (Net of Tax)	17.2	(50,174,267)	(47,680,589)	-	-
Loss from disposal of Associate	17.3	(1,680,830,599)	-	-	-
Profit/(Loss) Before Income Tax	8	(1,852,602,636)	268,901,418	(331,174,343)	(34,716,556)
Income Tax Expense	9	(22,284,148)	(67,305,654)	(13,664,405)	196,591
Profit/(Loss) for the Year from Continuing Operations		(1,874,886,784)	201,595,764	(344,838,748)	(34,519,965)
Discontinued Operations					
Profit/(Loss) after tax for the year from discontinued operations	29	(145,691,771)	(198,052,232)	-	-
Profit/(Loss) for the year		(2,020,578,555)	3,543,532	(344,838,748)	(34,519,965)
Other Comprehensive Income					
Items that will never be reclassified to profit or loss					
Defined Benefit Obligations Actuarial Gain / (Loss)		(12,574,735)	(1,000,389)	429,645	204,134
Share of Other Comprehensive Income of Equity Accounted Investee (Net of Tax)		188,542,749	97,552,025	-	-
Revaluation of Property, Plant & Equipment		466,752,664	150,789,928	-	-
Related Tax		(16,726,460)	(4,304,502)	(120,300)	57,157
		625,994,218	243,037,062	309,345	261,291
Items that are or may be reclassified to profit or loss					
Share of Other Comprehensive Income of Equity Accounted Investee (Net of Tax)		5,508,586	-	-	-
Financial assets available for sale reserve reclassified to profit or loss		(36,601,284)	-	-	-
Currency Translation of Foreign Operation		(12,110,449)	25,165,957	-	-
Currency Translation of Foreign Operation reserve reclassified to profit or loss		(16,866,355)	-	-	-
		(60,069,502)	25,165,957	-	-
Total Other Comprehensive Income		565,924,716	268,203,019	309,345	261,291
Total Comprehensive Income for the Year		(1,454,653,838)	271,746,551	(344,529,403)	(34,258,674)
Profit Attributable to:					
Equity Holders of the Company		(1,741,635,748)	16,394,799	(344,838,748)	(34,519,965)
Non - Controlling Interests		(278,942,807)	(12,851,267)	-	-
		(2,020,578,555)	3,543,532	(344,838,748)	(34,519,965)
Total Comprehensive Income Attributable to:					
Equity Holders of the Company		(1,383,895,330)	241,628,651	(344,529,403)	(34,258,674)
Non - Controlling Interests		(70,758,508)	30,117,900	-	-
		(1,454,653,838)	271,746,551	(344,529,403)	(34,258,674)
Basic Earnings / (Deficit) Per Share	10.1	(1.74)	0.02	(0.34)	(0.03)
Basic Earnings / (Deficit) Per Share from Continuing Operations	10.2	(1.59)	0.21	(0.34)	(0.03)

The Notes from pages 33 to 84 form an integral part of these Financial Statements
Figures in bracket indicate deductions

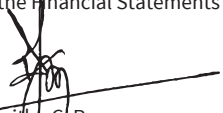
Statement of Financial Position

As at 31st March	Notes	GROUP		COMPANY	
		2016	2015	2016	2015
		Rs.	Restated Rs.	Rs.	Rs.
ASSETS					
Non-Current Assets					
Property, Plant & Equipment	11	4,952,487,058	3,769,174,094	891,174	1,032,179
Leasehold Property	12	25,113,883	25,276,236	-	-
Intangible Assets	13	75,895,344	34,914,654	-	-
Biological Assets	14	39,701,950	53,177,718	-	-
Investment Property	15	1,802,670,450	1,500,011,721	23,000,000	22,000,000
Investment in Subsidiaries	16	-	-	4,803,727,727	3,258,507,874
Investments in Equity Accounted Investees	17	-	2,608,241,218	-	-
Other Financial Assets	18	35,345,155	590,176,847	-	-
Deferred Tax Asset	26	78,657,354	26,152,861	1,197,460	1,066,359
Deposit with Colombo Stock Exchange		2,750,000	2,750,000	-	-
		<u>7,012,621,195</u>	<u>8,609,875,350</u>	<u>4,828,816,361</u>	<u>3,282,606,412</u>
Current Assets					
Inventories	19	2,418,686,250	2,272,836,833	-	-
Other Financial Assets	18	2,223,350,606	1,516,416,568	870,322,920	1,174,588,541
Trade & Other Receivables	20	1,857,932,712	2,176,225,685	48,298,290	53,477,087
Amounts Due from Related Parties	21	7,492,333	27,762,883	35,784,397	1,595,890,923
Income Tax Recoverable		30,030,888	19,075,509	-	12,814
Cash & Cash Equivalents	22	438,103,963	364,221,222	699,718	26,931,731
		<u>6,975,596,752</u>	<u>6,376,538,701</u>	<u>955,105,325</u>	<u>2,850,901,096</u>
Assets classified as Held for Sale	29	-	44,617,855	-	-
Total Assets		<u>13,988,217,946</u>	<u>15,031,031,906</u>	<u>5,783,921,686</u>	<u>6,133,507,508</u>
EQUITY AND LIABILITIES					
Equity					
Stated Capital	23	1,053,643,405	1,053,643,405	1,053,643,405	1,053,643,405
Available For Sale Reserve		-	33,175,221	-	-
Foreign Currency Translation Reserve		(6,022,629)	-	-	-
Retained Earnings		2,218,276,530	3,683,430,699	980,602,941	1,325,132,346
Revaluation Reserves		407,065,147	-	-	-
Other Capital Reserves		-	192,364,435	-	-
Equity Attributable to Equity Holders of the Company		<u>3,672,962,453</u>	<u>4,962,613,760</u>	<u>2,034,246,346</u>	<u>2,378,775,751</u>
Non Controlling Interests		1,730,158,022	1,834,860,420	-	-
Total Equity		<u>5,403,120,476</u>	<u>6,797,474,180</u>	<u>2,034,246,346</u>	<u>2,378,775,751</u>
Non-Current Liabilities					
Interest Bearing Loans & Borrowings	24	583,395,578	516,176,465	-	-
Retirement Benefit Obligations	25	267,157,532	236,741,258	4,550,643	4,080,233
Deferred Tax Liability	26	250,823,140	274,204,669	-	-
Deferred Income		810,745	1,233,745	-	-
		<u>1,102,186,995</u>	<u>1,028,356,138</u>	<u>4,550,643</u>	<u>4,080,233</u>
Current Liabilities					
Trade and Other Payables	27	1,746,067,065	1,895,758,851	13,444,216	1,714,664
Amount Due to Related Companies	28	118,234,016	148,429,570	1,022,116,146	1,129,981,386
Income Tax Payable		46,551,087	82,682,006	13,902,988	-
Interest Bearing Loans & Borrowings	24	5,572,058,307	5,040,061,637	2,695,661,347	2,618,955,474
		<u>7,482,910,476</u>	<u>7,166,932,064</u>	<u>3,745,124,697</u>	<u>3,750,651,524</u>
Liabilities Directly Associated with Assets Classified as Held For Sale		-	38,269,524	-	-
Total Equity and Liabilities		<u>13,988,217,946</u>	<u>15,031,031,906</u>	<u>5,783,921,686</u>	<u>6,133,507,508</u>
Net Assets Per Share (Rs.)		3.66	5.00	2.03	2.41

The Notes from pages 33 to 84 form an integral part of these Financial Statements

Figures in bracket indicate deductions

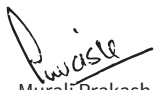
I certify that the Financial Statements have been prepared in compliance with the requirements of Companies Act No. 07 of 2007.


Haritha C. Perera
Chief Financial Officer

The Directors are responsible for the preparation and presentation of these Financial Statements. Signed for and on behalf of the Board.


Sanjeiv Gardiner
Chairman

26th August 2016
Colombo


Murali Prakash
Group Managing Director/Chief Executive Officer

Statement of Changes in Equity

For the year ended 31st March 2016

GROUP	Attributable to Equity Holders of the Company						Non Controlling Interests	Total Equity
	Stated Capital	Available for Sale	Revaluation Reserve	Foreign Currency Translation	Retained Earnings	Total		
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 1st April 2014	1,053,643,405	-	-	-	2,276,462,033	3,330,105,438	4,651,618,198	7,981,723,636
Restatement of Associate (Early adoption of IAS 16/41) (Note 17.1)	-	-	-	-	(46,022,628)	(46,022,628)	(10,950,172)	(56,972,800)
Balance as at 1st April 2014 (Restated)	1,053,643,405	-	-	-	2,230,439,405	3,284,082,810	4,640,668,026	7,924,750,836
Profit / (Loss) for the year (Restated)	-	-	-	-	16,394,799	16,394,799	(12,851,267)	3,543,532
Other Comprehensive Income	-	33,175,221	168,121,617	17,172,775	6,764,239	225,233,852	42,969,167	268,203,019
Total Comprehensive Income for the year	-	33,175,221	168,121,617	17,172,775	23,159,038	241,628,651	30,117,900	271,746,551
Transactions with owners of the Company								
Contributions and Distributions								
Dividends Paid to Non Controlling Interest	-	-	-	-	-	-	(5,085,953)	(5,085,953)
Total Contributions and Distributions	-	-	-	-	-	-	(5,085,953)	(5,085,953)
Adjustment on finance lease (Note 24.2)	-	-	4,995,276	-	10,236,483	15,231,759	4,816,831	20,048,590
Changes in ownership interest								
Associate holding change on right issue	-	-	-	-	37,961,182	37,961,182	-	37,961,182
Acquisition of Non Controlling Interest without change in control	-	-	314,892	1,759,875	1,381,634,593	1,383,709,360	(2,835,656,382)	(1,451,947,022)
Total changes in ownership interest	-	-	314,892	1,759,875	1,419,595,775	1,421,670,542	(2,835,656,382)	(1,413,985,840)
Total Transactions with owners of the Company	-	-	5,310,168	1,759,875	1,429,832,258	1,436,902,301	(2,835,925,504)	(1,399,023,203)
Balance as at 31 March 2015	1,053,643,405	33,175,221	173,431,785	18,932,650	3,683,430,699	4,962,613,760	1,834,860,420	6,797,474,180
As at 31 March 2015 Restated	1,053,643,405	33,175,221	173,431,785	18,932,650	3,683,430,699	4,962,613,760	1,834,860,420	6,797,474,180
Profit / (Loss) for the year	-	-	-	-	(1,741,635,748)	(1,741,635,748)	(278,942,807)	(2,020,578,555)
Other Comprehensive Income	-	(33,175,221)	423,602,696	(24,955,279)	(7,731,779)	357,740,417	208,184,299	565,924,716
Total Comprehensive Income for the year	-	(33,175,221)	423,602,696	(24,955,279)	(1,749,367,527)	(1,383,895,331)	(70,758,508)	(1,454,653,838)
Transactions with owners of the Company								
Contributions and Distributions								
Dividend	-	-	-	-	-	-	(1,714,768)	(1,714,768)
Total Contributions and Distributions	-	-	-	-	-	-	(1,714,768)	(1,714,768)
Changes in ownership interest								
Changes in ownership interest with out changes in control	-	-	-	-	62,037,555	62,037,555	(59,907,946)	2,129,609
Disposal of subsidiary	-	-	-	-	-	-	18,849,733	18,849,733
On disposal of associate	-	-	(189,969,334)	-	227,077,242	37,107,908	8,829,091	45,936,999
Transaction cost of Subsidiary share issue	-	-	-	-	(4,901,439)	(4,901,439)	-	(4,901,439)
Total changes in ownership interest	-	-	(189,969,334)	-	284,213,358	94,244,024	(32,229,122)	62,014,902
Total Transactions with owners of the Company	-	-	(189,969,334)	-	284,213,358	94,244,024	(33,943,890)	60,300,134
Balance as at 31 March 2016	1,053,643,405	-	407,065,147	(6,022,629)	2,218,276,530	3,672,962,453	1,730,158,022	5,403,120,476

COMPANY	Stated Capital	Retained Earnings	Total Equity
	Rs.	Rs.	Rs.
Balance as at 1st April 2014	1,053,643,405	1,359,391,020	2,413,034,425
Profit for the year	-	(34,519,965)	(34,519,965)
Other Comprehensive Income	-	261,291	261,291
Total Comprehensive Income for the year	-	(34,258,674)	(34,258,674)
Balance as at 31st March 2015	1,053,643,405	1,325,132,346	2,378,775,751
Profit for the year	-	(344,838,748)	(344,838,748)
Other Comprehensive Income	-	309,345	309,345
Total Comprehensive Income for the year	-	(344,529,402)	(344,529,402)
Balance as at 31st March 2016	1,053,643,405	980,602,941	2,034,246,346

The Notes from pages 33 to 84 form an integral part of these Financial Statements
Figures in bracket indicate deductions

Statement of Cash Flows

For the Year Ended 31st March	GROUP		COMPANY	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Cash Flows From Operating Activities				
Profit before Taxation	(1,852,602,636)	268,901,418	(331,174,343)	(34,716,556)
Loss before tax from Discontinuing Operations	(150,116,895)	(192,254,039)	-	-
Adjustment for				
Depreciation of Property, Plant & Equipment	276,442,349	272,003,177	459,328	755,888
Impairment of Property, Plant & Equipment	-	70,734,036	-	-
Impairment of Investment Property	20,863,357	20,863,358	-	-
Amortization of Lease Hold Property	162,353	243,529	-	-
Amortization of Intangible Assets	922,916	2,045,134	-	-
Change in Fair Value of Financial Assets Held for Sale	94,410,126	(77,716,131)	84,684,592	1,599,905
Provision for Retirement Gratuity	48,784,621	43,407,246	900,055	877,631
Change in Fair Value of Investment Property	(323,522,086)	(41,908,364)	(1,000,000)	(6,000,000)
Amortization of Deferred Income	(423,000)	(423,000)	-	-
Dividend Income	-	(1,323,356)	-	(23,634,303)
Loss / (Gain) on disposal of Property, Plant & Equipment	(6,046,672)	(36,564,328)	-	-
Impairment of Trade and Other Receivables	47,176,111	7,286,004	(20,048,461)	12,863,350
Changes in fair value of Biological Assets	13,475,768	(1,758,537)	-	-
Reversal for allowance for impairment of investment in subsidiaries	-	-	-	(73,854,559)
(Gain)/Loss on disposal of Financial Assets Held for Sales	3,280,620	30,831,305	-	(1,161,747)
Impairment of Inventories	-	43,783,003	-	-
(Gain)/Loss on disposal of Discontinued Operations	(16,813,878)	-	-	-
Interest Expense	454,431,126	-	-	-
Share of (Profit) / Loss of Equity Accounted Investees	50,174,267	47,680,589	-	-
Loss from Disposal of Associates (Net of Amount reclassified to Profit or Loss)	1,126,945,995	-	-	-
Loss from Classification of Associate to Fair Value through Profit or Loss	553,884,604	-	-	-
Operating Profit before Working Capital Changes	341,429,045	455,831,045	(266,178,829)	(123,270,391)
(Increase)/Decrease in Inventories	(145,849,417)	(183,240,011)	-	-
(Increase)/Decrease in Trade & Other Receivables	254,948,633	1,060,252,414	25,227,257	84,804,172
(Increase)/Decrease in Dues from Related Companies	17,068,057	3,250,658	107,027,625	808,716,050
Increase/(Decrease) in Due to Related Companies	(11,839,258)	(139,904,990)	(107,865,240)	662,783,197
Increase/(Decrease) in Trade & Other Payable	(113,743,813)	468,772,584	11,729,551	(924,240)
Cash Generated from Operations	342,013,247	1,664,961,700	(230,059,636)	1,432,108,788
Retirement Gratuity Paid	(30,943,082)	(36,992,208)	-	-
Interest Paid	(435,492,184)	-	-	-
Income Tax Paid	(157,016,835)	(57,619,303)	-	-
Net Cash Flow from Operating Activities	(281,438,854)	1,570,350,189	(230,059,636)	1,432,108,788
Cash Flow from Investing Activities				
Acquisition of Property, Plant & Equipment	(1,024,806,847)	(412,285,628)	(318,325)	(721,580)
(Acquisition)/ Proceed from Other Financial Assets	-	(59,217,521)	-	2,135,912
Acquisition of Intangible Assets	(41,903,606)	-	-	-
Disposal of Other Financial Assets	230,625,679	-	-	-
Investments in Subsidiaries	-	-	(92,140,953)	(1,328,475,324)
Acquisition of Non Controlling Interest	(105,031,884)	-	-	-
Net Proceeds from Government Securities	219,581,028	(1,053,923,243)	219,581,028	(1,064,698,700)
Proceeds from disposal of Equity Accounted Investee	363,757,250	-	-	-
Investment in Equity Accounted Investee	-	(465,000,000)	-	-
Dividend Income Received	-	1,323,356	-	23,634,303
Proceeds on Disposal of Subsidiary (Net of cash disposed) (Note 16.5)	(4,316,281)	-	-	-
Proceeds on Disposal of Property, Plant & Equipment	36,584,406	245,156,009	-	-
Net Cash Flow Used in Investing Activities	(325,500,531)	(1,743,947,027)	127,121,750	(2,368,125,388)
Cash Flow from Financing Activities				
Loan Received	150,250,603,401	2,365,173,279	849,650,870	169,393,329
Right Issue	107,161,491	-	-	-
Direct cost on Share Issue	(4,901,439)	-	-	-
Acquisition of NCI Shares	-	(1,451,947,022)	-	-
Dividend Paid to Non-Controlling Interest	(1,714,768)	(5,085,953)	-	-
Related Party - Loans Obtained	-	952,000,000	-	-
Related Party - Loans Repaid	-	(1,038,378,552)	-	-
Repayment of Loans	(150,793,614,419)	(1,728,241,271)	(951,860,656)	-
Net Cash Flow from Financing Activities	(442,465,734)	(906,479,519)	(102,209,786)	169,393,329
Net Increase/(Decrease) in Cash & Cash Equivalent during the year	(1,049,405,119)	(1,080,076,357)	(205,147,672)	(766,623,270)
Cash & Cash Equivalents				
Net movement during the year	(1,049,405,119)	(1,080,076,357)	(205,147,672)	(766,623,270)
At the beginning of the year	(1,190,470,007)	(110,393,652)	(1,330,920,225)	(564,296,955)
At the end of the year (Note A)	(2,239,875,126)	(1,190,470,007)	(1,536,067,897)	(1,330,920,225)
Note A-Cash and Equivalents are as follows				
Cash in Hand & Bank	438,103,963	365,526,320	699,718	26,931,731
Cash and Short terms Deposits of Discontinuing Operations	-	(1,305,098)	-	-
Bank overdraft	(2,677,979,089)	(1,554,691,229)	(1,536,767,615)	(1,357,851,956)
	(2,239,875,126)	(1,190,470,007)	(1,536,067,897)	(1,330,920,225)

Notes to the Financial Statements

1. REPORTING ENTITY

1.1 General

Taprobane Holdings PLC ('the Company') is a public quoted company incorporated on 20th September 2006 and domiciled in Sri Lanka. The address of the Company's registered office is No. 10, Gothami Road, Colombo 08, Sri Lanka and the principal place of business is situated at the same place.

The consolidated financial statements of the Company as at and for the year ended 31st March 2016 comprise the Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities") and the Group's interest in associates.

Ordinary shares of the Company are listed on the Diri Savi board of the Colombo Stock Exchange (CSE).

1.2 Principal Activities and Nature of Operations

During the year the principal activities of the group were as follows.

Taprobane Holdings PLC

The Company operated as the Investments Holding Company of the Group and is presently engaged in carrying out investment related activities.

Taprobane Securities (Pvt) Ltd

The principal activity of the company is functioning as a stock broker in the Colombo Stock Exchange.

Taprobane Investments (Pvt) Ltd

The principal activity of the company is conducting money broking transactions in the open market.

Taprobane Wealth Plus (Pvt) Ltd

The principal activity of the company is conducting Corporate Finance activities.

Heron Agro Products (Pvt) Ltd

The principal activity of the company is being involved in Estate Management.

Lexinton Holdings (Pvt) Ltd

The principal activity of the company is lending and maintaining commercial property, dwelling flats for lease.

Lanka Century Investments PLC

The company manages a portfolio of holdings consisting of a range of diverse business operations, which together constitute the LCI Group, and provides function based services to its subsidiaries and associates. Subsidiaries of the group were engaged in manufacturing of footwear, porcelain, textiles and managing property and investments.

Taprobane Equities (Pvt) Ltd

The company (formally known as Capital Trust Partners (Pvt) Ltd) operated as an investment management company.

1.3 Parent Entity and Ultimate Parent Entity

The Company's parent and ultimate parent is CHC Investment (Pvt) Ltd.

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The consolidated financial statements have been prepared in accordance with the Sri Lanka Accounting Standards (SLFRS) laid down by The Institute of Chartered Accountants of Sri Lanka (ICASL) and in compliance with the Companies Act No. 07 of 2007.

The consolidated financial statements were authorized for issue by the Board of Directors on 26th August 2016.

2.2 Basis of Measurement

The financial statements of the Group and the Company have been prepared on the historical cost basis with no adjustments being made for inflationary factors affecting the Financial Statements, except for the following material items in the statement of financial position,

Financial Assets at fair value through profit or loss are measured at fair value.

Available-for-sale financial assets are measured at fair value.

The liability for defined benefit obligations is measured at the present value of the defined benefit obligation.

Property Plant and Equipment are measured at fairvalue.

Investment properties are measured at the fair value.

Consumable Biological assets (timber stocks) are measured at fair value less cost to sell.

2.3 Functional and presentation currency

The functional currency is the currency of the primary economic environment in which the entities of the group operate.

The financial statements are presented in Sri Lankan Rupee (SLR), which is the functional currency and the group's presentation currency.

2.4 Use of estimates and judgment

The preparation of the financial statements in conformity with SLFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results which form the basis of making the judgments about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Notes to the Financial Statements (Continued)

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment within the next financial year are included in the following notes:

Note 9 – Utilisation of tax losses;

Note 25 – Measurement of defined benefit obligations; and

Note 31 – Provisions and contingencies.

Note 11 – Fair value of PPE, IP and Financial Instruments.

2.5 Measurement of fair values

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows :

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: Inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

Note 11 – Property, plant & equipment

Note 15 – Investment property

Notes 3.3.7 and 30 – Financial instruments

2.6 Comparative Information

Previous period figures and notes have been reclassified wherever necessary to conform to the current year's presentation.

2.7 Materiality and Aggregation

Each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or function are presented separately unless they are immaterial.

2.8 Offsetting

Assets and liabilities, and income and expenses, are not offset unless required or permitted by SLFRSs.

2.9 Going Concern

The Directors have made an assessment of the Group's ability to continue as a going concern and they do not intend either to liquidate or cease trading.

2.10 Directors' Responsibility for the Financial Statements

The Board of Directors is responsible for the preparation and fair presentation of these financial statements in accordance with Sri Lanka Accounting Standards and as per the provisions of the Companies Act No. 07 of 2007. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

2.11 Changes in Accounting Policies

The Group has consistently applied the following accounting policies to all periods presented in these consolidated and separate financial statements.

3. SIGNIFICANT ACCOUNTING POLICIES

These accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements, and have been applied consistently by Group entities.

The presentation and classification of the consolidated financial statements of the previous period have been amended, where relevant, for better presentation and to be comparable with those of the current period.

3.1 Basis of Consolidation

(a) Business combinations

Business combinations are accounted for using the acquisition method as at the acquisition date – i.e. when control is transferred to the Group.

The Group measures goodwill at the acquisition date as:

the fair value of the consideration transferred; plus

the recognised amount of any non-controlling interests in the acquiree; plus

if the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree; less

the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed.

Notes to the Financial Statements (Continued)

When the excess is negative, a bargain purchase gain is recognised immediately in profit or loss.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

(b) Subsidiaries

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the consolidated financial statements from the date on which control commences until the date on which control ceases.

Acquisition of subsidiaries is accounted for using the acquisition method of accounting.

If a member of the group uses accounting policies other than those adopted in the consolidated financial statements for like transactions and events in similar circumstances, appropriate adjustments are made to its financial statements in preparing the consolidated financial statements.

(c) Non-controlling interests

NCI are measured at their proportionate share of the acquiree's identifiable net assets at the date of acquisition.

(d) Acquisition of Non-controlling interests

Subsequent to the acquisition of control, any further acquisition of net assets from non-controlling interests is accounted for as transactions with owners in their capacity as owners. Therefore no goodwill is recognized as a result of such transactions.

Any difference between the amount by which the non controlling interests is adjusted and the fair value of the consideration paid or received shall be recognized directly in equity and attributed to the owners of the parent.

(e) Loss of control

The parent can lose control of a subsidiary with or without a change in absolute or relative ownership levels. Upon the loss of control, the Group derecognizes the assets and liabilities of the subsidiary, any non controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognized in profit or loss.

If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently it is accounted for as an equity-accounted investee or as other financial asset depending on the level of influence retained.

(f) Associates - Equity accounted Investees

Associates are those entities in which the Group has significant influence, but not control, over the financial and operating activities. Significant influence is presumed to exist when the Group holds between 20 and 50 percent of the voting power of another entity.

Associates are accounted for using the equity method and are initially recognized at cost. The Group's investment in associate includes goodwill identified on acquisition, net of any accumulated impairment losses.

The Consolidated Financial Statements include the Group's share of the income and expenses and equity movements of equity accounted investees, after adjustments to align the accounting policies with those of the Group, from the date that significant influence commences until the date that significant influence ceases.

When the Group's share of losses exceeds its interest in an equity accounted investee, the carrying amount of that interest (including any long-term investments) is reduced to nil and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the investee.

(g) Reporting Date

All the Group's Subsidiaries and Associate Companies have a common financial year end which ends on 31st March.

(h) Balances and transactions eliminated on Consolidation

Intragroup balances and transactions, including income, expenses and dividends, are eliminated in full. Profits and losses resulting from intragroup transactions that are recognized in assets, such as inventory and Property Plant and Equipment are eliminated in full.

Unrealized gains arising from transactions with equity-accounted investees are eliminated against the investment to the extent of the Group's interest in the investee.

(i) Cost of Acquisition

The cost of an acquisition is measured as the fair value of the assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange.

(j) Goodwill on Acquisition

Goodwill represents the excess of the cost of any acquisition of a subsidiary or an associate over the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities acquired.

The Company will test the goodwill for impairment annually and assess for any indication of impairment to ensure that its carrying amount does not exceed the recoverable amount. If an impairment loss is identified, it is recognized immediately in Profit or loss. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to groups of cash-generating units that are expected to benefit from the synergies of the combination.

The impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets

Notes to the Financial Statements (Continued)

pro-rata to the carrying amount of each asset in the unit. Where goodwill forms part of a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation.

Carrying amount of the goodwill arising on acquisition of subsidiaries is presented as an intangible and the goodwill on an acquisition of an equity accounted investments is included in the carrying value of the investment.

(k) Gain on Bargain Purchase

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities exceeds the cost of the acquisition of the entity, the Group will reassess the measurement of the acquiree's identifiable assets and liabilities and the measurement of the cost and recognize the difference immediately in the Consolidated Statement of Profit or Loss and Other Comprehensive Income.

(l) Discontinued Operation

A discontinued operation is a component of the Group's business operations and cash flows of which can be clearly distinguished from the rest of the Group and which:

Represent a separate major line of business or geographic area of operations;

Is part of single coordinated plan to dispose of a separate major line of business or geographic area of operations; or

Is a subsidiary acquired exclusively with a view to resale.

Classification as a discontinued operation occurs at the earlier of disposal or when the operation meets the criteria to be classified as held for sale.

When an operation is classified as a discontinued operation, the comparative statement of profit or loss and OCI is represented as if the operation had been discontinued from the start of the comparative year.

(m) Asset Held for Sale

Non-current assets or disposal groups comprising assets and liabilities are classified as held for sale if it is highly probable that they will be recovered primarily through sale rather than through continuing use.

Such assets or disposal groups are generally measured at the lower of their carrying amount and fair value less cost to sell. Any impairment loss on a disposal group is allocated first to goodwill and then to the remaining assets and liabilities on a pro rata basis, except that no loss is allocated to inventories, financial assets, deferred tax asset, employee benefit assets, investment property or biological assets, which continue to be measured in accordance with the Group's other accounting policies. Impairment losses on re-measurement are recognised in profit or loss.

Once classified as held for sale, intangible assets and property plant and equipment are no longer amortised or depreciated and any equity accounted investee is no longer equity accounted.

3.2 Foreign currency

(a) Foreign currency transactions

Transactions in foreign currencies are translated to the respective functional currencies of Group entities at exchange rates at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the exchange rate at that date. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the year, adjusted for effective interest and payments during the year, and the amortised cost in foreign currency translated at the exchange rate at the end of the year.

Non-monetary assets and liabilities that are measured at fair value in a foreign currency are retranslated to the functional currency at the exchange rate at the date that the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are translated using the exchange rate at the date of the transaction.

Foreign currency differences arising on retranslation are generally recognised in profit or loss. However, foreign currency differences arising from the retranslation of the following items are recognised in other comprehensive income:

Available-for-sale equity investments (except on impairment in which case foreign currency differences that have been recognised in other comprehensive income are reclassified to profit or loss);

A financial liability designated as a hedge of the net investment in a foreign operation to the extent that the hedge is effective; or

Qualifying cash flow hedges to the extent the hedge is effective.

(b) Foreign operations

The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated to euro at exchange rates at the reporting date. The income and expenses of foreign operations are translated to euro at exchange rates at the dates of the transactions.

Foreign currency differences are recognised in other comprehensive income, and presented in the foreign currency translation reserve (translation reserve) in equity. However, if the foreign operation is a non-wholly owned subsidiary, then the relevant proportion of the translation difference is allocated to non-controlling interests. When a foreign operation is disposed of such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. When the Group disposes of only part of its interest in a subsidiary that includes a foreign operation while retaining control, the relevant proportion of the cumulative amount is reattributed to non-controlling interests. When the Group disposes of only part of its investment in an associate or joint venture that includes a foreign operation while retaining significant influence or joint control, the relevant proportion of the cumulative amount is reclassified to profit or loss.

Notes to the Financial Statements (Continued)

When the settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely in the foreseeable future, foreign currency gains and losses arising from such item are considered to form part of the net investment in the foreign operation and are recognised in other comprehensive income, and presented in the translation reserve in equity.

3.3 Financial Instruments

3.3.1 Non derivative financial assets

The Group initially recognizes loans and advances, deposits, debt securities issued and subordinated liabilities on the date at which they are originated. All the financial assets and liabilities other than regular way purchases and sales are recognized on the trade at which the Group becomes a party to the contractual provisions of the instruments.

The Group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred. Any interest in such transferred financial assets that is created or retained by the Group is recognised as a separate asset or liability.

The Group classifies non-derivative financial assets into the following categories: financial assets at fair value through profit or loss, held-to-maturity financial assets, loans and receivables and available-for-sale financial assets.

(a) Financial assets at fair value through profit or loss

A financial asset is classified at fair value through profit or loss if it is classified as held for trading or is designated as such upon initial recognition. Financial assets are designated at fair value through profit or loss if the Group manages such investments and makes purchase and sale decisions based on their fair value in accordance with the Group's documented risk management or investment strategy. Upon initial recognition, transaction costs are recognized in profit or loss as incurred.

Financial assets at fair value through profit or loss are measured at fair value, and subsequent therein are recognized in profit or loss.

(b) Held-to-maturity financial assets

If the Group has the positive intent and ability to hold debt securities to maturity, then such financial assets are classified as held-to-maturity. Held-to-maturity financial assets are recognized initially at fair value plus any directly attributable transaction costs. Subsequent to initial recognition held to-maturity financial assets are measured at amortized cost using the effective interest method, less any impairment losses.

Any sale or reclassification of a more than insignificant amount of held-to-maturity investments not close to their maturity would result in the reclassification of all held-to-maturity investments as available-for-sale, and prevent the Group from classifying investment securities as held-to-maturity for the current and the following two financial years.

(c) Loans and receivables

Loans and receivables are financial assets with fixed or

determinable payments that are not quoted in an active market. Such assets are recognized initially at fair value plus any directly attributable transaction costs. Subsequent to initial recognition loans and receivables are measured at amortized cost using the effective interest method, less any impairment losses.

However, loans which are payable on demand no adjustments have made since fair value of loan is equal to the cost/granted amount.

Loans and receivables of the Group comprise of the following,

Advances and Other Loans to Customers

Advances and other loans to customers comprised of revolving loans & loans payable on demand. Revolving loans & loans payable on demand to customers are reflected in the Balance Sheet at amounts disbursed less repayments and provision for doubtful debts.

Trade Receivables

Trade and other receivables are stated at the amounts they are estimated to realize, net of provisions for bad and doubtful receivables. A provision for doubtful debts is made where as there is objective evidence that the Company will not be able to recover all amounts due according to the original terms of receivables. Bad debts are written-off when identified.

Cash and Cash Equivalents

Cash and cash equivalents comprise of cash in hand and cash at banks and other highly liquid financial assets which are held for the purpose of meeting short-term cash commitments with original maturities of less than three months which are subject to insignificant risk of changes in their fair value.

Bank overdrafts that are repayable on demand and form an integral part of the Group cash management are included as a component of cash and cash equivalents for the purpose of the statement of cash flows.

(d) Available-for-sale financial assets

Available-for-sale financial assets are non-derivative financial assets that are designated as available-for-sale and that are not classified in any of the previous categories.

Subsequent to initial recognition, these are measured at fair value and changes therein, other than impairment losses are recognized in other comprehensive income and presented within equity in the fair value reserve. When an investment is derecognized, the cumulative gain or loss in other comprehensive income is transferred to profit or loss.

3.3.2 Financial Liabilities

The Group initially recognizes debt securities and Loans & Borrowings on the date that they are originated. All other financial liabilities are recognized at initially on the trade date, which is the date that the Group becomes party to the contractual provisions of the instruments.

The Group derecognizes a financial liability when its contractual obligations are discharged, cancelled or expired.

Notes to the Financial Statements (Continued)

The Group classifies non-derivative financial liabilities into the other financial liabilities category. Such financial liabilities are recognised initially at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these financial liabilities are measured at amortised cost using the effective interest method.

Other financial liabilities comprise of Loans & Borrowings and Bank Overdraft.

3.3.3 De-recognition

The Group derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire, or when it transfers the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all the risks and rewards of ownership and it does not retain control of the financial asset. Any interest in transferred financial assets that qualify for de-recognition that is created or retained by the Group is recognized as a separate asset or liability in the statement of financial position. On de-recognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognized in other comprehensive income is recognized in profit or loss.

The Group enters into transactions whereby it transfers assets recognized on its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. If all or substantially all risks and rewards are retained, then the transferred assets are not derecognized.

In transactions in which the Group neither retains nor transfers substantially all the risks and rewards of ownership of a financial asset and it retains control over the asset, the Group continues to recognize the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

The Group derecognizes a financial liability when its contractual obligations are discharged or cancelled or expire.

3.3.4 Offsetting

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group has a legal right to offset the amounts and intends either to settle on a net basis or to realize the asset and settle the liability simultaneously.

3.3.5 Amortized cost measurement

The amortized cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortization using the effective interest method of any difference between the initial amount recognized and the maturity amount, minus any reduction for impairment.

3.3.6 Fair value measurement

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction on the measurement date.

When available, the Group measures the fair value of an instrument using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

If a market for a financial instrument is not active, the Group establishes fair value using a valuation technique. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses and other equity pricing models.

The chosen valuation technique makes maximum use of market inputs, relies as little as possible on estimates specific to the Group, incorporates all factors that market participants would consider in setting a price, and is consistent with accepted economic methodologies for pricing financial instruments.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. the fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable markets. When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognized in profit or loss.

3.3.7 Valuation of Financial Instruments

The Group measures the fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements.

Level 1 – Quoted market price (unadjusted) in an active market of an identical instrument.

Level 2 – Valuation techniques based on observable inputs, either directly (i.e., as prices) or indirectly (i.e., derived from prices), this category included instruments valued using: quoted market prices in active markets similar instruments; quoted prices for identical or similar instruments in markets are considered less than active: or other valuation techniques where all significant inputs are directly observable from market data.

Level 3 – Valuation techniques use significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation.

This category includes instruments that are valued based on quoted prices for similar instruments where significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

Notes to the Financial Statements (Continued)

Fair values of financial assets and financial liabilities that are traded in active markets are based on quoted market prices or dealer price quotations. For all other financial instruments the Group determines fair values using valuation techniques.

Valuation techniques include net present value and discounted cash flow models, comparison to similar instruments for which market observable prices exist, other equity pricing models and other valuation models. Assumptions and inputs used in valuation technique include risk free and bench mark interest rates, credit spreads and other premium used in estimating discount rates, bond and other equity prices, foreign currency exchange rates, equity and equity index prices and expected price volatilities and correlations.

The objective of valuation techniques is to arrive at a fair value determination that reflects the price of the financial instruments at the reporting date that would have been determined by market participants acting at arm's length.

The Group widely recognized valuation models for determining the fair value of common and more simple financial instruments. Observable prices and model inputs are usually available in the market for listed debt and equity securities. Availability of observable market inputs reduces the need of management judgment and estimation and also reduces the uncertainty associated with determination of fair values. Availability of observable market prices and inputs varies depending on the products and markets are is prone to changes based on specific events and general conditions in the financial markets.

Notes to the Financial Statements (Continued)

The table below shows the different basis used in assessing the fair value of financial instruments,

Instrument category	Fair value basis and assumptions	Fair value hierarchy
Financial Assets		
Fair value through profit or loss		
- Trading equity shares - Treasury Bonds - Treasury Bills	Valued using market prices / yields	Level 1
Loans and receivables		
Loans receivables	Stated at amortized cost	
Staff loans	Stated at amortized cost Loan given to employees at below market rate will be identified at market rate by discounting the loan at market rate. The group companies used 18% rate for this purpose.	
- Repo investments	Stated at amortized cost	
- Commercial papers	Stated at amortized cost	
- Debentures	Stated at amortized cost	
Held to Maturity	Stated at amortized cost	
Financial Liabilities		
Other Financial Liabilities (Borrowings)	Stated at amortized cost	

Notes to the Financial Statements (Continued)

3.3.8 Identification and measurement of impairment of financial assets

At each reporting date the Group assesses whether there is objective evidence that financial assets not carried at fair value through profit or loss are impaired. A financial asset or a group of financial assets is (are) impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset(s), and that the loss event has an impact on the future cash flows of the asset(s) that can be estimated reliably.

Objective evidence that financial assets (including equity securities) are impaired can include significant financial difficulty of the borrower or issuer, default or delinquency by a borrower, restructuring of a loan or advance by the Group on terms that the Group would not otherwise consider, indications that a borrower or issuer will enter bankruptcy, the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group of economic conditions that correlate with defaults in the group. In addition, for an investment in an equity security, a significant or prolonged decline in its fair value below its cost is objective evidence of impairment.

(i) Financial assets measured at amortised cost

The Group considers evidence of impairment for loans and advances at both a specific and collective basis. All individually significant loans and advances and held-to-maturity investment securities are assessed for specific impairment. All individually significant loans and advances and held-to-maturity investment securities found not to be specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified.

Loans and advances that are not individually significant are collectively assessed for impairment by grouping them together with similar risk characteristics based on product types.

In assessing collective impairment the Group uses statistical modeling of historical trends of the probability of default, timing of recoveries and the amount of loss incurred, adjusted for management's judgment as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical modeling. Default rates, loss rates and the expected timing of future recoveries are regularly taken into account to ensure that they remain appropriate.

Impairment losses on assets carried at amortized cost are measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the asset's original effective interest rate. Impairment losses are recognized in profit or loss and reflected in an allowance account against loans and advances. Interest on impaired assets continues to be recognized through the unwinding of the discount. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

(ii) Available-for-sale financial assets

Impairment losses on available-for-sale investment securities are recognized by transferring the cumulative loss that has been recognized in other comprehensive income to profit or loss as a re-classification adjustment. The cumulative loss that is reclassified from other comprehensive income to profit or loss is the difference

between the acquisition cost, net of any principal repayment and amortization, and the current fair value, less any impairment loss previously recognized in profit or loss. Changes in impairment provisions attributable to time value are reflected as a component of interest income.

If, in a subsequent period, the fair value of an impaired available-for-sale debt security increases and the increase can be objectively related to an event occurring after the impairment loss was recognized in profit or loss, the impairment loss is reversed, with the amount of the reversal recognized in profit or loss. However, any subsequent recovery in the fair value of an impaired available-for-sale equity security is recognized in other comprehensive income.

3.3.9 Impairment of Non-financial Assets

The carrying amounts of the Company's Non-Financial Assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. An impairment loss is recognized if the carrying amount of an asset or its related Cash-Generating Unit (CGU) exceeds its estimated recoverable amount.

The Company's corporate assets do not generate separate cash inflows and are utilized by more than one CGU. Corporate assets are allocated to CGUs on a reasonable and consistent basis and tested for impairment as part of the testing of the CGU to which the corporate asset is allocated.

Impairment losses are recognized in profit or loss. Impairment losses recognized in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the CGU (group of CGUs), and then to reduce the carrying amounts of the other assets in the CGU (group of CGUs) on a pro rata basis.

Impairment losses recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation, if no impairment loss had been recognized.

3.4 Property, Plant and Equipment

3.4.1 Freehold Property, Plant & Equipment

(a) Basis of Recognition

Property, plant and equipment are recognized if it is probable that future economic benefits associated with the asset will flow to the Group and cost of the asset can be reliably measured.

(b) Basis of Measurement

Items of property, plant and equipment are measured at cost/revaluation less accumulated depreciation/ impairment losses.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly

Notes to the Financial Statements (Continued)

attributable to bringing the assets to a working condition for their intended use, the costs of dismantling and removing the items and restoring the site on which they are located and capitalized borrowing costs.

Purchased software that is integral to the functionality of the related equipment is capitalized as part of that equipment.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items of property, plant and equipment.

Land and buildings are measured at fair value less accumulated depreciation on buildings and impairment charged subsequent to the date of revaluation.

The Group applies the cost model to all plant and machinery, production equipment and Shoe Last which; records at cost of purchase together with any incidental expenses thereon less any accumulated depreciation and accumulated impairment losses.

(c) Subsequent Costs

The cost of replacing part of an item of property, plant and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of the replaced part is de-recognized. The costs of the day-to-day servicing of property, plant and equipment are recognized in profit or loss as incurred.

(d) Reclassification to investment property

When the use of a property changes from owner-occupied to investment property, the property is re-measured to fair value and reclassified as investment property. Any gain arising on re-measurement is recognized in profit or loss to the extent that it reverses a previous impairment loss on the specific property, with any remaining gain recognized and presented in the revaluation reserve in equity. Any loss is recognized immediately in profit or loss.

(e) Depreciation

Depreciation is based on the cost of an asset less its residual value. Significant components of individual assets are assessed and if a component has a useful life that is different from the remainder of that asset, that component is depreciated separately.

Depreciation is recognized in profit or loss on a straight-line basis over the estimated useful life of each component of an item of property, plant and equipment. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term. Lands are not depreciated.

Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale and the date that the asset is de-recognized.

Depreciation methods, useful life values are assessed at the reporting date. The estimated useful lives for the current year are as follows.

Land Development Cost	10 Years
Building on Freehold Land	10-50 Years
Plant & Machinery	10-15 Years
Tools & Equipment	5-18 Years
Furniture Fittings & Office Equipment	5-7 Years
Motor Vehicles	3-6 Years
Waste Water Purification Project	15 Years
Kilns & Kiln Furniture	3-15 Years
Computer Equipment	1-5 Years

(f) De-recognition

An item of property, plant and equipment is de-recognized upon disposal or when no future economic benefits are expected from its use or disposal.

The gain or loss on disposal of an item of property, plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of the property, plant and equipment, and is recognized net within other income/other expenses in the income statement. When revalued assets are sold, the amounts included in the revaluation surplus reserve are transferred to retained earnings.

3.4.2 Biological Assets

The entity recognizes the biological assets when, and only when, the entity controls the assets as a result of a past event, it is probable that future economic benefits associated with the assets will flow to the entity and the fair value for cost of the assets can be measured reliably. Biological assets are classified into mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests. Immature biological assets are those that have not yet attained harvestable specifications.

The cost of the land preparation, rehabilitation, new planting, replanting, crop diversifications, inter-planting and fertilizing, etc., incurred between the time of planting and harvesting (when the planted area attains maturity), are classified as immature plantations. These immature plantations are shown at direct costs plus attributable overheads, including interest attributable to long-term loans used for financing immature plantations. The expenditure incurred on bearer biological assets (Tea, Rubber fields) which comes into bearing during the year, is transferred to mature plantations. Expenditure incurred on consumable biological assets is recorded at cost at initial recognition and thereafter at fair value at the end of each reporting period.

Biological assets are further classified as bearer biological assets and consumable biological assets.

(i) Bearer Biological Assets

Bearer biological assets include tea and rubber trees that are not intended to be sold or harvested, but are grown for harvesting agricultural produce from such biological assets. The bearer biological assets are measured at cost less accumulated depreciation and accumulated impairment losses, if any, in terms of LKAS 16 – Property Plant & Equipment as per the ruling issued by ICASL.

(ii) Consumable Biological Assets

Consumable biological assets include managed timber trees that are to be sold as biological assets. The managed timber trees are

Notes to the Financial Statements (Continued)

measured on initial recognition and at the end of each reporting period at its fair value less cost to sell in terms of LKAS 41. The cost is treated as approximation to fair value of young plants as the impact on biological transformation of such plants to price during this period is immaterial.

The gain or loss arising on initial recognition of biological assets at fair value less cost to sell and from a change in fair value less cost to sell of biological assets are included in Comprehensive Income Statement for the period in which it arises.

(iii) Infilling Cost on Bearer Biological Assets

Where infilling results in an increase in the economic life of the relevant field beyond its previously assessed standard of performance, the costs are capitalized and depreciated over the useful life at rates applicable to mature plantations. Infilling costs that are not capitalized have been charged to the Statement of comprehensive income in the year in which they are incurred.

3.5 Investment Properties

(a) Basis of Recognition

Investment property is property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

Investment properties are measured initially at cost, including transaction costs. The carrying value of an investment property includes the cost of replacing part of an existing investment property, at the time that cost is incurred if the recognition criteria are met, and excludes the costs of day-to-day servicing of the investment property. Subsequent to initial recognition, the investment properties are measured at fair value.

Gains or losses arising from changes in fair value are included in the income statement in the year in which they arise. Fair values are evaluated at frequent intervals by an accredited external, independent valuer.

(b) De-recognition

Investment properties are de-recognized when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognized in the Income Statement in the year of retirement or disposal.

(c) Subsequent Transfers to/from Investment Property

Transfers are made to investment property when, and only when, there is a change in use, evidenced by the end of owner occupation, commencement of an operating lease to another party or completion of construction or development.

Transfers are made from investment property when, and only when, there is a change in use, evidenced by commencement of owner occupation or commencement of development with a view to sale.

(d) Determining Fair Value

External and independent valuers, having appropriate recognized professional qualifications and recent experience in the location and

category of property being valued, values the investment property portfolio at least every 3 year.

The fair values are based on market values, being the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably.

3.6 Intangible Assets

(a) Basis of Recognition

An Intangible Asset is recognized if it is probable that future economic benefits that are attributable to the assets will flow to the entity and the cost of the assets can be measured reliably.

(b) Basis of Measurement

Intangible assets acquired separately are measured as initial recognition at cost. Following initial recognition intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses. The useful life of intangible assets is assessed to be either finite or indefinite. Intangible assets with finite useful life are amortized over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the method for an intangible asset with a finite useful life is reviewed at least at each financial year end. Intangible assets with indefinite useful lives are tested for impairment annually either individually or at the cash generating unit level.

(c) Subsequent Expenditure

Subsequent expenditure on intangible assets is capitalized only when it increases the future economic benefits embodied these assets. All other expenditure is expensed when incurred.

(d) De-recognition

Intangible assets are de-recognized on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of intangible assets are measured as difference between the net disposal proceeds and the carrying amount of the asset.

(e) Amortization

Amortization is recognized in the income statement on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use.

The estimated useful life of each intangible asset is as follows;

Computer Software 4 - 20 years

Amortization methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

Goodwill

Goodwill that arises on the acquisition of subsidiaries is presented with intangible assets. For the measurement of goodwill at initial recognition, see note "Business Combinations"

Notes to the Financial Statements (Continued)

(f) Subsequent measurement

Goodwill is measured at carrying value less accumulated impairment losses. In respect of equity accounted investees, the carrying amount of goodwill is included in the carrying amount of the investment, and any impairment loss is allocated to the carrying amount of the equity accounted investee as a whole.

3.7 Inventories

Inventories are valued at the lower of cost and net realisable value, after making due allowances for obsolete and slow moving items. Net realisable value is the price at which inventories can be sold in the ordinary course of business less the estimated cost of completion and the estimated cost necessary to make the sale.

The cost incurred in bringing inventories to its present location and condition is accounted using the following cost formulae:-

Raw Materials

At purchase cost on weighted average basis

Finished Goods & Work-in-Progress

At the cost of direct materials, direct labour and an appropriate proportion of fixed production overheads based on normal operating capacity, but excluding borrowing Costs.

Consumables & Spares

At purchase cost on weighted average basis

Goods in Transit

At purchase price

3.8 Other Non-financial Liabilities and Provisions

Liabilities are recognized in the statement of financial position when there is a present obligation as a result of a past event, the settlement of which is expected to result in an outflow of resources embodying economic benefits. Obligations payable at the demand of the creditor within one year of the reporting date are treated as current liabilities. Liabilities payable after one year from the reporting date are treated as non-current liabilities.

3.8.1 Employee benefits

(a) Defined contribution plans

A Defined Contribution Plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to Defined Contribution Plans are recognized as an employee benefit expense in the income statement in the periods during which services are rendered by employees.

(i) Employees' Provident Fund (EPF)

The Group and employees contribute 12%/15% and 8%/10% respectively on the salary of each employee to the above mentioned fund.

(ii) Employees' Trust Fund (ETF)

The Company / Group contribute 3% of the salary of each employee to the Employees' Trust Fund.

(b) Defined benefits plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The Company's net obligation in respect of defined benefit pension plans is calculated by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value. Any unrecognized past service costs are deducted.

The calculation is performed every three years by a qualified actuary using the projected unit credit method. For the purpose of determining the charge for any period before the next regular actuarial valuation falls due, an approximate estimate provided by the qualified actuary is used.

When the benefits of a plan are improved, the portion of the increased benefit related to past service by employees is recognized in profit or loss on a straight-line basis over the average period until the benefits become vested. To the extent that the benefits vest immediately, the expense is recognized immediately in profit or loss.

The Group recognizes all actuarial gains and losses arising from the defined benefit plan immediately in other comprehensive income (OCI) and all other expenses related to defined benefit plans are recognized as personnel expenses in income statement. This retirement benefit obligation is not externally funded.

3.8.2 Accounts Payables and Accrued Expenses

Trade and other payables are stated at cost.

3.8.3 Provisions

Provisions are made for all obligations existing as at the Balance Sheet date when it is probable that such an obligation will result in an outflow of resources and a reliable estimate can be made of the quantum of the outflow. All contingent liabilities are disclosed as a note to the Financial Statements unless the outflow of resources is remote. Contingent assets are disclosed, where inflow of economic benefit is probable.

3.9 Income Statement

3.9.1 Revenue Recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group, and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable, net of trade discounts and value added taxes, after eliminating sales within the Group.

The following specific criteria are used for recognition of revenue:

(a) Sale of goods

Revenue from the sale of goods is recognized when the significant risk and rewards of ownership of the goods have passed to the buyer with the Group retaining neither a continuing managerial involvement to the degree usually associated with ownership, nor an effective control over the goods sold. If it is probable that discounts will be granted and the amount can be measured reliably, then the discount is recognised as a reduction of revenue as the sales are recognised.

Notes to the Financial Statements (Continued)

(b) Rendering of services

Revenue from rendering of services is recognised by reference to the stage of completion. Where the contract outcome cannot be measured reliably, revenue is recognised only to the extent that the expenses incurred are eligible to be recovered.

(c) Dividend Income

Dividend income is recognised when the Group's right to receive the payment is established.

(d) Commissions

When the Group acts in the capacity of an agent rather than as the principal in a transaction, the revenue recognised is the net amount of commission made by the Group.

(e) Rental income

Rental income arising from operating leases on investment properties is accounted for on a straight-line basis over the lease terms. Rental income from other property is recognised as other income.

(f) Gains and losses

Net gains and losses of a revenue nature arising from the disposal of property, plant and equipment and other noncurrent assets, including biological assets, investments, are accounted for in the income statement, after deducting from the proceeds on disposal, the carrying amount of such assets and the related selling expenses.

(g) Other income

Other income is recognised on an accrual basis.

3.9.2 Expenses Recognition

Expenses are recognized in the Statement of Profit or Loss and Other Comprehensive Income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant & equipment in a state of efficiency has been charged to income in arriving at the profit for the year.

For the presentation of the Statement of Profit or Loss and Other Comprehensive Income the Directors are of the opinion that the nature of the expenses method present fairly the element of the Company's performance, and hence such presentation method is adopted.

Repairs and renewals are charged to the profit or loss in the year in which the expenditure is incurred.

3.9.3 Finance income and finance costs

Finance income comprises interest income on funds invested (including available-for-sale financial assets), dividend income, gains on the disposal of available-for-sale financial assets, fair value gains on financial assets at fair value through profit or loss, gains on the re-measurement to fair value of any pre-existing interest in an acquiree in a business combination, gains on hedging instruments that are recognised in profit or loss and reclassifications of net gains previously recognised in other comprehensive income. Interest income is recognised as it accrues in profit or loss, using the effective interest method. Dividend income is recognised in profit or loss on

the date that the Group's right to receive payment is established, which in the case of quoted securities is normally the ex-dividend date.

Finance costs comprise interest expense on borrowings, unwinding of the discount on provisions and deferred consideration, losses on disposal of available-for-sale financial assets, dividends on preference shares classified as liabilities, fair value losses on financial assets at fair value through profit or loss and contingent consideration, impairment losses recognised on financial assets (other than trade receivables), losses on hedging instruments that are recognised in profit or loss and reclassifications of net losses previously recognised in other comprehensive income.

Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in profit or loss using the effective interest method.

Foreign currency gains and losses on financial assets and financial liabilities are reported on a net basis as either finance income or finance cost depending on whether foreign currency movements are in a net gain or net loss position.

3.9.4 Government grants

An unconditional government grant related to a biological asset is recognised in profit or loss as other income when the grant becomes receivable. Other government grants are recognised initially as deferred income at fair value when there is reasonable assurance that they will be received and the Group will comply with the conditions associated with the grant, and are then recognised in profit or loss as other income on a systematic basis over the useful life of the asset.

Grants that compensate the Group for expenses incurred are recognised in profit or loss as other income on a systematic basis in the periods in which the expenses are recognised.

3.9.5 Leases

(a) Leased assets

Assets held by the Group under leases which transfer to the Group substantially all of the risks and rewards of ownership are classified as finance leases. On initial recognition, the leased asset is measured at an amount equal to the lower of its fair value and the present value of the minimum lease payments. Subsequent to initial recognition, the asset is accounted for in accordance with the accounting policy applicable to that asset.

Assets held under other leases are classified as operating leases and are not recognised in the Group's statement of financial position.

(b) Lease payments

Payments made under operating leases are recognised in profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease.

Minimum lease payments made under finance leases are apportioned between the finance expense and the reduction of the outstanding liability. The finance expense is allocated to each period during the lease term so as to produce a constant periodic rate

Notes to the Financial Statements (Continued)

of interest on the remaining balance of the liability.

3.9.6 Tax

Tax expense comprises of current, deferred tax and other statutory taxes. Income tax expense is recognized in income statement except to the extent that it relates to items recognized directly in equity or in other comprehensive income.

(a) Current Tax

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years. Current tax payable also includes any tax liability arising from the tax on dividend income.

The provision for income tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the Inland Revenue Act. No 10 of 2006 and subsequent amendments thereto.

Current tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue.

(b) Deferred Tax

Deferred tax is recognized in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognized for:

Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;

Temporary differences related to investments in subsidiaries and jointly controlled entities to the extent that it is probable that they will not reverse in the foreseeable future; and

Taxable temporary differences arising on the initial recognition of goodwill.

Taxable temporary differences arising on subsidiaries, associates or joint ventures who have not distributed their entire profits to the parent or investor.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realized simultaneously.

A deferred tax asset is recognized for unused tax losses, tax credits and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against

which they can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefits will be realized.

Deferred tax assets and liabilities are not discounted.

The net increase in the carrying amount of deferred tax liability net of deferred tax asset is recognized as deferred tax expense and conversely any net decrease is recognized as reversal to deferred tax expense, in the income statement.

(c) Withholding Tax on Dividends

Dividend distributed out of taxable profit of the local companies attracts a 10% deduction at source and is not available for set off against the tax liability of the Company. Withholding tax that arises from the distribution of dividends by the Company is recognized at the same time as the liability to pay the related dividend is recognized.

(d) Economic Service Charge (ESC)

As per the provisions of Economic Service Charge Act No. 13 of 2006 amendments thereto, ESC is payable on the liable turnover at specified rates. ESC is deductible from the income tax liability. Any unclaimed amount can be carried forward and set off against the income tax payable in the three subsequent years as per the relevant provision in the Act.

3.9.7 Borrowing Costs

Borrowing costs that are directly attributable to the acquisition, construction or production of qualifying assets that take a substantial period of time to get ready for its intended use or sale, are capitalized as part of the assets.

Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognized in profit or loss using the effective interest method.

3.9.8 Earnings per Share

The Company presents basic and diluted earnings per share data for its ordinary shares. Basic earnings per share is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the year. Diluted earnings per share is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares.

3.10 Statement of Cash Flows

The Statement of Cash Flows has been prepared using the 'Indirect Method' of preparing Cash Flows in accordance with the Sri Lanka Accounting Standard 9 'Statements Cash Flows.' Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

Cash and cash equivalents comprise of cash in hand and cash at banks and other highly liquid financial assets which are held for the purpose of meeting short-term cash commitments with original maturities of less than three months which are subject to insignificant risk of changes in their fair value.

Notes to the Financial Statements (Continued)

3.11 Related Party Disclosures

(a) Transactions with Related Parties

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard 24. The Pricing applicable to such transactions is based on the assessment of the risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated Customers.

(b) Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard 24 "Related Party Disclosures", Key management personnel, are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Board of Directors (including executive and non-executive Directors), personnel hold designation of Divisional General Manager and above positions and their immediate family member have been classified as Key Management Personnel of the Company.

The immediate family member is defined as spouse or dependent. Dependent is defined as anyone who depends on the respective Director for more than 50% of his/her financial needs.

3.12 Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments operating results are reviewed regularly by Group Board of Directors to make decisions about resources to be allocated to the segment and to assess its performance, and for which discrete financial information is available.

Accordingly, the segment comprises of Investments/ Fund management, Leisure, Finance/Corporate Finance, Stock Brokering, Money Brokering, Manufacturing, Property, Services and others are described in Note 4.

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Segment capital expenditure is the total cost incurred during the period to acquire segment assets that are expected to be used for more than one period.

Expenses that cannot be directly identified to a particular segment are allocated on bases decided by the management and applied consistently throughout the year.

3.13 Events after the Reporting Period

All material events occurring after the reporting period have been considered and where appropriate adjustments or disclosures have been made in the respective Notes to the Financial Statements

3.14 Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent Liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent Liabilities are not recognized in the Statement of Financial Position but are disclosed unless they are remote.

3.15 New Accounting Standards issued but not Effective as at the reporting date

The following new Sri Lanka Accounting Standards have been issued by The Institute of Chartered Accountants of Sri Lanka that have an effective date in the future and have not been applied in preparing these Financial Statements. Those SLFRS will have an effect on the accounting policies currently adopted by the Group and may have an impact on the future Financial Statements.

Sri Lanka Accounting Standard (SLFRS 9) – "Financial Instruments: Classification and Measurement"

In December 2014, the CA Sri Lanka issued the final version of SLFRS 9 Financial Instruments classification and measurement which reflects all phases of the financial instruments project and replaces LKAS 39 Financial Instruments: Recognition and Measurement. The standard introduces new requirements for classification and measurement, impairment, and hedge accounting.

SLFRS 9 is effective for annual periods beginning on or after 1 January 2018, with early application permitted. Retrospective application is required, but comparative information is not compulsory. The adoption of SLFRS 9 will have an effect on the classification and measurement of the Group's financial assets, but no impact on the classification and measurement of the Group's financial liabilities.

Sri Lanka Accounting Standard (SLFRS 15) – "Revenue from Contracts with Customers"

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognised. It replaces existing revenue recognition guidance, including Sri Lanka Accounting Standard (LKAS 18) – "Revenue", Sri Lanka Accounting Standard (LKAS 11) – "Construction Contracts" and several IFRIC's. This standard is effective for the annual periods beginning on or after 01 January 2018.

The Group will adopt these standards when they become effective. Pending the completion of detailed review, the financial impact is not reasonably estimatable as at the date of publication of these Financial Statements.

Notes to the Financial Statements (Continued)

4 Segment Information

Group	Money Broking		Stock Broking		Manufacturing Textile		Manufacturing Porcelain	
	2016 LKR	2015 LKR	2016 LKR	2015 LKR	2016 LKR	2015 LKR	2016 LKR	2015 LKR
Total Revenue	89,370,392	107,644,323	37,727,077	73,812,007	6,296,476,712	5,824,285,956	2,378,970,723	2,324,858,814
Segment Results (Gross Profit)	77,734,761	88,111,168	36,238,422	72,000,921	947,420,889	881,527,562	498,965,717	342,854,794
Investment and Other Income	532,437	3,636,745	28,987,333	23,744,262	116,446,484	35,474,000	35,520,017	13,215,000
Impairment of Trade and Other Receivables	-	-	7,914,752	13,897,342	(14,040,784)	-	(8,332,213)	-
Change in Fair Value of Financial Assets Held for Trading	(467,467)	(603,043)	-	-	-	-	-	-
Impairment of Property Plant and Equipment & Investment Property	-	-	(20,863,358)	(20,863,358)	-	-	-	-
Changes in Fair Value of Investment Property	-	-	-	-	-	-	-	-
Share of Loss of Equity Accounted Investee (Net of Tax)	-	-	-	-	-	-	-	-
Losses from disposal of Associate	-	-	-	-	-	-	-	-
Finance Cost	-	-	(90,787)	(313,322)	(64,241,212)	(56,951,001)	(55,426,999)	(33,095,227)
Profit/(Loss) before Income Tax	31,818,516	42,805,475	11,897,974	41,235,018	406,195,934	438,227,538	47,268,736	(112,326,756)
Income Tax Expense	(8,678,422)	(11,937,723)	(9,192,507)	(17,656,316)	(61,455,950)	(55,619,090)	(25,456,260)	7,620,636
Profit/(Loss) after tax for the year from continuing operations	23,140,094	30,867,752	2,705,467	23,578,702	344,739,984	382,608,448	21,812,476	(104,706,120)
Profit/(Loss) after tax for the year from discontinued operations	-	-	-	-	-	-	-	-
Profit/(Loss) for the year	23,140,094	30,867,752	2,705,467	23,578,702	344,739,984	382,608,448	21,812,476	(104,706,120)
Assets and Liabilities								
Non-Current Assets	33,107,315	32,121,463	166,950,565	153,002,735	2,159,603,029	1,795,810,490	1,356,703,061	1,023,604,057
Current Assets	57,506,658	62,524,954	244,997,928	282,065,645	2,448,162,370	2,031,331,478	1,254,728,967	1,027,320,987
Assets Classified as Held For Sale	-	-	-	-	-	-	-	-
Total assets	90,613,973	94,646,417	411,948,493	435,068,380	4,607,765,399	3,827,141,968	2,611,432,028	2,050,925,044
Non-Current Liabilities	4,180,000	2,908,750	3,212,002	2,775,624	282,787,657	206,759,915	666,120,839	624,446,346
Current Liabilities	11,963,629	39,584,549	31,796,780	58,211,118	2,264,301,729	1,850,951,351	530,656,328	547,315,494
Liabilities Directly Associated with Assets Classified as Held For Sale	-	-	-	-	-	-	-	-
Total Liabilities	16,143,629	42,493,299	35,008,782	60,986,742	2,547,089,386	2,057,711,266	1,196,777,166	1,171,761,840

The results of the operating segments; Leisure Management, Services & footwear (included in "Manufacturing" segment in the prior year) was

4.1 Revenue	GROUP		COMPANY	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Sale of Goods				
Footwear	594,000,797	958,595,734	-	-
Porcelain	2,378,970,723	2,324,858,815	-	-
Textile	6,296,476,712	5,824,285,956	-	-
Stock Broking / Money Broking				
Brokerage Income	125,973,580	181,456,330	-	-
Finance, Investment & Corporate Finance				
Corporate Finance	-	51,191,168	-	-
Interest Income	74,664,114	103,727,415	122,089,188	36,492,821
Investment Trading	11,564,600	228,789,107	11,564,600	211,407,200
Other				
Rent Income	37,954,952	58,303,418	-	-
Gain/ (Loss) on Fair Value of Biological Assets	(13,475,768)	1,758,536	-	-
Sale of Agriculture Produce	101,700	140,370	-	-
	9,506,231,410	9,733,106,849	133,653,788	247,900,021

Manufacturing Footwear		Investment		Property		Others/Adjustments		Total	
2016 LKR	2015 LKR	2016 LKR	2015 LKR	2016 LKR	2015 LKR	2016 LKR	2015 LKR	2016 LKR	2015 LKR
594,000,797	958,595,734	224,984,126	380,377,462	29,370,347	42,190,718	(144,668,763)	21,341,835	9,506,231,410	9,733,106,849
(47,775,728)	152,314,902	219,555,947	375,234,311	22,215,552	35,055,410	(153,114,103)	(12,635,990)	1,601,241,457	1,934,463,077
51,845,483	48,137,000	30,987,470	77,744,227	17,376,263	40,786,647	(53,198,976)	(98,942,759)	228,496,511	143,795,121
(776,725)	-	(34,269,145)	(32,863,350)	-	-	2,328,004	11,680,004	(47,176,110)	(7,286,004)
-	-	(93,942,659)	72,582,231	-	-	-	5,736,943	(94,410,126)	77,716,131
-	-	-	-	-	-	-	(70,734,036)	(20,863,358)	(91,597,394)
-	-	38,600,000	6,000,000	322,522,086	35,908,364	(37,600,000)	-	323,522,086	41,908,364
-	-	(109,073,989)	(16,002,011)	-	-	58,899,722	(31,678,578)	(50,174,267)	(47,680,589)
-	-	(1,680,830,599)	-	-	-	-	-	(1,680,830,599)	-
(19,663,689)	(22,073,386)	(474,809,627)	(402,879,716)	-	(181,186)	141,899,075	55,968,331	(472,333,239)	(459,525,508)
(255,373,421)	(50,605,780)	(2,419,791,974)	(5,790,338)	309,837,067	83,266,594	15,544,532	(167,910,334)	(1,852,602,636)	268,901,418
46,396,006	(7,365,926)	14,552,640	2,679,896	23,990,182	19,789,519	(2,439,838)	(4,816,650)	(22,284,148)	(67,305,655)
(208,977,415)	(57,971,705)	(2,405,239,334)	(3,110,441)	333,827,249	103,056,113	13,104,694	(172,726,984)	(1,874,886,784)	201,595,764
(148,143,246)	(121,699,817)	-	-	-	-	2,451,475	(76,352,415)	(145,691,771)	(198,052,232)
(357,120,661)	(179,671,522)	(2,405,239,334)	(3,110,441)	333,827,249	103,056,113	15,556,169	(249,079,400)	(2,020,578,555)	3,543,532
1,337,354,257	1,355,216,327	6,683,966,817	7,771,524,292	1,712,505,106	1,360,732,289	(6,437,568,956)	(4,882,136,303)	7,012,621,195	8,609,875,350
1,086,724,752	865,837,792	2,660,127,411	4,443,253,762	133,094,456	85,389,535	(909,745,790)	(2,421,185,452)	6,975,596,752	6,376,538,701
-	-	-	-	-	-	-	44,617,855	-	44,617,855
2,424,079,008	2,221,054,119	9,344,094,229	12,214,778,054	1,845,599,562	1,446,121,824	(7,347,314,747)	(7,258,703,900)	13,988,217,946	15,031,031,906
133,043,818	179,259,888	12,416,282	11,430,112	679,069	510,115	(252,671)	265,387	1,102,186,995	1,028,356,138
514,726,490	292,708,271	5,170,973,506	6,574,912,271	53,757,278	84,943,326	(1,095,265,265)	(2,281,694,317)	7,482,910,476	7,166,932,064
-	-	-	-	-	-	-	38,269,524	-	38,269,524
647,770,308	471,968,159	5,183,389,787	6,586,342,384	54,436,347	85,453,442	(1,095,517,936)	(2,243,159,405)	8,585,097,471	8,233,557,726

discontinued and results of these operating segments are included under profit or Loss under discontinued operations (See Note 29 for details)

Notes to the Financial Statements (Continued)

For the year ended 31st March,		GROUP		COMPANY	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.	
5 Direct Cost					
Cost of goods sold	7,878,007,378	7,738,178,555	-	-	
Interest Expense on Commercial Paper Repo	2,207,482	19,266,676	-	-	
Discount on Brokerage	21,186,510	32,797,381	-	-	
Broker Fee	2,562,051	7,400,838	-	-	
CSE - Network Charges	1,026,532	1,000,321	-	-	
	<u>7,904,989,953</u>	<u>7,798,643,772</u>	<u>-</u>	<u>-</u>	
6 Investment & Other Income					
Interest Income on Over Due Balances	89,974,525	86,171,292	-	-	
Dividend Income	2,852,732	1,323,356	-	23,634,303	
Gain/(Loss) on Disposal of Financial Assets held for Trading	(3,280,620)	(30,831,305)	-	1,161,747	
Gain / (Loss) on Disposal of Property, Plant & Equipment	6,046,672	36,564,328	-	-	
Interest Income - Staff Loan	2,284,362	1,763,221	354,177	244,812	
Scrap Sales	65,301,884	25,950,280	-	-	
Other Income	42,886,393	20,853,950	12,099,331	11,432,560	
Insurance Claim on Boiler	22,430,563	-	-	-	
	<u>228,496,511</u>	<u>143,795,121</u>	<u>12,453,508</u>	<u>36,473,422</u>	
7 Finance Cost					
Interest on Long Term Loans and Borrowings	81,883,304	122,390,912	-	-	
Interest on Short Term Loans and Borrowings	274,692,514	261,576,584	305,112,474	309,028,932	
Exchange Loss	17,902,113	133,880	-	-	
Bank Overdraft Interest	97,855,308	75,424,132	23,646,351	25,482,773	
	<u>472,333,239</u>	<u>459,525,508</u>	<u>328,758,825</u>	<u>334,511,705</u>	
8 Profit before Income Tax					
Profit before taxation is stated after charging all expenses including the following:					
Auditors' Remuneration - Statutory Audit	7,983,450	8,496,124	400,000	400,000	
Related Services	380,000	370,000	360,000	320,000	
Directors' Fee	32,187,265	43,848,259	1,350,000	3,375,000	
Professional Fees	41,830,930	46,229,301	-	-	
Depreciation on Property, Plant and Equipment	276,442,349	272,003,177	459,328	755,890	
Amortization of Intangible Assets	922,916	2,045,134	-	-	
Staff Cost (Note 8.1)	1,709,353,935	1,750,305,832	16,107,010	14,683,631	
Amortization of Leasehold Property	162,353	243,529	-	-	
8.1 Staff Cost					
Salaries & Other Related Costs	1,509,950,209	1,569,100,584	12,887,250	11,700,000	
Defined Benefit Plan Cost - Retiring Gratuity	48,784,621	43,407,246	900,055	877,631	
Defined Contribution Plan Cost - EPF & ETF	150,619,105	137,798,002	2,319,705	2,106,000	
	<u>1,709,353,935</u>	<u>1,750,305,832</u>	<u>16,107,010</u>	<u>14,683,631</u>	
No of Employees	3,313	3,234	9	8	

Notes to the Financial Statements (Continued)

For the year ended 31st March,		GROUP		COMPANY	
		2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
9	Income Tax Expense				
	Current Tax Expense	78,157,350	81,991,642	-	-
	Under/ (Over) Provision in Respect of Previous Year	32,310,073	3,123,562	13,915,806	-
		110,467,423	85,115,204	13,915,806	-
	Deferred Tax Expenses - (Origination) / Reversals of Temporary Differences (Note 26)	(88,183,275)	(17,809,550)	(251,401)	(196,591)
		22,284,148	67,305,654	13,664,405	(196,591)
	Reconciliation of Accounting Profit to Income Tax Expense				
	Profit/(Loss) Before Tax *	(2,002,719,531)	76,647,379	(331,174,343)	(34,716,556)
	Income Not Liable for Income Tax	(365,246,396)	(297,781,793)	(19,257,894)	(104,650,609)
	Disallowable Expenses	3,405,809,608	895,684,475	111,675,535	15,400,832
	Capital Allowances Claimed & Allowable Expenses	(608,872,209)	(332,654,198)	(366,200)	(465,749)
	Business Profit/(Loss)	428,971,471	341,895,864	(239,122,902)	(124,432,084)
	Total Statutory Income	428,971,471	341,895,864	-	-
	Interest Income	101,032,642	51,642,991	-	-
	Tax loss utilized during the year	(24,402,511)	(44,535,679)	-	-
	Qualifying Payments	(90,806,692)	-	-	-
	Assessable / Taxable Income	414,794,910	349,003,175	-	-
	Income Tax @ 12%	24,675,563	7,448,290	-	-
	Income Tax @ 28%	50,663,423	80,341,546	-	-
	Income Tax @ 10%	2,822,442	-	-	-
	Taxation on Profit for the Year	78,161,428	87,789,836	-	-
	Income Tax Attributable to Discontinued Operations	(4,079)	(5,798,193)	-	-
	Income Tax Attributable to Continuing Operations	78,157,350	81,991,642	-	-
	* Includes Profit/ (Loss) before tax from discontinued operations as disclosed in note 29.				
9.1	Tax Losses				
	Tax loss brought forward	1,955,351,336	2,842,426,856	747,960,577	623,528,493
	Income tax intimation direction	184,623,110	-	233,491,676	-
	Loss incurred during the year	817,305,802	214,830,291	239,122,902	124,432,084
	Utilization of tax losses for prior year liabilities	(939,436,993)	(122,141,753)	(633,730,838)	-
	Tax losses of discontinued operations	(374,998,716)	(935,228,379)	-	-
	Disallowed tax losses	(102,356,648)	-	-	-
	Loss utilized during the year	(24,402,511)	(44,535,679)	-	-
	Tax loss carried forward	1,516,085,380	1,955,351,336	586,844,317	747,960,577
10	Earnings / (Deficit) Per Share				
10.1	Basic Earnings / (Deficit) per Share				
	The calculation of basic earnings / (deficit) per share is based on the profit / (loss) attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding during the year.				
		GROUP		COMPANY	
	For the Year Ended 31st March	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
	Profit / (Loss) attributable to Ordinary Shareholders (Rs.)	(1,741,635,748)	16,394,799	(344,838,748)	(34,519,965)
	Weighted Average Number of Ordinary Shares (10.1.1)	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
	Basic Earnings Per Share (Rs.)	(1.74)	0.02	(0.34)	(0.03)
10.1.1	Weighted Average Number of Ordinary Shares				
	Issued Ordinary shares at the beginning of the year	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
	Weighted average number of ordinary shares at the end of the year	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
10.2	Basic Earnings / (Deficit) per Share for Continuing Operations				
	Profit / (Loss) attributable to Ordinary Shareholders from Continuing Operations (Rs.)	(1,595,943,977)	214,447,031	(344,838,748)	(34,519,967)
	Weighted Average Number of Ordinary Shares (10.1.1)	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
	Basic Earnings Per Share for Continuing Operations (Rs.)	(1.59)	0.21	(0.34)	(0.03)

Basic earnings / (deficit) per share is calculated for continuing operations by dividing the net profit / (loss) from continuing operations for the year attributable to the ordinary shareholders by the weighted average number of shares outstanding during the year.

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence diluted earning per share is equal to basic earning per share.

Notes to the Financial Statements (Continued)

For the year ended 31st March,

11 Property, Plant and Equipment

11.1 Group Cost	Balance as at 01.04.2015 Rs.	Additions Rs.	Revaluation Rs.	Disposals / Transfers Rs.	Disposal of Subsidiary Rs.	Balance as at 31.03.2016 Rs.
Freehold						
Land	923,306,101	42,000	370,356,397	-	-	1,293,704,498
Buildings	920,305,525	2,877,904	22,720,689*	(5,765,214)	-	940,138,904
Land Development Cost	67,887,287	-	-	-	-	67,887,287
Generator	2,343,295	-	-	-	-	2,343,295
Computer Equipment	127,973,672	16,168,914	-	(32,783,822)	(969,246)	110,389,518
Furniture & Office Equipment	293,319,885	19,409,249	-	(8,173,085)	(294,650)	304,261,399
Kiln and Kiln Furniture	255,581,704	9,316,843	-	9,274,715	-	274,173,262
Motor Vehicles	141,144,974	19,500,433	-	(30,462,577)	-	130,182,830
Air Conditioner	3,381,872	168,694	-	-	-	3,550,566
Tools & Equipment	2,257,442	556,535	-	-	-	2,813,977
Plant and Machinery	2,717,363,364	40,047,477	-	264,688,665	(320,825)	3,021,778,681
Waste Water Purification Project	66,258,478	-	-	2,862,824	-	69,121,302
	<u>5,521,123,599</u>	<u>108,088,049</u>	<u>393,077,086</u>	<u>199,641,506</u>	<u>(1,584,721)</u>	<u>6,220,345,519</u>
Leasehold						
Building	709,200,304	17,974,724	-	4,285,272	-	731,460,300
Motor Vehicle	12,671,433	-	-	(12,671,433)	-	-
	<u>721,871,737</u>	<u>17,974,724</u>	<u>-</u>	<u>(8,386,161)</u>	<u>-</u>	<u>731,460,300</u>
Capital Work in Progress	<u>77,004,324</u>	<u>898,744,074</u>	<u>-</u>	<u>(277,567,216)</u>	<u>-</u>	<u>698,181,182</u>
Total	<u>6,319,999,660</u>	<u>1,024,806,847</u>	<u>393,077,086</u>	<u>(86,311,871)</u>	<u>(1,584,721)</u>	<u>7,649,987,001</u>

Accumulated Depreciation	Balance as at 01.04.2015 Rs.	Charge for the Year Rs.	Revaluation Rs.	Disposals / Transfers Rs.	Disposal of Subsidiary Rs.	Balance as at 31.03.2016 Rs.
Freehold						
Buildings	100,004,711	38,755,956	(73,675,578)	2,629,713	-	67,714,802
Land Development Cost	19,723,679	4,194,966	-	-	-	23,918,645
Generator	2,339,260	3,228	-	-	-	2,342,488
Computer Equipment	116,167,561	7,708,798	-	(32,290,140)	(97,127)	91,489,092
Furniture & Office equipment	233,581,274	12,008,231	-	(8,903,363)	(40,655)	236,645,487
Kiln and Kiln Furniture	194,046,906	9,867,702	-	-	-	203,914,608
Motor Vehicles	74,809,724	14,387,432	-	(15,813,736)	-	73,383,420
Air Conditioner	3,370,634	20,923	-	-	-	3,391,557
Tools & Equipment	2,054,944	77,725	-	-	-	2,132,669
Plant and Machinery	1,743,631,925	162,326,821	-	4,728,254	(180,475)	1,910,506,525
Waste Water Purification Project	51,758,131	4,433,136	-	-	-	56,191,267
	<u>2,541,488,749</u>	<u>253,784,917</u>	<u>(73,675,578)</u>	<u>(49,649,272)</u>	<u>(318,257)</u>	<u>2,671,630,559</u>
Leasehold						
Building	3,845,869	21,918,265	-	105,250	-	25,869,384
Motor Vehicle	5,490,948	739,167	-	(6,230,115)	-	-
	<u>9,336,817</u>	<u>22,657,432</u>	<u>-</u>	<u>(6,124,865)</u>	<u>-</u>	<u>25,869,384</u>
Total	<u>2,550,825,566</u>	<u>276,442,349</u>	<u>(73,675,578)</u>	<u>(55,774,137)</u>	<u>(318,257)</u>	<u>2,697,499,943</u>
Carrying Amount	<u>3,769,174,094</u>					<u>4,952,487,058</u>

* Net of accumulated depreciation transferred at the point of revaluation.

Notes to the Financial Statements (Continued)

11 Property, Plant and Equipment (Continued)

- 11.1.1 During the financial year the Group acquired Property, Plant & Equipment to the aggregate value of Rs. 1,024,806,847 (31.03.2015 - Rs. 416,929,115).
- 11.1.2 Group Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs. 914Mn (31.03.2015 - Rs. 631 Mn) which continue to be in use by the Group.
- 11.1.3 Land, Buildings and Plant & Machinery with a carrying amount of LKR 1,129,297,724/- (2015 - LKR 960,968,086/-) of Ceylon Leather Products PLC are subjected to a primary mortgage of LKR 416,200,000/- (2015 - LKR 342,000,000/-) to secure the overdraft and other banking facilities obtained from Peoples Bank and Hatton National Bank PLC.
- 11.1.4 Factory Buildings and Machinery with a carrying amount of LKR 1,356,353,239/- (2015 - LKR 1,176,334,629/-) of South Asia Textile Industries Lanka (Pvt) Ltd are subjected to a primary mortgage, to secure the overdraft and import facilities obtained from People's Bank and National Development Bank PLC.
- 11.1.5 Land and Buildings with a carrying amount of LKR 417,584,388/- (2015 - LKR 426,819,632/-) of Royal Fernwood Porcelain Ltd are subjected to a primary mortgage of LKR 19,000,000/- , Secondary mortgage bond LKR 40,000,000 and for a concurrent mortgage of USD 1.2 Mn to secure banking facilities obtained from Hatton National Bank PLC.
- 11.1.6 Machinery with a carrying amount of LKR 18,000,000/- (2015 - LKR 21,000,000/-) of Dankotuwa Porcelain PLC are subjected to a mortgage for banking facilities obtained from Bank of Ceylon.

11.1.7 Revaluation of Land and Building

The Group uses the revaluation model for measurement of land and buildings. The Group engaged Qualified Independent expert valuers with recent experience in the location and category of the property being valued to determine the fair value of its land and buildings.

Details of Group's land, building and other properties stated at valuation are indicated below;

Company	Property	Method of Valuation	Value LKR	Valuers Details	Last Revaluation Date
South Asia Textile Industries Lanka (Pvt) Ltd	Building at Pugoda	Income Method	578,900,000	Mr. Chulananda Wellappili, Independent Incorporated Valuer	31 March 2015
Palla & Company (Pvt) Ltd	Building at Katunayake	Income Method	132,485,481	Mr. Chulananda Wellappili, Independent Incorporated Valuer	31 March 2015
Lexinton Holdings (Pvt) Ltd	Land & Building at Borella	Open Market Value Method	237,600,000	Mr. Sunil Fernando, Independent Chartered Valuer	31 March 2016
Ceylon Leather Products PLC	Land at Mattakkuliya	Market Approach	598,320,000	Mr.Chulananda Wellappili, Independent Incorporated Valuer	09 June 2015
	Buildings at Mattakkuliya	Cost Approach	33,579,500		
Ceylon Leather Products PLC	Land at Mattakkuliya	Market Approach	7,500,000		31 March 2016
	Buildings at Mattakkuliya	Cost Approach	4,824,000		
Ceylon Leather Products PLC	Land at Balummahara	Market Approach	113,033,750	Mr.Chulananda Wellappili, Independent Incorporated Valuer	09 June 2015
	Building at Balummahara	Cost Approach	242,785,100		
Dankotuwa Porcelain PLC	Land at Kurunagala	Market Approach	341,206,763	Mr.Chulananda Wellappili, Independent Incorporated Valuer	31 March 2016
	Building at Kurunagala	Cost Approach	258,116,100		
Royal Fernwood Porcelain Ltd	Land at Kosgama	Market Approach	171,980,000	Messrs.A.Y.Daniel & Sons. Independent Incorporated Valuer.	31 December 2013
	Building at kosgama	Cost Approach	270,921,755		

Notes to the Financial Statements (Continued)

11 Property, Plant and Equipment (Continued)

The carrying amount of revalued assets of the Group that would have been included in the financial statements had that been carried at cost less depreciation is as follows:

Ceylon Leather Products PLC

Class of Asset	Cost	Cumulative Depreciation if assets were carried at cost	Net Carrying Amount 2016	Net Carrying Amount 2015
	LKR	LKR	LKR	LKR
Freehold Land	32,046,453	-	32,046,453	32,046,453
Buildings on Freehold Land	122,112,298	(36,335,066)	85,777,232	81,230,432
	<u>154,158,751</u>	<u>36,335,066</u>	<u>117,823,685</u>	<u>113,276,885</u>

Palla & Company (Pvt) Ltd

Class of Asset	Cost	Cumulative Depreciation If assets were carried at cost	Net Carrying Amount 2016	Net Carrying Amount 2015
	LKR	LKR	LKR	LKR
Buildings	61,338,590	25,905,681	35,432,909	38,499,838
	<u>61,338,590</u>	<u>25,905,681</u>	<u>35,432,909</u>	<u>38,499,838</u>

Dankotuwa Porcelain PLC

Class of Asset	Cost	Cumulative Depreciation If assets were carried at cost	Net Carrying Amount 2016	Net Carrying Amount 2015
	LKR	LKR	LKR	LKR
Land	250,000	-	250,000	-
Building - Freehold	162,394,253	82,662,248	79,732,005	89,208,117
	<u>162,644,253</u>	<u>82,662,248</u>	<u>79,982,005</u>	<u>89,208,117</u>

South Asia Textile Industries Lanka (Pvt) Ltd

Class of Asset	Cost	Cumulative Depreciation If assets were carried at cost	Net Carrying Amount 2016	Net Carrying Amount 2015
	LKR	LKR	LKR	LKR
Building - Leasehold	277,890,632	55,296,398	222,594,234	208,411,382
	<u>277,890,632</u>	<u>55,296,398</u>	<u>222,594,234</u>	<u>208,411,382</u>

Royal Fernwood Porcelain Ltd

Class of Asset	Cost	Cumulative Depreciation If assets were carried at cost	Net Carrying Amount 2016	Net Carrying Amount 2015
	LKR	LKR	LKR	LKR
Land	18,590,108	-	18,590,108	18,590,108
Buildings	427,709,111	410,978,930	16,730,181	25,553,094
	<u>446,299,219</u>	<u>410,978,930</u>	<u>35,320,289</u>	<u>44,143,202</u>

Lexinton Holdings (Pvt) Ltd

Class of Asset	Cost	Cumulative Depreciation If assets were carried at cost	Net Carrying Amount 2016	Net Carrying Amount 2015
	LKR	LKR	LKR	LKR
Land	25,911,500	-	25,911,500	25,911,500
Buildings	87,404,425	33,092,075	54,312,350	57,808,527
	<u>113,315,925</u>	<u>33,092,075</u>	<u>80,223,850</u>	<u>83,720,027</u>

Notes to the Financial Statements (Continued)

11 Property, Plant and Equipment (Continued)

11.1.8 Description of Significant Unobservable Inputs to Valuation

The significant assumptions used by the valuer for valuations in years 2016 are follows;

Property	Method of Valuation	Inputs used for measurement	Area	Range	Sensitivity of fair value to unobservable input
South Asia Textile Industries Lanka (Pvt) Ltd					
Leasehold Buildings (Remaining leasehold period - 39 years)	Income Method	Per sqft. rate Discount rate	353,145 sq. feet	LKR 96 - 240 7%	Positively correlated Negatively correlated
Palla & Company (Pvt) Ltd					
Buildings on Leasehold Property (Remaining leasehold period - 77 years)	Income Method	Per sqft. rate Discount rate	53,230 sq. feet	LKR 180 - 360 7%	Positively correlated Negatively correlated
Royal Fernwood Porcelain Ltd					
Freehold Land	Open Market Method	Per perch rate	4,006 Perches	LKR 30,000 - 50,000	Positively correlated
Freehold Buildings		Per sqft. rate	172,320 sq. feet	LKR 250 - 2,500	Positively correlated
Dankotuwa Porcelain PLC					
Freehold Land	Open Market Method	Per perch rate	7,481 Perches	LKR 9,000 - 250,000	Positively correlated
Freehold Buildings		Per sqft. rate	260,015 sq. feet	LKR 500 - 3,250	Positively correlated
Ceylon Leather Products PLC					
Freehold Land - Balummahara	Open Market Method	Per perch rate	471 Perches	LKR 125,000 - 300,000	Positively correlated
- Mattakkuliya - Factory	Open Market Method	Per perch rate	748 Perches	LKR 800,000	Positively correlated
- Mattakkuliya Tannery House	Open Market Method	Per perch rate	6 Perches	LKR 1,200,000	Positively correlated
Freehold Building - Balummahara	Cost Approach	Per sqft. rate	76,460 sq feet	LKR 1,250 - 4,400	Positively correlated
- Mattakkuliya - Factory	Cost Approach	Per sqft. rate	75,010 sq feet	LKR 400 - 3000	Positively correlated
- Mattakkuliya Tannery House	Cost Approach	Per sqft. rate	2,010 sq feet	LKR 3,000	Positively correlated
Lexinton Holdings (Pvt) Ltd					
Freehold Land	Open Market Method	Per perch rate	17 Perches	LKR 4.5 Mn	Positively correlated
Freehold Buildings	Open Market Method	Per sqft. rate	14,700 sq. feet	LKR 115 - 140	Positively correlated

11.2 Company

Cost	Balance as at 01.04.2015 Rs.	Additions Rs.	Disposals / Transfers Rs.	Balance as at 31.03.2016 Rs.
Freehold				
Motor Vehicles	6,800,000	-	-	6,800,000
Computer Equipment	2,338,190	190,823	-	2,529,013
Office Equipment	239,405	-	-	239,405
Tools & Equipment	3,150	17,500	-	20,650
Office Furniture	391,198	110,000	-	501,198
Total	9,771,943	318,323	-	10,090,266
Accumulated Depreciation	Balance as at 01.04.2015 Rs.	Charge for the Year Rs.	Disposals / Transfers Rs.	Balance as at 31.03.2016 Rs.
Freehold				
Motor Vehicles	6,800,001	-	-	6,800,001
Computer Equipment	1,502,379	376,199	-	1,878,578
Office Equipment	168,311	37,551	-	205,862
Tools & Equipment	3,150	1,458	-	4,608
Office Furniture	265,923	44,120	-	310,043
Total	8,739,764	459,328	-	9,199,092
Carrying Amount	1,032,179			891,174

Notes to the Financial Statements (Continued)

	As at 31st March,	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
12	Leasehold Property				
	Balance as at the beginning of the year	25,276,236	25,519,765	-	-
	Amortization for the year	(162,353)	(243,529)	-	-
	Balance as at the end of the year	25,113,883	25,276,236	-	-

The Group recognized the leasehold land of Palla & Company (Pvt) Ltd as the right to use the land will benefit the Group over the remaining leasehold period of 78 years.

13 Intangible Assets

13.1	Group	Software		License Fees		Brand Name		Total	
	As at 31st March,	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
	Cost								
	Balance at the beginning of the year	17,227,514	17,227,514	28,750,000	28,750,000	9,723,614	9,723,614	55,701,128	55,701,128
	Additions during the year	1,558,606	-	-	-	-	-	1,558,606	-
	Capital Work in progress	40,345,000	-	-	-	-	-	40,345,000	-
	Balance at the end of the year	59,131,120	17,227,514	28,750,000	28,750,000	9,723,614	9,723,614	97,604,734	55,701,128
	Accumulated Amortization								
	Balance at the beginning of the year	14,197,932	12,137,278	6,588,542	6,588,542	-	-	20,786,474	18,725,820
	Amortized during the year	922,916	2,045,134	-	-	-	-	922,916	2,045,134
	Balance at the end of the year	15,120,848	14,182,412	6,588,542	6,588,542	-	-	21,709,390	20,770,954
	Assets Classified as Held For Sale	-	(15,520)	-	-	-	-	-	(15,520)
	Carrying Amount	44,010,272	3,029,582	22,161,458	22,161,459	9,723,614	9,723,614	75,895,344	34,914,654

Software of the group represents accounting systems used, Microsoft Office license used and new ERP system currently being implemented which is classified under Capital Work In progress.

License fees represents license obtained by Taprobane Securities (Pvt) Ltd from the Colombo Stock Exchange.

13.2 Company

	As at 31st March,	Software		Total	
		2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
	Cost				
	Balance at the beginning of the year	-	3,024,437	-	3,024,437
	Balance at the end of the year	-	3,024,437	-	3,024,437
	Accumulated Amortization				
	Balance at the beginning of the year	-	3,024,437	-	3,024,437
	Balance at the end of the year	-	3,024,437	-	3,024,437
	Carrying Amount	-	-	-	-

Software of the Company represents back office system purchased, which was amortized over a period of four years.

14	As at 31st March,	Balance as at	Changes in Fair Value	Balance as at
	Biological Assets Group	01.04.2015 Rs.	Less - Cost to Sell Rs.	31.03.2016 Rs.
	Teak	50,659,828	(11,792,208)	38,867,620
	Lunumidella	1,514,559	(762,179)	752,380
	Mango	905,380	(905,380)	-
	Banana	16,000	(16,000)	-
	Coconut	81,950	-	81,950
		53,177,718	(13,475,767)	39,701,950

Notes to the Financial Statements (Continued)

14 Biological Assets (Continued)

14.1 Heron Agro Products (Pvt) Ltd, subsidiary of the Taprobane Holdings PLC has leased out a land from Sri Lanka Mahaweli Authority under Government Land Ordinance for 30 years commencing from 18th January 1993. The lease period will expire on 17th January 2023. However, the lease period could be extended for a further period of 15 years in accordance with the Memorandum of Understanding (MOU) signed between Mahaweli Authority of Sri Lanka.

14.2 Determination of Market Value

Teak

Market price is determined based on International Market price of Teak Timber, State Timber Corporation and the local market prices. Cost of sawing and other outgoings have been deducted to obtain the net value of sawn timber per mature tree. Value of a cubic foot of teak is assumed to be Rs. 1,705/- (discounted) for the purpose of valuation as at 31st March 2016.

Lunumidella

Market Price of a mature tree is determined based on local market and State Timber Corporation price. Cost of sawing and other outgoings have been deducted to obtain the net value of sawn timber per mature tree. Value of a cubic foot of Lunumidella tree is assumed to be Rs. 200/- (discounted) for the purpose of valuation as at 31st March 2016.

	2016	2015
Discount Rate	17%	13.5%

The market related systematic risk factor is taken at 2% - 2.65%, unsystematic risk of 3.5% was subject to the assumed probability. Thus the 3.5% adjustment was assumed with a final adjustment by a premium of 6% to arrive at the discount rate of 17%.

Methodology

The estimation of value of stumpage in timber stands depends on the age of plantation. These are categorized merchantable and pre merchantable.

The young plantation between age 10-15 years are termed pre-merchantable and the other merchantable. Merchantable are valued based on market prices discounted to harvesting DCF Method.

Pre merchantable are valued based on replacement cost basis. The costs are compounded to recognize the return on investment; the compounding rate is the opportunity cost which is taken at Weighted Average Cost of Capital.

Key assumptions

1. The harvesting is approved by the forest Department and other relevant authorities.
2. The prices adopted are net of expenditure.
3. Discount rate is 17%
4. Compounding rate is 15% (assumed WACC)
5. Pre- merchantable are valued on replacement cost basis, compounded at 15%

14.3 Potential Risks Timber Plantations

The Group is exposed to the following risks in relation to timber plantations :

Supply and Demand Risk

The Group is exposed to risks arising from fluctuations in the price and sales volume of time. When possible, the Group manages this risk by aligning its harvest volume to market supply and demand. Management performs regular industry trend analyses to ensure that the Group's pricing structure is in line with the market and to ensure that projected harvest volumes are consistent with the expected demand identified.

Regulatory and Environmental Risks

The Group is subject to laws and regulations in Sri Lanka. The Group has established environmental policies and procedures aimed at compliance with local environmental and other laws. Management performs regular reviews to identify environmental risks and to ensure that the systems in place are adequate to manage those risks.

Climate and Other Risks

The Group's timber plantations are exposed to the risk of damage from climatic changes, diseases, forest fires and other natural forces. The Group has extensive processes in place aimed at monitoring and mitigating those risks, including regular forest health inspections and industry pest and disease surveys.

Notes to the Financial Statements (Continued)

As at 31st March,	GROUP		COMPANY	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
15 Investment Property				
Balance at the beginning of the year	1,500,011,721	1,135,966,715	22,000,000	16,000,000
Reclassification from Property, Plant & Equipment	-	343,000,000	-	-
Provision for impairment of investment property	(20,863,358)	(20,863,358)	-	-
Net gain from changes in fair value	323,522,086	41,908,364	1,000,000	6,000,000
Balance at the end of the year	1,802,670,450	1,500,011,721	23,000,000	22,000,000

Name of the Company	Property	Last Valuation Date	Land Extent	Name of the Valuer	Method of Valuation	Carrying Value / 2016 Rs.	Fair Value 2015 Rs.
Taprobane Holdings PLC	Land (Pidurangala Road, Sigiriya)	3/31/2016	8 Acres	K. T. D Tissera Independent Chartered Valuer	Open Market Value	23,000,000	22,000,000
Taprobane Securities (Pvt) Ltd	Land (Cotta Road, Colombo 08)	3/31/2015	87.5 perches	K. T. D Tissera Independent Chartered Valuer	Market Value	104,000,000	124,863,357
Lexinton Resorts (Pvt) Ltd	Land (Hidduruwa, Balapitiya)	3/31/2016	1373 perches	Sunil Fernando & Associates (Pvt) Ltd. Chartered Valuation Surveyors	Market Value	377,600,000	343,000,000
Colombo City Holdings PLC	Land and Buildings (Union Place, Colombo)	3/31/2016	105.75 perches	Mr. S. Sivaskantha Incorporated Valuer	Market Value Cost of construction	1,298,070,450	1,010,148,364
						1,802,670,450	1,500,011,721

The group uses the fair value model for measurement of Investment Property. The group engaged Qualified Independent valuers to determine the fair value of Investment Property.

- 15.1** The ownership of the property held as Investment Property at Cotta Road, Borella (87.5 perches) has been disputed, Taprobane Securities (Pvt) Ltd entered in to an agreement with the parties involved on 04th March 2013 to transfer to the Company, properties valued at Rs. 50 Mn each, situated at Ihala Kosgama Village within the Seethawaka Pradeshiya Sabha limits and land situated at Thalgasmune Village within the Pradeshiya Sabha limits of Allawa. Under the terms of the agreement, the Company shall not sell, assign or convey the aforesaid lands transferred to the Company until the expiration of the agreement on 05th March 2017. In the event the dispute is not settled by 05th March 2017, the parties undertake to compensate in full the loss incurred by the Company on the purchase consideration of the Investment Property and commercial interest thereon. Accordingly, the parties have agreed the possible loss to be compensated by vendors/parties involved so calculated as Rs. 206 Mn as at 05th March 2017. During the year 2014/15 The Ministry of Land and Land Development took possession of the land in dispute. As at 31st March 2015 the fair value of the two properties that have been assigned to the company by way of agreement, amounted to Rs.104 Mn.
- 15.2** Investment properties are stated at fair value, which have been determined on the basis of a market value of land and building. Investment property is appraised in accordance with SLFRS 13, LKAS 40 and International Valuation Standards.
- 15.3** The Group has reported rental income amounting to LKR 40,705,133/- (2015 - LKR 50,912,159/-) from above investment properties and incurred direct operating expenses (including repairs and maintenance) amounting to LKR 7,154,795/- (2015 - LKR 7,135,308/-).

Notes to the Financial Statements (Continued)

15 Investment Property (Continued)

15.4 Description of significant unobservable inputs to valuation:

The significant unobservable inputs used in the fair value measurement categorized within Level 2 of the fair value hierarchy together with a quantitative sensitivity analysis as at 31 March 2016 and 2015 are as shown below;

Investment Property	Valuation technique	Significant unobservable inputs	Rate	Sensitivity of input to Fair value
Colombo City Holdings PLC				
As at 31 March 2016				
- Land 105.75 perches	Open Market value	Per perch rate	LKR 10,000,000 Per Perch	Positively correlated
- Main building 28,380 sqft	Replacement Cost	Per sqft. rate	LKR 6,250 Per Sqft.	Positively correlated
- Pharmacy Building 3,675 sqft		Per sqft. rate	LKR 4,750 Per Sqft.	Positively correlated
- Mezzanine floor 1,100 sqft		Per sqft. rate	LKR 2,000 Per Sqft.	Positively correlated
As at 31 March 2015				
- Land 105.75 perches	Open Market value	Per perch rate	LKR 8,000,000 Per Perch	Positively correlated
- Main building 28,380 sqft	Replacement Cost	Per sqft. rate	LKR 6,500 Per Sqft.	Positively correlated
- Pharmacy Building 3,675 sqft		Per sqft. rate	LKR 2,750 Per Sqft.	Positively correlated
- Mezzanine floor 1,100 sqft		Per sqft. rate	LKR 3,000 Per Sqft.	Positively correlated
Taprobane Holdings PLC				
- Freehold Land 8 Acres	Open Market Method	Per Acre rate	LKR 3,200,000 Per Perch	Positively correlated
Lexinton Resorts (Pvt) Ltd				
- Freehold Land 1,373 Perches	Open Market Method	Per perch rate	LKR 275,000 Per Perch	Positively correlated
Taprobane Securities (Pvt) Ltd				
- Freehold Land 1,162 Perches	Open Market Method	Per perch rate	LKR 110,000 Per Perch	Positively correlated
- Freehold Land 963 Perches	Open Market Method	Per perch rate	LKR 100,000 Per Perch	Positively correlated

16 Investment in Subsidiaries

16.1 Investment in Subsidiaries

16.1.1 Ordinary shares

As at 31st March	Place of Principal Business	Effective Holdings		Direct Holding		No of Shares		Company	
		2016	2015	2016	2015	2016	2015	2016	2015
		%	%	%	%	Nos.	Nos.	Rs.	Rs.
Taprobane Investments (Pvt) Ltd	No 10, Gothami Road, Col 08.	100	100	100	100	1,000,000	1,000,000	10,600,000	10,600,000
Lexinton Holdings (Pvt) Ltd	No 10, Gothami Road, Col 08.	100	100	72	72	49,616,300	49,616,300	476,820,829	476,820,829
Heron Agro Products (Pvt) Ltd	No 10, Gothami Road, Col 08.	100	100	100	100	740,000	740,000	2,960,000	2,960,000
Taprobane Securities (Pvt) Ltd	No 10, Gothami Road, Col 08.	100	100	100	100	5,000,000	5,000,000	50,000,000	50,000,000
Taprobane Wealth Plus (Pvt) Ltd	No 10, Gothami Road, Col 08.	100	100	100	100	30,000,000	30,000,000	25,000,000	25,000,000
Taprobane Equities (Pvt) Ltd	No 10, Gothami Road, Col 08.	100	100	100	100	1,000,000	1,000,000	65,000,000	65,000,000
Lanka Century Investments PLC	5th Floor, No 10, Gothami Road, Col 08.	83	81	66	64	290,682,377	221,770,484	3,117,647,315	3,025,506,362

16.1.2 Preference shares

Lexinton Holdings (Pvt) Ltd	560,000,000	-	560,000,000	-
Taprobane Equities (Pvt) Ltd	893,078,900	-	893,078,900	-

	5,201,107,044	3,655,887,191
Impairment of investment- Lexinton Holdings (Pvt) Ltd (16.1.3)	(397,379,317)	(397,379,317)
	4,803,727,727	3,258,507,874

16.1.3 Impairment Provision

Reversal during the year	(397,379,317)	(471,233,876)
Impairment on investment	-	73,854,559*
	(397,379,317)	(397,379,317)

* As a result of an increase in the net assets of "Lexinton Holdings (Pvt) Ltd" as at 31st March 2015 the provision for impairment required decreased.

Notes to the Financial Statements (Continued)

16 Investment in Subsidiaries (Continued)

16.2 Investment in Sub Subsidiaries

Sub Subsidiaries	Effective Holding %	Investor	Place of Principal Business
Lexinton Financial Services (Pvt) Ltd	100	Lexinton Holdings (Pvt) Ltd	No. 10, Gothami Road, Colombo 08.
Lexinton Resorts (Pvt) Ltd	100	Lexinton Holdings (Pvt) Ltd	No. 10, Gothami Road, Colombo 08.
Ceylon Leather Products PLC	79.44	Lanka Century Investments PLC	No. 64, Belummahara, Mudungoda.
Ceylon Leather Products Distributors (Pvt) Ltd	79.44	Lanka Century Investments PLC	No. 64, Belummahara, Mudungoda.
South Asia Textile Industries Lanka (Pvt) Ltd	78.27	Lanka Century Investments PLC	No.70, Felix Dias Bandaranayake Mawatha, Pugoda, Sri Lanka.
Palla & Company (Pvt) Ltd	47.68	Lanka Century Investments PLC	Spur Rd. 4, Lot 25B, Katunayake Export Promotion Zone.
Dankotuwa Porcelain PLC	64.49	Lanka Century Investments PLC	Factory and the Showroom, Kurunagala Road, Dankotuwa.
Taprobane Capital (Pvt) Ltd	64.65	Lanka Century Investments PLC	5th Floor, No 10, Gothami Road, Colombo 08.
Royal Fernwood Porcelain (Pvt) Ltd	61.66	Lanka Century Investments PLC	Werellamandiya Estate, Police station road, Kosgama.
Colombo City Holdings PLC	55.24	Lanka Century Investments PLC	No. 505, Union Place, Colombo 02.
Olancom (Pvt) Ltd	77.50	Lanka Century Investments PLC	5th Floor, No 10, Gothami Road, Colombo 08.

16.3 The Group owns less than half of the voting shares of following company:

Palla & Company (Pvt) Ltd

Although the Group owns less than half of the voting shares the above company, the management had determined that the Group controls this entity due to its representation in the board. This gives the Group power over this entity, rights to variable returns from its involvement with the investee, and the ability to use its power over the investee to affect those returns through its power over the investee.

16.4 Non Controlling Interest

The following table summarizes the information relating to the Group's subsidiaries that have material NCI, before any intra-group eliminations.

	Lanka Century Investments PLC	
	As at 31st March 2016 Rs.	As at 31st March 2015 Rs.
NCI percentage	17%	19%
Total Assets	12,627,718,506	13,442,551,005
Total Liabilities	5,671,071,311	5,063,889,173
Net Assets	6,956,647,195	8,378,661,832
Net Assets attributable to NCI	1,730,158,022	1,611,761,767
Revenue	9,365,247,818	9,267,641,824
Loss	(1,641,605,479)	(58,089,949)
OCI	609,794,770	138,790,714
Total Comprehensive Income	(1,031,810,709)	80,700,765
Profit attributable to NCI	(273,583,143)	(9,446,951)
OCI attributable to NCI	170,887,633	26,698,484
Cash flows from operating activities	25,505,022	406,962,629
Cash flows from investment activities	(560,490,450)	(1,122,412,866)
Cash flows from financing activities	(355,669,426)	733,797,646
Net increase (decrease) in cash and cash equivalents	(890,654,854)	18,347,409
Dividends paid to NCI during the year	1,714,768	5,085,952

Notes to the Financial Statements (Continued)

16.5 Divestment of subsidiaries

The Group disposed its investment in Taprobane Plantations Limited and Enterprise Technology (Pvt) Ltd during the financial year. The fair value of the assets and liabilities are as follows;

	Taprobane Plantations Limited	Enterprise Technology (Pvt) Ltd	Total
	Rs.	Rs.	Rs.
Property Plant and Equipment	1,266,464	-	1,266,464
Trade and other receivables	16,338,583	-	16,338,583
Amount due from Related Party	3,230,000	-	3,230,000
Cash and Cash Equivalents	4,406,557	-	4,406,557
Assets held for Sale (Note 29)	-	44,617,855	44,617,855
Trade and other payables	(48,238,504)	-	(48,238,504)
Amount Due to Related Party	(18,356,296)	-	(18,356,296)
Income tax Payable	(540,964)	-	(540,964)
Liabilities classified as held for sale (Note 29)	-	(38,269,524)	(38,269,524)
Total identifiable Net Assets Disposed	(41,894,160)	6,348,331	(35,545,829)
Non-Controlling Interest derecognised	18,849,733	-	18,849,733
Gain on Disposal	23,071,934	(6,258,056)	16,813,878
Purchase Consideration transferred to Trade and other receivable	27,507	-	27,507
Purchase Consideration Received in Cash	-	90,276	90,276
Cash and cash equivalents disposed	(4,406,557)	-	(4,406,557)
Net Cash inflow on disposal of subsidiary	(4,406,557)	90,276	(4,316,281)

17 Investment in Associate

17.1 Group

Browns Investments PLC (BI PLC)

Lanka Century Investments PLC a subsidiary of Taprobane Holdings PLC had a 20% Interest in Browns Investments PLC, a Limited Liability Company that is Listed in Colombo Stock Exchange, which is involved in Investments in Listed and Non Listed Companies comprising of Subsidiaries and Jointly Controlled Entities engaged in the Plantation Management, Agriculture, Hydro Power, Leisure, and Construction

Early adoption of amendments to LKAS 16 and LKAS 41 (Agriculture : Bearer Plants)

Pursuant to the amendments on Agriculture: Bearer Plants (Amendments to LKAS 16 and LKAS 41), issued in March 2015 by The Institute of Chartered Accountants of Sri Lanka amended paragraphs 3, 6 and 37, added paragraphs 22A and 81L-81M of LKAS 16, amended paragraphs 1-5, 8, 24 and 44 added paragraphs 5A-5C and 63 of LKAS 41. An entity shall apply those amendments for annual periods beginning on or after 1 January 2016 and permitted early adoption. Consequently BI PLC decided to early adopt the said amendments and chose to change its existing accounting policies on Bearer Plants to Historical Cost Model in compliance with the LKAS 16.

The following table illustrates the summarized Financial Information of Browns Investment PLC and effect on early adoption of amendments to LKAS 16 and LKAS 41 (Agriculture : Bearer Plants)

Summarized Financial Information-Associate	2015 LKR	2015 LKR	2015 LKR	2014 LKR	2014 LKR	2014 LKR
The Associate's Statement of Financial Position	Restated	Remeasurement		Restated	Remeasurement	
Non-Current Assets	33,932,524,000	(1,430,284,000)	35,362,808,000	22,134,180,000	(284,864,000)	21,849,316,000
Current Assets	4,225,484,000	-	4,225,484,000	2,973,402,000	-	2,973,402,000
Total Assets	38,158,008,000	(1,430,284,000)	39,588,292,000	25,107,582,000	(284,864,000)	24,822,718,000
Non-Current Liabilities	7,094,981,000	(10,325,000)	7,105,306,000	2,997,493,000	-	2,997,493,000
Current Liabilities	8,052,522,000	-	8,052,522,000	6,855,883,000	-	6,855,883,000
Non Controlling Interest	9,834,488,000	(1,100,845,000)	10,935,333,000	4,635,745,000	-	4,635,745,000
	24,981,991,000	(1,111,170,000)	26,093,161,000	14,489,121,000	-	14,489,121,000
Equity	13,176,017,000	(319,114,000)	13,495,131,000	10,618,461,000	(284,864,000)	10,333,597,000
Share of Associate	2,635,203,400	(63,822,800)	2,699,026,200	2,123,692,200	(56,972,800)	2,066,719,400
Equity Pick up from Crossholding	(26,962,182)	(2,130,455)	(24,831,727)	-	-	-
Carrying amount of the investment	2,608,241,218	(65,953,255)	2,674,194,473	2,123,692,200	(56,972,800)	2,066,719,400
Share of the Associate's Revenue and Profit						
Revenue	1,815,709,000			2,881,984,000		
Share of Profit for the Year (Net of Equity Pickup)	(47,680,589)			(103,620,397)		

Notes to the Financial Statements (Continued)

17 Investment in Associate (Continued)

17.2 Equity Reconciliation

	2016 LKR	2015 LKR
Quoted		
Browns Investment PLC	-	-
Carrying amount as at the beginning of the earliest comparable year	2,608,241,218	2,112,381,400
Early adoption of amendments to LKAS 16 and LKAS 41 (Agriculture : Bearer Plants)	-	(56,972,800)
Carrying amount as at the beginning of the year	2,608,241,218	2,055,408,600
Share of Loss of Associate Company After Tax (Restated)	(50,174,267)	(47,680,589)
Foreign currency translation reserve	1,267,360	-
Share of Available For Sale Reserve	4,241,226	-
Share of Revaluation Reserve	188,542,750	97,552,025
Total Comprehensive Income	2,752,118,287	2,105,280,036
Investment made During the year	-	465,000,000
Associates Holding Change / Holding Change on Rights Issue	45,936,999	37,961,182
Disposal of Equity Accounted Investees (Note 17.3)	(2,798,055,286)	-
Carrying amount of the investment as at the end of the year (net of equity pickup)	-	2,608,241,218

- 17.3** On 16 December 2015 Lanka Century Investments PLC disposed 6.66% from existing holding and accordingly discontinued the equity method of accounting in consolidated financial statements. The losses from disposal of 6.66% of interest in equity accounted investee and losses from reclassification of balance part of interest as Financial assets held for trading is as follows,

	GROUP		COMPANY	
	2016 LKR	2015 LKR	2016 LKR	2015 LKR
Loss From Classification of Associate to Fair Value Through Profit or Loss	(1,180,413,635)	-	-	-
Loss From Disposal of Associate	(553,884,604)	-	-	-
Reclassified to profit or loss				
Assets Available for Sale Reserve	36,601,284	-	-	-
Foreign Currency Translation Reserve	16,866,355	-	-	-
	(1,680,830,599)	-	-	-

	Group 2016 LKR	Company 2016 LKR
Carrying Value as at 31 December 2015	2,798,055,286	-
Loss From Change in Fair Value of Financial Assets	(1,180,413,635)	-
Loss From Disposal of Associate	(553,884,604)	-
Cash Consideration	(363,757,048)	-
Fair Value as at 31 December 2015 - Transfer to Financial Instruments - Fair Value Through Profit or Loss	700,000,000	-

Notes to the Financial Statements (Continued)

As at 31st March,		GROUP		COMPANY	
18	Other Investments	2016 LKR	2015 LKR	2016 LKR	2015 LKR
	Non Current Investments				
	Available For Sale Financial Assets	18.1	-	2,336,250	-
	Loans & Receivables	18.2	-	554,300,837	-
	Held to maturity financial assets	18.4	35,345,155	33,539,761	-
			35,345,155	590,176,847	-
	Current Investments				
	Loans & Receivables	18.2	489,584,266	96,183,224	-
	Financial Assets Held for Trading	18.3	1,733,766,340	1,420,233,344	870,322,920
			2,223,350,606	1,516,416,568	870,322,920
18.1	Available For Sale Financial Assets				
	Non Current				
	Ned Lanka (Ceylon) Limited		-	2,336,250	-
			-	2,336,250	-
	During the year The Group has disposed the Ned Lanka (Ceylon) Limited for LKR 2,336,250/-				
18.2	Loans & Receivables				
	Non Current				
	Bank Deposits		-	87,857,141	-
	Debentures	18.2.1	-	108,381,196	-
	Fixed Deposits		-	358,062,500	-
			-	554,300,837	-
	Current				
	Bank Deposits		359,325,809	35,121,528	-
	Commercial Papers		-	61,061,697	-
	Investment in unit trust		10,076,442	-	-
	Debentures	18.2.1	108,403,890	-	-
	Call Deposit		11,778,125	-	-
			489,584,266	96,183,224	-
	Total Loans & Receivables		489,584,266	650,484,061	-
18.2.1	Investments made in Seylan Bank PLC, Pan Asia Banking Corporation PLC and Nation Trust Bank PLC				
18.3	Financial Assets Held for Trading				
	Investment in Securities	18.5	865,148,500	247,918,243	1,705,080
	Investment in Government Securities		868,617,840	1,172,315,101	868,617,840
			1,733,766,340	1,420,233,344	870,322,920
18.4	Held to maturity financial assets				
	Investment in Government Securities		35,345,155	33,539,761	-
			35,345,155	33,539,761	-

Notes to the Financial Statements (Continued)

As at 31st March		2016			2015		
18.5	Investment in Equity Securities	No of Shares	Cost	Market Value	No of Shares	Cost	Market Value
			Rs.	Rs.		Rs.	Rs.
GROUP							
	Agstar Fertilizers PLC	-	-	-	100,000	800,000	590,000
	Aitken Spence PLC	19,000	4,227,878	1,396,500	19,000	4,227,878	1,890,500
	Browns Investments PLC	507,984,600	724,603,762	660,379,980	6,984,600	21,478,762	12,775,360
	Ceylon Guardian Investment Trust PLC	-	-	-	7,890	2,737,403	1,451,760
	Colonial Motors PLC	-	-	-	19,464	1,968,200	2,431,054
	DFCC Bank PLC	25,000	5,005,440	3,425,000	-	-	-
	Browns Capital PLC	7,606,567	43,718,092	9,127,880	5,767,000	34,128,664	12,170,507
	Hayleys PLC	-	-	-	297	104,014	89,100
	Hemas Holdings PLC	-	-	-	7,500	372,612	552,750
	HVA Foods PLC	-	-	-	29,800	1,166,404	238,400
	John Keels Holdings PLC	-	-	-	236	42,587	47,109
	John Keels Holdings PLC - Warrants 23	-	-	-	80,671	4,874,077	2,589,539
	Kalpitiya Beach Resort PLC	-	-	-	26,700	29,750	29,750
	Kelani Tyres PLC	-	-	-	656	32,144	51,168
	LB Finance PLC	-	-	-	6,538	989,236	982,008
	Merchant Bank Of Sri Lanka PLC	-	-	-	5,896	315,236	93,162
	Mukuba Resources Limited - Canada	2,594,167	40,183,663	2,891,360	2,594,167	2,751,810	2,751,810
	People's Leasing Company PLC	569,990	13,986,338	9,119,840	-	-	-
	Piramal Glass Ceylon PLC	-	-	-	172,596	1,592,770	983,797
	Richard Pieris & Co PLC	-	-	-	38,418	536,818	284,293
	Seylan Bank PLC	2,079,160	198,678,604	178,807,760	2,079,160	198,678,604	207,916,000
	Taprobane Holdings PLC	45	-	180	45	-	176
			1,030,403,777	865,148,500		276,826,969	247,918,243
COMPANY							
	Browns Capital PLC	1,420,900	7,892,000	1,705,080	1,420,900	7,892,000	2,273,440
			7,892,000	1,705,080		7,892,000	2,273,440

As at 31st March		GROUP		COMPANY	
		2016 LKR	2015 LKR	2016 LKR	2015 LKR
19	Inventories				
	Raw Material	1,327,464,630	1,150,711,359	-	-
	Work in Progress	587,579,959	561,628,895	-	-
	Finished Goods	591,138,375	496,445,394	-	-
	Spare Stock	30,970,515	33,897,230	-	-
	Consumables & Spares	197,640,779	169,452,964	-	-
	Others	14,246,163	13,159,649	-	-
	Asset held for sale	-	(13,937,752)	-	-
	Less : Allowance for Obsolete & Slow Moving Inventories	(383,332,426)	(298,198,259)	-	-
		2,365,707,995	2,141,034,983	-	-
	Goods-In-Transit	66,836,719	137,664,437	-	-
		2,432,544,714	2,278,699,420	-	-
	Unrealized Profit	(13,858,464)	(5,862,587)	-	-
	Total Inventories at the Lower of Cost and Net Realizable Value	2,418,686,250	2,272,836,833	-	-

19.1 Inventories are valued at LKR. 1,330,582,585 (LKR. 1,152,359,164/-) of South Asia Textile Industries Lanka (Pvt) Ltd is pledged as securities for loan facilities obtained from People's Bank.

19.2 Inventories are valued at LKR. 2,160,000/- (LKR. 49,281,003) of Palla & Company (Pvt) Ltd is pledged as securities for short term import loan facilities obtain from National Development Bank PLC.

19.3 Inventories are valued at LKR. 382,560,274 (LKR. 435,309,146/-) of Dankotuwa Porcelain PLC is pledged as securities for short term import loan facilities obtain from Sampath Bank PLC and Bank of Ceylon.

Notes to the Financial Statements (Continued)

As at 31st March		GROUP		COMPANY	
		2016 LKR	2015 LKR	2016 LKR	2015 LKR
20	Trade & Other Receivables				
	Trade Receivables	1,712,420,563	2,130,891,624	21,803,145	52,260,402
	Loans Granted	20.1 340,101,012	515,515,863	14,165,040	20,385,516
	Other Receivables	20.2 33,685,189	7,135,087	20,972,527	424,645
	Deposits, Advances and Prepayments	186,993,066	112,446,662	6,357,578	1,753,212
	Provision for Bad and Doubtful Debts	20.3 (415,267,117)	(564,070,812)	(15,000,000)	(21,346,688)
	Asset held for sale	-	(25,692,738)	-	-
		1,857,932,712	2,176,225,685	48,298,290	53,477,087
20.1	Loans Granted				
	Loans Granted - Individuals	170,962,200	550,262,377	18,540,123	178,965,823
	Loans Granted - Institutions	288,926,099	575,891,851	1,191,674	1,191,674
	Provision for Bad and Doubtful Debts	20.3 (46,265,315)	(462,819,542)	(512,933)	(141,047,156)
	Interest In Suspense	(73,521,972)	(147,818,823)	(5,053,824)	(18,724,825)
		340,101,012	515,515,863	14,165,040	20,385,516
20.2	Other Receivables				
	VAT Receivable	508,684	42,697	-	-
	WHT Receivable	219,259	4,314,125	-	424,645
	ESC Receivable	1,204,249	43,582	-	-
	Interest receivable on government securities	20,972,527	-	20,972,527	-
	Staff Loan	924,401	861,250	-	-
	Prepayment & Other	2,983,369	1,873,433	-	-
	Receivable on Share Disposal	6,872,700	-	-	-
		33,685,189	7,135,087	20,972,527	424,645
20.3	Provision for Bad and Doubtful Debts				
		Balance as at 1st April 2015	Provision made during the year	Amount Written off/ Reversal	Balance as at 31st march 2016
	Provision on Trade Receivables and Loan granted	1,026,890,354	47,176,110	(612,534,033)	461,532,432
		1,026,890,354	47,176,110	(612,534,033)	461,532,432
21	Amounts Due From Related Parties				
	Loan to Mr. Ishara Nanayakkara	6,136,743	6,136,743	-	-
	Lexinton Financial Services (Pvt) Ltd	-	-	-	570,254
	Loan to Mr. Ashan Dassanyake	-	9,501,415	-	-
	Loan to Ms. Anoma Bandara	-	793,038	-	-
	Loan to Mr. Roshan Antony	1,185,429	1,185,429	-	-
	Taprobane Plantation Ltd	170,160	-	197,730	197,730
	Heron Agro Products (Pvt) Ltd	-	-	32,467,908	28,393,234
	Loan to Mr. A. G. Weerasinghe	-	1,872,025	-	-
	Lexinton Holdings (Pvt) Ltd	-	-	3,118,759	673,650,805
	Excel Restaurants (Pvt) Ltd	-	4,945,810	-	-
	Excel Global Holdings (Pvt) Ltd	-	3,230,000	-	-
	Capital Trust Partners (Pvt) Ltd	-	-	-	893,078,900
	ARRC Capital (Pvt) Ltd	-	98,424	-	-
		7,492,333	27,762,883	35,784,397	1,595,890,923
22	Cash & Cash Equivalents				
	Cash at Bank	185,611,277	346,029,876	659,718	26,891,731
	Cash in Hand	125,125	451,444	40,000	40,000
	Commercial Paper	842,052	-	-	-
	Short Term Deposit	251,525,509	19,045,000	-	-
	Asset Classified as Held for Sale	-	(1,305,098)	-	-
		438,103,963	364,221,222	699,718	26,931,731
	Bank Overdrafts used for cash management purposes	(2,677,979,089)	(1,554,691,229)	(1,536,767,614)	(1,357,851,956)
	Cash & Cash Equivalents in the statement of cash flow	(2,239,875,126)	(1,190,470,007)	(1,536,067,897)	(1,330,920,225)

Notes to the Financial Statements (Continued)

As at 31st March		GROUP		COMPANY	
		2016 LKR	2015 LKR	2016 LKR	2015 LKR
23 Stated Capital					
Issued Capital					
1,002,724,815 Ordinary Shares issued & fully paid		1,053,643,405	1,053,643,405	1,053,643,405	1,053,643,405
The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.					
24 Interest Bearing Loans & Borrowings					
Repayable after one year					
Loans from Non-Financial Institutions	24.1	285,346,035	270,720,243	-	-
Finance Leases	24.2	22,083,207	23,032,073	-	-
Bank Loans	24.3	275,966,336	222,424,149	-	-
Loans granted by Related Parties	24.4	-	-	-	-
		583,395,578	516,176,465	-	-
Repayable within one year					
Loans from Non-Financial Institutions	24.1	4,671,952	3,744,975	4,671,952	3,744,975
Finance Leases	24.2	1,083,345	2,792,927	-	-
Short Term Loan	24.5	1,539,033,734	1,225,514,442	-	204,864,179
Bank Loans	24.3	1,212,388,120	1,191,525,412	1,036,162,545	984,887,203
Loans granted by Related Parties	24.4	136,902,068	85,254,300	118,059,236	67,607,162
Margin Trading Facility		-	976,538,352	-	-
Bank Overdrafts		2,677,979,089	1,554,691,229	1,536,767,614	1,357,851,956
		5,572,058,307	5,040,061,637	2,695,661,347	2,618,955,474
		6,155,453,885	5,556,238,102	2,695,661,347	2,618,955,474
24.1 Loans from Non-Financial Institutions					
		As at 01.04.2015 Rs.	Obtained Rs.	Repayments Rs.	Interest payable Rs.
Repayable after one year					As at 31.03.2016 Rs.
GROUP					
Browns Investments PLC	24.1.1	66,819,630	-	-	3,609,964
S.F.L. Services (Pvt) Ltd.	24.1.1	71,586,463	-	-	3,867,494
Browns & Company PLC	24.1.1	132,314,150	-	-	7,148,334
		270,720,243	-	-	14,625,792
					285,346,035
Repayable within one year					
GROUP					
ASR Holdings (Pvt) Ltd	24.1.1	3,605,635	750,000	(50,000)	366,317
Browns Holdings (Pvt) Ltd		76,459	-	(76,459)	-
Pathragala Estates (Pvt) Ltd		28,963	-	(28,963)	-
Mutugala Estates (Pvt) Ltd		33,918	-	(33,918)	-
		3,744,975	750,000	(189,340)	366,317
					4,671,952
COMPANY					
ASR Holdings (Pvt) Ltd		3,605,635	750,000	(50,000)	366,317
Browns Holdings (Pvt) Ltd		76,459	-	(76,459)	-
Pathragala Estates (Pvt) Ltd		28,963	-	(28,963)	-
Mutugala Estates (Pvt) Ltd		33,918	-	(33,918)	-
		3,744,975	750,000	(189,340)	366,317
					4,671,952
24.1.1 COMPANY					
		Interest	Repayments Terms		
ASR Holdings (Pvt) Ltd		12%	on demand		
Browns Investments PLC		6%	By way of a "Debt Novation Agreement"		
S.F.L. Services (Pvt) Ltd		6%	By way of a "Debt Novation Agreement"		
Browns & Company PLC		6%	By way of a "Debt Novation Agreement"		

Notes to the Financial Statements (Continued)

As at 31st March		GROUP	
		2016 LKR	2015 LKR
24.2 Finance Leases			
BOI Sri Lanka		40,800,000	44,200,000
Hatton National Bank PLC		-	1,673,590
Net Liability		40,800,000	45,873,590
Gross Liability		40,800,000	45,873,590
Finance Charges allocated to future periods		(17,633,448)	(20,048,590)
Net liability		23,166,552	25,825,000
Repayable after one year		22,083,207	23,032,073
Repayable within one year		1,083,345	2,792,927

Security: Absolute ownership of the assets under lease will be with the lessor till the expiration of the lease period.

During the previous year the management of South Asia Textile Industries Lanka (Pvt) Ltd reassessed the finance lease arrangement with Board of Investment of Sri Lanka and, accordingly future finance costs has been recognized in the financial statements.

24.3 Bank Loans	Notes	Interest Rate %	As At 01.04.2015 Rs.	Loans Obtained Rs.	Repayment Rs.	As At 31.03.2016 Rs.
GROUP						
National Development Bank PLC - Revolving Loan	24.3.1	10.25%	4,622,119	300,000,000	(4,622,119)	300,000,000
Seylan Bank PLC	24.3.2	8.25%	580,107,260	130,768,755,199	(131,112,809,117)	236,053,342
Pan Asia Banking Corporation - Reverse Repo	24.3.3	8.75%	400,157,824	4,504,915,250	(4,905,073,074)	-
National Development Bank PLC	24.3.4	6.5% - 12.5%	37,336,340	49,827,457	(62,986,343)	24,177,454
Hatton National Bank PLC	24.3.5	AWPLR+ 2%	212,931,340	120,635,060	(106,305,783)	227,260,617
People's Bank	24.3.6	AWPLR+ 4%	21,060,700	79,158,486	79,683,811	20,535,375
Sampth Bank PLC-Term Loan	24.3.7	6.5%	925,938	-	(925,938)	-
Bank of Ceylon-Term Loan	24.3.8	AWPLR+ 2.5%	15,917,704	-	(5,457,504)	10,460,200
Bank of Ceylon-Packing Credit Loan	24.3.9	6%	43,989,345	172,122,067	(203,723,180)	12,388,232
Bank of Ceylon - Export bill Discount	24.3.10	0.25% (3 month)	-	20,996,405	(20,996,405)	-
Sampath Bank PLC-Packing Credit Loan	24.3.11	LIBOR+ 2%	15,965,505	42,161,941	(58,127,446)	-
National Development Bank PLC-Term Loan (FCBU)	24.3.12	6.5%, LIBOR+ 6.08%	80,935,486	-	(46,118,841)	34,816,645
Perpetual Treasuries Limited	24.3.13	7.95%	-	8,902,870,261	(8,402,761,058)	500,109,203
Sampath Bank Term Loan (FCBU) TL - 03	24.3.14	LIBOR + 4%	-	98,336,355	(6,703,454)	91,632,901
People's Bank - Import Loan		AWPLR + 2% - 4%	-	74,097,869	(43,177,382)	30,920,487
			1,413,949,561	145,133,876,350	(145,059,471,455)	1,488,354,456
Repayable after one year			222,424,149			275,966,336
Repayable within one year			1,191,525,412			1,212,388,120
COMPANY						
National Development Bank PLC - Revolving Loan	24.3.1	10.25%	4,622,119	300,000,000	(4,622,119)	300,000,000
Pan Asia Banking Corporation - Reverse Repo	24.3.3	8.75%	400,157,824	4,504,915,250	(4,905,073,074)	-
Seylan Bank PLC	24.3.2	8.25%	580,107,260	130,768,755,199	(131,112,809,117)	236,053,342
Perpetual Treasuries Limited	24.3.13	7.95%	-	8,902,870,261	(8,402,761,058)	500,109,203
			984,887,203	144,476,540,710	(144,425,265,368)	1,036,162,545
Repayable after one year			-			-
Repayable within one year			984,887,203			1,036,162,545

Notes to the Financial Statements (Continued)

	Bank	Securities	Repayments Terms
24.3.1	National Development Bank PLC	Primary Mortgage Over free hold Commercial Property Marked Lot B in Plan No 184/2001 dated 11/06/2001 Assessment No 10.2nd Lane, Gothami Road, Colombo 10 for SLR 187,000,000 owned by Lexinton Holdings Pvt Ltd.	The loan repayment period is 6 months.
24.3.2	Seylan Bank PLC	Related treasury Bonds	Total repayment is due on the accepted date
24.3.3	Pan Asia Bank Corporations PLC	Related treasury Bonds	Total repayment is due on the accepted date
24.3.4	National Development Bank PLC	Inventory and debtors were pledged against the bank facility by Palla & Company (Pvt) Ltd. And primary mortgage bond over immovable property in the factory at Kosgama by Royal Fernwood Porcelain Ltd.	The loan repayment and LKR 1,125,000/- by Royal Fernwood Porcelain Ltd. Repayment on or before 31.8.2016 by Palla & Company (Pvt) Ltd
24.3.5	Hatton National Bank PLC	Primary mortgage bond over immovable property in the factory at Kosgama by Royal Fernwood Porcelain Ltd. Mortgage over Land, building and Immovable Machinery at Kelani Ganga Mills Road, Mattakkuliya and Balummahara by Ceylon Leather Products PLC.	The Loan repayment monthly installment of Rs. 2,318,154/- The loan repayment 90 days by Ceylon Leather Products PLC
24.3.6	People's Bank	Primary Mortgage over Land and Buildings and Concurrent Registered Primary Floating Mortgage over Land and Buildings & title to goods shipped at Royal Fernwood Porcelain Ltd.	The Loan repayment monthly installment of Rs. 2,318,154/- The loan repayment 120 days by Ceylon Leather Products PLC
24.3.7	Sampath Bank PLC	Dankotuwa Porcelain PLC has signed Hypothecation Bond for Rs.100Mn over inventory and debtors.	The Loan repayment is 96 installments with the grace period of two years.
24.3.8	Bank of Ceylon	Machineries, Trade receivables and Inventory were pledged against the bank facility by Dankotuwa Porcelain PLC	The loan repayment period is 48 months.
24.3.9	Bank of Ceylon	Floating Hypothecation Bond has been signed by Dankotuwa Porcelain PLC over inventory and debtors.	The loan repayment period is four months.
24.3.10	Bank of Ceylon	Relative Bills of Exchange, Shipping document, accepted bills of exchange of Dankotuwa Porcelain PLC under the bank's constructive control.	The loan repayment is due on the accepted date.
24.3.11	Sampath Bank PLC	Dankotuwa Porcelain PLC has signed Hypothecation Bond for Rs.100Mn over inventory and debtors.	The loan repayment period is three months.
24.3.12	National Development Bank PLC	Machineries, Leasehold Building were pledged against the bank facility by South Asia Textile Industries Lanka (Pvt) Ltd.	The loan repayment is equated on a monthly installment basis of LKR.4,418,442/=
24.3.13	Perpetual Treasuries Limited	Related treasury Bonds	Total repayment is due on the accepted date
24.3.14	Sampath Bank PLC	Machineries, Leasehold Building were pledged against the bank facility by South Asia Textile Industries Lanka (Pvt) Ltd.	The loan repayment is equated on a monthly installment basis of LKR.1,762,234/=

Notes to the Financial Statements (Continued)

As at 31st March			GROUP		COMPANY	
	Interest Rate	Repayments Terms	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
24.4 Loans Payable to Related Parties						
Mr. W.J. Antony or Mr. R.R. Antony	10%	On Demand	4,000,986	4,001,096	4,000,986	4,001,096
Mrs. Janaki Sugathadasa	10%	On Demand	1,482,237	1,211,236	1,482,237	1,211,236
Mr. R. P. Sugathadasa	10%	On Demand	1,023,018	3,668,175	1,023,018	3,668,175
Mr. R. Jayasinghe	10%	On Demand	4,701,159	4,701,288	4,701,159	4,701,288
Mr. G. Sugathadasa	10.5%	On Demand	829,361	822,909	829,361	822,909
Mr. P. C. H. Wariyapola & M. B. H. Wariyapola	10%	On Demand	19,225,702	10,641,080	19,225,702	10,641,080
Mr. I. C. Nanayakkara	10%	On Demand	47,040,678	42,561,377	47,040,678	42,561,377
Mr. S. Wikramanayake	0%	On Demand	14,962,819	14,240,646	-	-
Mr. Eric Wikramanayake	13.93%	On Demand	3,880,013	3,406,492	-	-
Mr. R. Roshan Antony or Mrs. Udeni Ratnayake	10%	On Demand	39,756,095	-	39,756,095	-
			136,902,068	85,254,300	118,059,236	67,607,162
Repayable within one year			136,902,068	85,254,300	118,059,236	67,607,162
24.5 Short Term Loans	Interest Rate	As at 01.04.2015 Rs.	Loans Obtained Rs.	Repayment Rs.	Accrued Interest Rs.	As at 31.03.2016 Rs.
COMPANY						
Merchant Bank of Sri Lanka PLC	10%	204,864,179	-	(204,864,179)	-	-
		204,864,179	-	(204,864,179)	-	-
GROUP						
National Development Bank PLC-Short Term Loan	6% - 10%	32,635,204	-	-	3,946,833	36,582,037
Hatton National Bank PLC	11.94% - 16.8%	40,109,664	212,189,170	(127,135,916)	-	125,162,918
Peoples' Bank - Trust Receipt Loans	4.75%, 13.5% - 16%	338,721,394	2,217,694,026	(1,835,068,853)	-	721,346,567
Pan Asia Banking Corporation PLC - Trust Receipt Loans	5%	371,757,907	809,750,346	(1,142,754,537)	-	38,753,716
Merchant Bank of Sri Lanka PLC	10%	204,864,179	-	(204,864,179)	-	-
Revolving Import Loans - Seylan Bank PLC	NA	-	416,025,283	(243,379,617)	-	172,645,666
Revolving Import Loans - NTB	3.25%	176,645,632	1,134,544,332	(919,169,602)	-	392,020,362
Import Finance Loan- Sampath Bank PLC	NA	60,780,462	274,126,126	(282,384,120)	-	52,522,468
		1,225,514,442	5,064,329,283	(4,754,756,824)	3,946,833	1,539,033,734

Notes to the Financial Statements (Continued)

As at 31st March	GROUP		COMPANY	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
25 Retirement Benefit Obligation				
Present value of unfunded gratuity	267,157,532	236,741,258	4,550,643	4,080,233
	267,157,532	236,741,258	4,550,643	4,080,233
25.1 Provision for Retiring Gratuity				
Balance at the beginning of the year	236,741,258	232,763,674	4,080,233	3,406,736
Current service cost	25.2 26,147,168	21,872,504	492,032	502,890
Interest cost	25.2 22,637,453	21,534,742	408,023	374,741
Actuarial losses/(gains)	25.3 12,574,735	1,000,389	(429,645)	(204,134)
Acquisition of subsidiary/(disposals) during the year	(87,318)	-	-	-
Payment made during the year	(30,855,766)	(36,992,208)	-	-
Classified as Held For Sale	-	(3,437,843)	-	-
Balance at the end of the year	267,157,532	236,741,258	4,550,643	4,080,233
25.2 Expenses recognized in Compressive Income				
Current service cost	26,147,168	21,872,504	492,032	502,890
Interest cost	22,637,453	21,534,742	408,023	374,741
	48,784,621	43,407,246	900,055	877,631
25.3 Expenses recognized in Other Compressive Income				
Actuarial losses/(gains)	12,574,735	1,000,389	(429,645)	(204,134)
	12,574,735	1,000,389	(429,645)	(204,134)
25.4	LKAS 19 "Employee Benefits" requires the use of actuarial techniques to make a reliable estimate of the amount of retirement benefit that employee have earned in return for their service in the current and prior periods and discount that benefit in order to determine the present value of the retirement benefit obligation and the current service cost.			
	This requires an entity to determine how much benefit is attributable to the current and prior periods and to make estimate about demographic variables and financial variables that will influence the cost of the benefit.			
25.5	Principal actuarial assumptions used are as follows :		2016	2015
(i) Rate of interest			10%	10%
(ii) Rate of salary increment			10%	10%
(iii) Staff turnover factor (as a %)			5% - 10%	5% - 44%
(iv) The Company will continue as a going concern				
25.6	Sensitivity Analysis			
	Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would affected the defined benefit obligation by the amounts shown below.			
	GROUP		COMPANY	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Discount Rate - (1% Increase)	(9,335,398)	(10,182,680)	(414,583)	(368,302)
- (1% Decrease)	8,239,312	11,252,691	470,299	438,131
Salary Increment Rate - (1% Increase)	8,676,334	12,263,829	449,094	422,579
- (1% Decrease)	(6,113,000)	(11,343,485)	(403,769)	(392,240)

Notes to the Financial Statements (Continued)

As at 31st March	GROUP		COMPANY	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
26 Deferred Tax				
Deferred Tax Asset				
Balance as at the beginning of the year	26,152,861	19,099,576	1,066,359	812,611
Origination of temporary differences;	-	-	-	-
Recognized in profit or loss	52,280,860	9,920,107	251,401	196,591
Recognized in other comprehensive income	232,327	2,045,289	(120,300)	57,157
Assets classified as held for sale (Note 29)	(8,694)	(821,533)	-	-
Balance as at the end of the year	78,657,354	26,152,861	1,197,460	1,066,359
Deferred Tax Liability				
Balance as at the beginning of the year	274,204,669	279,834,899	-	-
Recognized in profit or loss	(35,902,415)	(7,889,443)	-	-
Recognized in other comprehensive income	16,958,782	(2,259,213)	-	-
Assets classified as held for sale (Note 29)	(4,437,896)	-	-	-
Balance as at the end of the year	250,823,140	274,204,669	-	-
Net Differed Tax Asset / (Liability)	(172,165,786)	(248,051,808)	1,197,460	1,066,359
Composition of deferred tax assets/ (liabilities) as follows;				
Property, Plant and Equipment	(184,469,663)	(266,953,227)	(76,720)	(76,107)
Retirement Benefit Obligation	(249,981,682)	47,280,072	1,274,180	1,142,465
Revaluation of Land and Building to Fair Value	50,683,072	(165,810,085)	-	-
Losses available for offset against future Taxable Income	176,568,548	102,960,094	-	-
Others	35,033,939	34,471,338	-	-
	(172,165,786)	(248,051,808)	1,197,460	1,066,359
27 Trade and Other Payables				
Trade Payables	1,025,786,772	1,006,801,086	-	-
Accrued & Other Payable	719,045,274	910,023,514	13,309,826	1,580,274
Others	1,235,019	1,341,395	134,390	134,390
Classified as held for sale	-	(22,407,143)	-	-
	1,746,067,065	1,895,758,851	13,444,216	1,714,664
28 Amount Due to Related Companies				
Taprobane Investments (Pvt) Ltd	-	-	40,223,619	22,180,062
Taprobane Securities (Pvt) Ltd	-	-	56,904,620	15,697,677
ARRC Capital (Pvt) Ltd	118,234,016	108,133,305	117,884,016	107,783,305
Taprobane Wealth Plus (Pvt) Ltd	-	-	55,381,788	154,437,779
Taprobane Equities (Pvt) Ltd	-	-	282,007	400,000
Ceylon Leather Products PLC	-	-	101,746,277	100,437,970
Colombo City Holdings PLC	-	-	52,093,793	52,217,431
Lanka Orix Finance PLC	-	546,620	-	-
Lanka Century Investments PLC	-	-	597,600,026	676,827,162
Millennium Development (Pvt.) Ltd	-	39,749,645	-	-
	118,234,016	148,429,570	1,022,116,146	1,129,981,386

Notes to the Financial Statements (Continued)

29 Discontinued Operations

The Group has discontinued the operations of its operating segment "Services" in the previous year. Current period Services segment includes performance up to the disposal date (15 June 2015) of Enterprise Technology (Pvt) Ltd.

Palla and Company (Private) Limited a subsidiary of Ceylon Leather Products PLC and a major line of business under the "footwear manufacturing" segment, suspended its operation with effect from 31 August 2015.

Further the Group discontinued the operations of its operating segment "Leisure Management" Carried out by Taprobane Plantations Limited. The Current Financial year results includes the performance of leisure management segment up to its disposal date at 31 January 2016.

The comparative statement of profit or Loss has been reclassified to show the discontinued operation separately from continuing operations.

The results of the subsidiaries in the "Services", "Leisure Management" and "manufacturing footwear" after intercompany eliminations is presented below;

	LEISURE MANAGEMENT 2016 LKR	SERVICES 2016 LKR	FOOTWEAR 2016 LKR	TOTAL 2016 LKR	LEISURE MANAGEMENT 2015 LKR	SERVICES 2015 LKR	FOOTWEAR 2015 LKR	TOTAL 2015 LKR
Revenue	96,774,609	26,773,356	2,688,308	126,236,273	94,849,083	91,923,213	69,854,704	256,627,000
Cost of Sales	(77,062,357)	(21,189,872)	(79,496,392)	(177,748,622)	(83,896,363)	(59,350,276)	(140,249,059)	(283,495,698)
Other Income	-	-	160,302	160,302	-	5,387,732	371,656	5,759,388
Selling and Distribution Expenses	(2,554,738)	(1,553,939)	(698,755)	(4,807,431)	(2,488,929)	(3,698,235)	(1,416,716)	(7,603,880)
Administrative Expenses	(29,069,546)	(6,214,554)	(73,183,733)	(108,467,833)	(28,169,606)	(83,396,581)	(43,054,067)	(154,620,254)
Finance Cost	-	(275,000)	(2,050,872)	(2,325,872)	-	(7,554,228)	(1,958,879)	(9,513,107)
Finance Income	-	22,410	-	22,410	-	592,513	-	592,513
Gain / (Loss) from disposal of discontinued operations	23,071,934	(6,258,056)	-	16,813,878	-	-	-	-
Profit/(loss) before tax from discontinued operations	11,159,902	(8,695,655)	(152,581,141)	(150,116,895)	(19,705,815)	(56,095,862)	(116,452,361)	(192,254,039)
Income tax	-	(12,771)	4,437,895	4,425,124	-	(550,738)	(5,247,455)	(5,798,193)
Profit/(Loss) for the year from discontinued operations	11,159,902	(8,708,426)	(148,143,246)	(145,691,771)	(19,705,815)	(56,646,600)	(121,699,817)	(198,052,232)

The operations of Enterprise Technology (Pvt) Ltd had been classified as a disposal group held for sale and discontinued operations in the group financial statements as of 31 March 2015. The carrying amount of the Assets and Liabilities in the disposal group are given below;

Enterprise Technology (Pvt) Ltd	
	2015
Assets	
Property, Plant and Equipment	1,209,956
Intangible Assets	15,520
Deferred Tax Asset	821,533
Inventories	3,163,791
Projects in Progress	10,773,961
Trade and Other Receivables	25,692,738
Income Tax Receivable	1,635,258
Cash and Short terms Deposits	1,305,098
	44,617,855
Liabilities	
Employee Benefits Liabilities	3,437,843
Trade and Other Payables	22,407,144
Interest Bearing Borrowings	12,424,538
	38,269,524
Net Assets Directly Associated with the Disposal Group	6,348,331

Notes to the Financial Statements (Continued)

30 Fair Values

30.1 Accounting Classification and Fair Values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

GROUP	Carrying Amount Rs.						Fair Value Rs.						
	31 March 2016	Notes	Held-for- trading	Available For Sale	Loans & Receivables	Held To Maturity	Other Financial Liabilities	Total	Level 1	Level 2	Level 3	Total	
Financial Assets measured at fair value													
	18.3	Investment in Quoted Securities	865,148,500	-	-	-	-	865,148,500	865,148,500	-	-	-	865,148,500
	18.3	Investment in Government Securities	868,617,840	-	-	-	-	868,617,840	868,617,840	-	-	-	868,617,840
	15	Investment Property	-	-	-	-	-	-	-	1,802,670,450	-	1,802,670,450	
	11.1	Property Plant and Equipment	-	-	-	-	-	-	-	1,454,743,119	711,385,481	2,166,128,600	
			1,733,766,340	-	-	-	-	1,733,766,340	1,733,766,340	3,257,413,569	711,385,481	5,702,565,390	
Financial Assets not measured at fair value													
	18	Investment in Government Securities	-	-	-	35,345,155	-	35,345,155	-	-	-	-	
	18.2	Bank Deposits	-	-	371,103,934	-	-	371,103,934	-	-	-	-	
	18.2	Debentures	-	-	108,403,890	-	-	108,403,890	-	-	-	-	
	20	Trade Receivables	-	-	1,857,932,712	-	-	1,857,932,712	-	-	-	-	
	18.2	Investment in Unit Trust	-	-	10,076,442	-	-	10,076,442	-	-	-	-	
	21	Amounts Due from Related Parties	-	-	7,492,333	-	-	7,492,333	-	-	-	-	
	22	Cash & Cash Equivalents	-	-	438,103,963	-	-	438,103,963	-	-	-	-	
			-	-	2,793,113,274	35,345,155	-	2,828,458,429	-	-	-	-	
Financial Liabilities not measured at fair value													
	24	Loans from Non-Financial Institutions	-	-	-	-	290,017,987	290,017,987	-	-	-	-	
	24	Finance Leases	-	-	-	-	23,166,552	23,166,552	-	-	-	-	
	24	Bank Loans	-	-	-	-	1,488,354,456	1,488,354,456	-	-	-	-	
	24	Loans granted by Related Parties	-	-	-	-	136,902,068	136,902,068	-	-	-	-	
	24	Short Term Loan	-	-	-	-	1,539,033,734	1,539,033,734	-	-	-	-	
	27	Trade Payables	-	-	-	-	1,025,786,772	1,025,786,772	-	-	-	-	
	28	Amount Due to Related Companies	-	-	-	-	118,234,016	118,234,016	-	-	-	-	
	22	Bank Overdraft	-	-	-	-	2,677,979,089	2,677,979,089	-	-	-	-	
			-	-	-	-	7,299,474,674	7,299,474,674	-	-	-	-	

The carrying amount of cash and bank balances are approximate fair values due to the relatively short maturity of the financial instruments. For other receivables the carrying value has been considered as the fair value due to uncertainty of the timing of the cash flows.

Notes to the Financial Statements (Continued)

30 Fair Values (Continued)

GROUP	Carrying Amount Rs.					Fair Value Rs.					
	Notes	Held-for- trading	Available For Sale	Loans & Receivables	Held To Maturity	Other Financial Liabilities	Total	Level 1	Level 2	Level 3	Total
31 March 2015											
Financial Assets measured at fair value											
	18.3	247,918,243	-	-	-	-	247,918,243	247,918,243	-	-	247,918,243
	18	-	2,336,250	-	-	-	2,336,250	-	-	2,336,250	2,336,250
	18.3	1,172,315,101	-	-	-	-	1,172,315,101	1,172,315,101	-	-	1,172,315,101
	15	-	-	-	-	-	-	-	1,500,011,721	-	1,500,011,721
	11.1	-	-	-	-	-	-	-	1,032,221,434	711,385,481	1,743,606,915
		1,420,233,344	2,336,250	-	-	-	1,422,569,594	1,420,233,344	2,532,233,155	713,721,731	4,666,188,230
Financial Assets not measured at fair value											
	18.4	-	-	-	33,539,761	-	33,539,761	-	-	-	-
	18.2	-	-	481,041,169	-	-	481,041,169	-	-	-	-
	18.2	-	-	61,061,697	-	-	61,061,697	-	-	-	-
	18.2	-	-	108,381,196	-	-	108,381,196	-	-	-	-
	20	-	-	2,176,225,685	-	-	2,176,225,685	-	-	-	-
	21	-	-	27,762,883	-	-	27,762,883	-	-	-	-
	22	-	-	364,221,222	-	-	364,221,222	-	-	-	-
		-	-	3,218,693,852	33,539,761	-	3,252,233,613	-	-	-	-
Financial Liabilities not measured at fair value											
	24	-	-	-	-	274,465,218	274,465,218	-	-	-	-
	24	-	-	-	-	25,825,000	25,825,000	-	-	-	-
	24	-	-	-	-	1,413,949,561	1,413,949,561	-	-	-	-
	24	-	-	-	-	85,254,300	85,254,300	-	-	-	-
	24	-	-	-	-	1,225,514,442	1,225,514,442	-	-	-	-
	24	-	-	-	-	976,538,352	976,538,352	-	-	-	-
	27	-	-	-	-	984,393,943	984,393,943	-	-	-	-
	28	-	-	-	-	148,429,570	148,429,570	-	-	-	-
	22	-	-	-	-	1,554,691,229	1,554,691,229	-	-	-	-
		-	-	-	-	6,689,061,615	6,689,061,615	-	-	-	-

Carrying values of financial liabilities have been considered as the fair value, due to uncertainty of the timing of the cash flow.

Notes to the Financial Statements (Continued)

Fair Values (Continued)		Accounting Classification and Fair Values										
The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.												
COMPANY	Carrying Amount Rs.					Fair Value Rs.						
	31 March 2016	Notes	Held-for- trading	Available For Sale	Loans & Receivables	Held To Maturity	Other Financial Liabilities	Total	Level 1	Level 2	Level 3	Total
Financial Assets measured at fair value												
Investment in Quoted Securities	18.3		1,705,080	-	-	-	-	1,705,080	1,705,080	-	-	1,705,080
Investment in Government Securities	18.3		868,617,840	-	-	-	-	868,617,840	868,617,840	-	-	868,617,840
Investment Property	15		-	-	-	-	-	-	-	23,000,000	-	23,000,000
			870,322,920	-	-	-	-	870,322,920	870,322,920	23,000,000	-	893,322,920
Financial Assets not measured at fair value												
Trade Receivables	20		-	-	48,298,290	-	-	48,298,290	-	-	-	-
Amounts Due from Related Parties	21		-	-	35,784,397	-	-	35,784,397	-	-	-	-
Cash & Cash Equivalents	22		-	-	699,718	-	-	699,718	-	-	-	-
			-	-	84,782,405	-	-	84,782,405	-	-	-	-
Financial Liabilities not measured at fair value												
Loans from Non-Financial Institutions	24		-	-	-	-	4,671,952	4,671,952	-	-	-	-
Bank Loans	24		-	-	-	-	1,036,162,545	1,036,162,545	-	-	-	-
Loans granted by Related Parties	24.4		-	-	-	-	118,059,236	118,059,236	-	-	-	-
Amount Due to Related Companies	28		-	-	-	-	1,022,116,146	1,022,116,146	-	-	-	-
Bank Overdraft	22		-	-	-	-	1,536,767,614	1,536,767,614	-	-	-	-
			-	-	-	-	3,717,777,493	3,717,777,493	-	-	-	-

The carrying amount of cash and bank balances are approximate fair values due to the relatively short maturity of the financial instruments. For other receivables the carrying value has been considered as the fair value due to uncertainty of the timing of the cash flows.

Notes to the Financial Statements (Continued)

Fair Values (Continued)													
Accounting Classification and Fair Values													
31 March 2015	Notes	Held-for- trading	Available For Sale	Loans & Receivables	Held To Maturity	Other Financial Liabilities	Total	Level 1	Level 2	Level 3	Total		
<i>Financial Assets measured at fair value</i>													
	18.3	2,273,440	-	-	-	-	2,273,440	2,273,440	-	-	2,273,440		
	18.3	1,172,315,101	-	-	-	-	1,172,315,101	1,172,315,101	-	-	1,172,315,101		
	15	-	-	-	-	-	-	-	22,000,000	-	22,000,000		
		1,174,588,541	-	-	-	-	1,174,588,541	1,174,588,541	22,000,000	-	1,196,588,541		
<i>Financial Assets not measured at fair value</i>													
	20	-	-	53,477,087	-	-	53,477,087	-	-	-	-		
	21	-	-	1,595,890,923	-	-	1,595,890,923	-	-	-	-		
	22	-	-	26,931,731	-	-	26,931,731	-	-	-	-		
		-	-	1,676,299,741	-	-	1,676,299,741	-	-	-	-		
<i>Financial Liabilities not measured at fair value</i>													
	24	-	-	-	-	3,744,975	3,744,975	-	-	-	-		
	24	-	-	-	-	984,887,203	984,887,203	-	-	-	-		
	24	-	-	-	-	67,607,162	67,607,162	-	-	-	-		
	24	-	-	-	-	204,864,179	204,864,179	-	-	-	-		
	28	-	-	-	-	1,129,981,386	1,129,981,386	-	-	-	-		
	24	-	-	-	-	1,357,851,956	1,357,851,956	-	-	-	-		
		-	-	-	-	3,748,936,860	3,748,936,860	-	-	-	-		

Carrying values of financial liabilities have been considered as the fair value, due to uncertainty of the timing of the cash flow.

Notes to the Financial Statements (Continued)

As at 31st March

31 Commitments and Contingent Liabilities

31.1 Commitments - Company

The Company does not have significant capital commitment as at the reporting date.

31.2 Commitments - Group

31.2.1 South Asia Textiles Industries Lanka (Pvt) Ltd

Operating Lease Commitments

The Company has an operating lease for land. This lease has a term of renewal but no purchase option and escalation clause. Renewals are at the option of the specific entity that holds the lease. Future lease payments under operating lease contract are as follows;

	2016 Rs.	2015 Rs.
Within one year	3,000,000	3,000,000
After one year but not more than five years	15,000,000	15,000,000
More than five years	18,000,000	21,000,000
Present value of minimum lease payments	36,000,000	39,000,000

31.3 Contingent Liability - Company

The Company does not have significant contingent liabilities as at the reporting date

31.4 Contingent Liability - Group

The Contingent liability of the Group relates to the following :

31.4.1 Lanka Century Investment PLC

Bank Guarantees

Guarantees given to following facilities on behalf of South Asia Textile Industries Lanka (Pvt) Ltd;

Nations Trust Bank PLC (USD 4,000,000)	587,120,000	336,825,000
Seylan Bank PLC	-	101,047,500
Habib Bank Ltd (USD 750,000)	110,085,000	-

Guarantees given to following facility on behalf of Royal Fernwood Porcelain Ltd;

People's Bank PLC	65,000,000	-
-------------------	------------	---

31.4.2 Ceylon Leather Products PLC

Letters of Credit and Bank Guarantees

	2016 LKR	2015 LKR
Letters of Credit Opened with Banks favoring suppliers	1,800,000	3,382,285
Guarantees Issued by Banks on behalf of the Company	143,500,000	141,000,000
Guarantees given to following facilities on behalf of South Asia Textile Industries Lanka (Pvt) Ltd;		
People's Bank of Sri Lanka (USD 4,500,000)	660,510,000	653,650,000
Pan Asia Banking Corporation (USD 1,500,000)	220,170,000	220,000,000
DFCC Bank PLC (USD 2,500,000)	366,950,000	-
National Development Bank PLC	-	990,600,000
Sampath Bank PLC (USD 1,146,000)	168,209,880	-
Guarantees given to Palla & Company (Pvt) Ltd;	132,102,000	120,600,000

31.4.3 Royal Fernwood Porcelain Limited

Letter of Credit

	2016 LKR	2015 LKR
Letter of credit opened with Banks favoring suppliers	50,000,000	50,000,000

Notes to the Financial Statements (Continued)

As at 31st March

32 Related Party Transactions

32.1 Identity of related parties

The Company has related party relationship with its subsidiaries, associates, affiliate companies and with key management personnel (KMP).

32.2 Transaction with /between subsidiaries and the parent company

Company	Relationship	Nature of transaction	Transaction Amount	Balance (due)/from as at 31/3/2016	Balance (due)/from as at 31/3/2015
Taprobane Investments (Pvt) Ltd	Fully owned subsidiary	Brokerage on money broking	(1,359,184)	-	-
		Brokerage paid	1,597,041	-	-
		Common expenses -reimbursement	405,298	-	-
		Common expenses - allocation	(2,602,537)	-	-
		Settlement of advance	43,228,000	-	-
		Shared service & consultancy fees	5,229,590	-	-
		Advance taken	(84,546,821)	-	-
		Transfer to loan	60,228,675	-	(22,180,061)
		Transfer from loan	(60,228,675)	-	-
		Loan taken	(7,100,000)	-	-
		Loan settlement	30,400,000	-	-
		Interest charged	(3,294,944)	(40,223,619)	-
Lexinton Holdings (Pvt) Ltd.	Fully owned subsidiary	Common expenses -reimbursement	30,473	-	-
		Common expenses - allocation	(100,709)	-	-
		Shared service & consultancy fees	1,702,191	-	-
		Settlement - Fund Transfers	(5,525,688)	-	3,893,732
		Loan granted	180,250,000	-	-
		Loan recovered	(330,014,186)	-	-
		Interest charged	43,125,872	-	-
		Loan convert to Preference shares	(560,000,000)	3,118,759	669,757,072
Taprobane Securities (Pvt) Ltd.	Fully owned subsidiary	Common expenses -reimbursement	271,412	-	-
		Common expenses - allocation	(5,898,421)	-	-
		Shared service & consultancy fees	4,008,535	-	-
		Settlement - Fund Transfers	(2,181,622)	-	3,728,096
		Loan obtained	(67,400,000)	-	-
		Loan repayment	30,985,628	-	-
		Interest expenses on loans and borrowings	(1,064,476)	(56,904,620)	(19,425,773)
Taprobane Wealth Plus (Pvt) Ltd	Fully owned subsidiary	Common expenses -reimbursement	1,402,772	-	-
		Common expenses - allocation	(818,773)	-	-
		Settlement -fund transfers	1,687,774	-	-
		Shared service & consultancy fees	414,988	-	(2,686,760)
		Loan obtained	(12,400,000)	-	-
		Loan repayment	113,118,671	-	-
		Interest expenses on loans and borrowings	(4,349,440)	(55,381,788)	(151,751,019)
Heron Agro Products (Pvt) Ltd	Fully owned subsidiary	Loan granted	1,394,781	-	-
		Loan repayment	-	-	-
		Interest income on loans and borrowings	2,561,900	-	-
		Shared service & consultancy fees	117,993	32,467,908	28,393,234
Lexinton Financial Services (Pvt) Ltd	Fully owned subsidiary	Settlement - fund transfers	(722,852)	-	-
		Common expenses -reimbursement	11,798	-	-
		Common expenses - allocation	-	-	-
		Shared service & consultancy fees	140,800	-	570,254
Lanka Century Investments PLC	subsidiary	Loan obtained	(4,015,357)	-	-
		Loan repayment	87,100,000	-	-
		interest repayment	50,543,329	-	-
		Interest expenses on loans and borrowings	(54,400,836)	(597,600,026)	(676,827,162)

Notes to the Financial Statements (Continued)

As at 31st March

32 Related Party Transactions (Continued)

Company	Relationship	Nature of transaction	Transaction Amount	Balance (due)/from as at 31/3/2016	Balance (due)/from as at 31/3/2015
Taprobane Plantation Ltd	Subsidiary	Disposed during the year	-	197,730	197,730
Taprobane Equities (Pvt) Ltd	Fully owned subsidiary	Fund Transfers	-	-	-
		Loan obtained	-	-	-
		Shared service & consultancy fees	117,993	-	-
		Loan convert to Preference shares	(893,078,900)	(282,007)	892,678,900
Ceylon Leather Products PLC	Subsidiary	Loan obtained	-	-	-
		interest repayment	7,637,346	-	-
		Interest expenses on loans and borrowings	(8,945,654)	(101,746,277)	(100,437,970)
Colombo City Holdings PLC	Subsidiary	interest repayment	4,810,190	-	-
		Interest expenses on loans and borrowings	(4,686,552)	(52,093,793)	(52,217,431)
ARRC Capital (Pvt) Ltd	Common KMP	Interest expenses on loans and borrowings	(9,914,805)	-	-
		Common expenses -reimbursement	11,796	-	-
		Settlement -fund transfers	(497,702)	-	-
		Shared service & consultancy fees	300,000	(117,884,016)	(107,783,305)

32.3 Transaction with / between other companies in the Group

Company	Relationship	Nature of transaction	Amount	Balance (due)/from as at 31/3/2016	Balance (due)/from as at 31/3/2015
Taprobane Plantation Ltd	Subsidiary	Disposed during the year	(27,570)	170,160	197,730
Excel Restaurants (Pvt.) Ltd	Affiliate Co.	Disposed during the year	(4,945,810)	-	4,945,810
Excel Global Holdings (Pvt.) Ltd	Affiliate Co.	Disposed during the year	(3,230,000)	-	3,230,000
ARRC Capital (Pvt) Ltd	Common KMP	Interest expenses on loans and borrowings	(9,914,805)	-	-
		Common expense allocation	(76,588)	-	-
		Common expenses -reimbursement	186,807	-	-
		Settlement - fund transfers	(497,702)	-	-
		Shared service & consultancy fees	300,000	(118,234,016)	(108,231,729)
Lanka Orix Finance PLC	Affiliate Co.	Disposal of subsidiary	546,620	-	(546,620)
Millennium Development (Pvt.) Ltd	Affiliate Co.	Disposal of subsidiary	39,749,645	-	(39,749,645)

32.4 Transactions with Key Management Personnel

Key management personnel include members of the Board of directors of Taprobane Holdings PLC and its subsidiary companies. The transactions with key management personnel are at arms length basis.

As at 31st March	GROUP		COMPANY	
	2016 LKR	2015 LKR	2016 LKR	2015 LKR
32.4.1 Key Management Personnel Compensation				
Short-term employee benefits	203,588,752	137,649,701	1,021,000	7,065,000
Loan Granted	36,412,117	23,059,440	-	-
Loan Recovered	63,891,708	22,607,472	-	-
Loan Obtained	45,139,122	5,961,533	45,139,122	5,961,533
Settlement of Loan	8,637,840	6,529,091	8,637,840	6,529,091
Net Interest	1,807,510	4,927,982	760,469	587,736

32.5 Terms and conditions of transactions with related parties

Transactions with related parties are carried out in the ordinary course of the business. Outstanding current account balances at year end are unsecured, interest free and settlement occurs in cash. Interest bearing borrowings are at pre-determined interest rates and terms.

Notes to the Financial Statements (Continued)

As at 31st March

33 Events Occuring After Reporting Period

No circumstances have arisen since the reporting date, which would require adjustment to or disclosure in the financial statements, except for the followings.

33.1 Colombo City Holdings PLC

On 04 May 2016, the board approved a first and final dividend of LKR 10/- per share for the year ended 31st march 2016, subject to obtaining the shareholders' approval at the annual General Meeting.

On 28 July 2016 the Board approved to purchase 3 acres of land situated at polgasowita for a total consideration of LKR 67,200,000/-

33.2 Dankotuwa Porcelain PLC

The Board of Directors of the Company has proposed the first and final dividend of LKR 0.25 per share for the financial year ended 31 March 2016.

Notes to the Financial Statements (Continued)

34 Assets Pledged

The Company does not have any other assets that are pledged as security for liabilities. However the subsidiaries of the Group has pledged the following assets.

		Carrying Amount		Included Under
		2016 Rs. Mn	2015 Rs. Mn	
34.1 Assets Pledged by Taprobane Holdings PLC				
Investment in Shares	Pledge for Facility Granted by Seylan Bank PLC & Pan Asia Bank	2,993.90	2,993.90	Investments in Subsidiaries
34.2 Assets Pledged by Lexinton Holdings (Pvt) Ltd				
Land & Buildings	Primary Mortgage for Loans and Borrowings	237	200	Property, Plant & Equipment
34.3 Assets Pledged by Taprobane Equities (Pvt) Ltd				
Investment in Shares	Pledge for Facility Granted by Pan Asia Banking Corporation	711.90	814.11	Investments in Subsidiaries
34.4 Assets Pledged by Lanka Century Investments PLC				
Quoted Equity Investments	Margin Trading Facility Overdraft	- 2,894.51	3,762.1 -	Other Current Financial Assets
34.5 Assets Pledged by Ceylon Leather Products PLC				
Immovable Properties	Floating Mortgage for Loans and Borrowings	991.30	804.00	Property, Plant & Equipment
Leased Assets	Charge over Leased Assets on Finance Lease Liabilities	-	7.18	Property, Plant & Equipment
Plant & Machinery Other than leased	Floating Mortgage for Loans and Borrowings	138.30	156.96	Property, Plant & Equipment
34.6 Assets Pledged by South Asia Textiles Industries Lanka (Pvt) Ltd				
Buildings	Primary Mortgage for Loans and Borrowings	583.58	578.90	Property, Plant & Equipment
Machineries	Primary Mortgage for Loans and Borrowings	772.78	591.22	Property, Plant & Equipment
Raw Materials, Finished Goods and Work in Progress	Primary/Concurrent Mortgage for Loans and Borrowings	1,130.58	1,152.36	Inventories
Trade Debtors	Primary/Concurrent Mortgage for Loans and Borrowings	686.67	705.45	Trade and Other Receivables
Margin Accounts	Primary Mortgage for Loans and Borrowings	11.54	87.86	Other Financial Assets
Fixed Deposit	Primary Mortgage for Loans and Borrowings	340.00	340.00	Other Financial Assets
34.7 Assets Pledged by Palla & Company (Pvt) Ltd				
Inventories	USD 19,000 and USD 41,975 short term import loan	2.16	49.30	Inventories
Trade Debtors	Facility granted by National Development Bank PLC	38.43	37.40	Trade and Other Receivables

Notes to the Financial Statements (Continued)

34	Assets Pledged (Continued)		Carrying Amount		Included Under
			2016 Rs. Mn	2015 Rs. Mn	
34.8	Assets Pledged by Dankotuwa Porcelain PLC	Inventory and Trade Debtors	602.00	645	Inventories and Recoverables
		Machinery	18.00	21.0	Property, plant and equipment
34.9	Assets Pledged by Royal Fernwood Porcelain Limited	Land and Buildings & immovable machinery	580.80	592.30	Property, plant and equipment
		Term loans and short term borrowings			

35 Financial instruments and risk management

Risk management framework

The Board of Directors has overall responsibility for the establishment and oversight of the Group's risk management framework.

The Group's risk management policies are established to identify and analyses the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. All the Group level risks are escalated to the parent company and the Board. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities.

The Group Audit Committee oversees the reports submitted by the Enterprise Risk Management and monitors compliance with the Group's risk management policies and procedures, and reviews the adequacy of the risk management framework in relation to the risks faced. The Group Audit Committee is assisted in its oversight role by Internal Audit. Internal Audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the Audit Committee.

A financial instrument is any contract that gives rise to both a financial asset of one enterprise and a financial liability or equity instrument of another enterprise.

The Group has exposure to the following risks from its use of financial instruments:

- (i) Credit risk
- (ii) Liquidity risk
- (iii) Market risk

(i) Credit risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. The Group's exposure to credit risk is as indicated by the carrying amount of its financial assets which consist principally of bank balance, due from related parties, trade and certain other receivables.

Exposure to credit risk

The Group limits its exposure to credit risk by investing only in liquid debt securities.

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

As at 31st March	Consolidated		Company	
	2016 LKR	2015 LKR	2016 LKR	2015 LKR
Fair Value Through Profit & Loss	1,733,766,341	1,420,233,344	870,322,920	1,174,588,541
Available For Sale Financial Assets	-	2,336,250	-	-
Held to Maturity Financial Assets	35,345,155	33,539,761	-	-
Loans & Receivables	489,584,266	650,484,061	-	-
Trade and other receivables	1,857,932,712	2,176,225,685	48,298,290	53,477,087
Amount due from related companies	7,492,333	27,762,883	35,784,397	1,595,890,923
Cash and cash equivalents	438,103,963	364,221,222	699,718	26,931,731
	<u>4,562,224,770</u>	<u>4,674,803,207</u>	<u>955,105,325</u>	<u>2,850,888,281</u>

Notes to the Financial Statements (Continued)

35 Financial instruments and risk management (Continued)

The financial assets that are past due and but not impaired and neither past due or impaired as follows:

As at 31st March 2016	Consolidated			Company		
	Neither past due or impaired	Past due and but not impaired	Total	Neither past due or impaired	Past due and but not impaired	Total
Fair Value Through Profit & Loss	-	1,828,176,466	1,828,176,466	-	955,007,512	955,007,512
- Change in fair value of investments	-	(94,410,126)	(94,410,126)	-	(84,684,592)	(84,684,592)
	-	1,733,766,340	1,733,766,340	-	870,322,920	870,322,920
Investments in other financial assets	-	524,929,421	524,929,421	-	-	-
Trade and other receivables	-	2,273,199,829	2,273,199,829	-	63,298,290	63,298,290
- Impairment of trade receivables	-	(415,267,117)	(415,267,117)	-	(15,000,000)	(15,000,000)
	-	1,857,932,712	1,857,932,712	-	48,298,290	48,298,290
Amount due from related companies	-	7,492,333	7,492,333	-	35,784,397	35,784,397
Cash and cash equivalents	438,103,963	-	438,103,963	699,718	-	699,718
	438,103,963	4,124,120,806	4,562,224,769	699,718	954,405,607	955,105,325
As at 31st March 2015	Consolidated			Company		
	Neither past due or impaired	Past due and but not impaired	Total	Neither past due or impaired	Past due and but not impaired	Total
Fair Value Through Profit & Loss	-	1,342,517,213	1,342,517,213	-	1,176,188,446	1,176,188,446
- Change in fair value of investments	-	77,716,131	77,716,131	-	(1,599,905)	(1,599,905)
	-	1,420,233,344	1,420,233,344	-	1,174,588,541	1,174,588,541
Investments in other financial assets	-	686,360,072	686,360,072	-	-	-
Trade and other receivables	-	2,740,296,497	2,740,296,497	-	234,595,756	234,595,756
- Impairment of trade receivables	-	(564,070,812)	(564,070,812)	-	(181,118,669)	(181,118,669)
	-	2,176,225,685	2,176,225,685	-	53,477,087	53,477,087
Amount due from related companies	-	27,762,883	27,762,883	-	1,595,890,922	1,595,890,922
Cash and cash equivalents	364,221,222	-	364,221,222	26,931,731	-	26,931,731
	364,221,222	4,310,581,985	4,674,803,207	26,931,731	2,823,956,550	2,850,888,281

(ii) Liquidity risk

Liquidity risk is the risk that cash may not be available to pay obligations when due. The Group manages its liquidity needs by carefully monitoring scheduled payments for financial liabilities as well as cash-outflows due in day-to-day business.

The following are the contractual maturities of non-derivative financial liabilities:

As at 31st March 2016	Consolidated				Company			
	Carrying Amounts	Contractual cash out flows	On demand	Less than 3 months	Carrying Amounts	Contractual cash out flows	On demand	Less than 3 months
Non-derivative financial liabilities								
Amount due to related companies	118,234,016	(118,234,016)	(118,234,016)	-	1,022,116,146	(1,022,116,146)	(1,022,116,146)	-
Loans and borrowings	3,477,474,797	(3,477,474,797)	(3,477,474,797)	-	1,158,893,733	(1,158,893,733)	(1,158,893,733)	-
Other payables	1,746,067,065	(1,746,067,065)	(1,746,067,065)	-	13,444,216	(13,444,216)	(13,444,216)	-
Bank Overdraft	2,677,979,088	(2,677,979,088)	-	(2,677,979,088)	1,536,767,614	(1,536,767,614)	-	(1,536,767,614)
	8,019,754,966	(8,019,754,966)	(5,341,775,878)	(2,677,979,088)	3,731,221,709	(3,731,221,709)	(2,194,454,095)	(1,536,767,614)
As at 31st March 2015	Consolidated				Company			
	Carrying Amounts	Contractual cash out flows	On demand	Less than 3 months	Carrying Amounts	Contractual cash out flows	On demand	Less than 3 months
Non-derivative financial liabilities								
Amount due to related companies	148,429,570	(148,429,570)	(148,429,570)	-	1,129,981,386	(1,129,981,386)	(1,129,981,386)	-
Loans and borrowings	4,001,546,873	(4,001,546,873)	(4,001,546,873)	-	1,261,103,518	(1,261,103,518)	(1,261,103,518)	-
Other payables	1,895,758,851	(1,895,758,851)	(1,895,758,851)	-	1,714,664	(1,714,664)	(1,714,664)	-
Bank Overdraft	1,554,691,229	(1,554,691,229)	-	(1,554,691,229)	1,357,851,956	(1,357,851,956)	-	(1,357,851,956)
	7,600,426,523	(7,600,426,523)	(6,045,735,294)	(1,554,691,229)	3,750,651,524	(3,750,651,524)	(2,392,799,568)	(1,357,851,956)

Notes to the Financial Statements (Continued)

35 Financial instruments and risk management (Continued)

(iii) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates and interest rates will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return.

Currency risk

Currency risk is the risk that the value of financial instruments will fluctuate due to changes on foreign exchange rates. All purchases and related payments due to suppliers are termed In Sri Lankan ("RS"), US Dollar (USD) and Euro ("EUR"). RS is pegged against USD and hence, the Group's exposure to currency risk in terms of USD is minimal.

Interest rate risk

Interest rate risk is the risk to earnings or capital arising from movement of interest rates. The Group has negotiated overdrafts at a fixed interest rate basis, hence not subject to the interest rate risk.

Capital management

The capital management strategy adopted by the Group is aimed at maintaining sufficient and adequate levels of working capital for day to day operations and long term capital for investment and growth. A suitability structured capital base is essential in order to maintain investor confidence in the Group, and ensures that it achieves sustained long term growth while maintaining the capability to withstand fluctuating economic fortunes. The capital of the Group consists of equity and debt. The components of the equity capital are the stated capital, retained earnings and reserves while the debt capital consist of short term debt sources.

36 Reclassification and Restatement of Comparative Information

Previous year's Statement of Comprehensive Income has been represented and restated to reflect the

- discontinued operations of a major component of "Footwear Segment" and "leisure Management"
- early application of accounting standards in Associate as more further described in Note 17"

The table below summarizes the effect;

	As previously reported	Representation of discontinued operations	Restatement from Associate	As currently reported
Revenue	9,897,810,636	(164,703,787)	-	9,733,106,849
Direct Cost	(8,022,789,194)	224,145,422	-	(7,798,643,772)
Other Income	144,166,777	(371,656)	-	143,795,121
Selling & Distribution Expenses	(391,689,364)	3,905,645	-	(387,783,719)
Administrative Expenses	(1,006,331,734)	71,223,673	-	(935,108,061)
Impairment of Trade and Other Receivables	(7,286,004)	-	-	(7,286,004)
Change in Fair Value of Financial Assets Held for Trading	77,716,131	-	-	77,716,131
Impairment of Property Plant and Equipment & Investment Property	(91,597,394)	-	-	(91,597,394)
Changes in Fair Value of Investment Property	41,908,364	-	-	41,908,364
Finance Cost	(461,484,387)	1,958,879	-	(459,525,508)
Share of Profit/(Loss) of Equity Accounted Investee (Net of Tax)	(38,700,134)	-	38,700,134	-
Profit/(Loss) Before Income Tax	141,723,697	136,158,177	38,700,134	316,582,008
Income Tax Expense	(72,553,110)	5,247,456	-	(67,305,654)
Profit/(Loss) for the Year from Continuing Operations	69,170,587	141,405,633	38,700,134	249,276,354
Discontinued Operations				
Profit/(Loss) after tax for the year from discontinued operations	(56,646,600)	(141,405,632)	-	(198,052,232)
Profit/(Loss) for the year	12,523,987	-	38,700,134	51,224,122

Five Year Summary of Profit or Loss and Other Comprehensive Income

For the year ended 31st March,	2016 Rs.000	2015 Restated Rs.000	2014 Restated Rs.000	2013 Rs.000	2012 Rs.000
Revenue	9,506,231	9,733,107	711,658	563,101	624,194
Direct Cost	(7,904,990)	(7,798,644)	(196,022)	(86,795)	(47,539)
Investment and Other Income	228,497	143,795	40,646	274,023	142,117
Finance Cost	(472,333)	(459,526)	(406,460)	(662,408)	(360,671)
Profit/(Loss) Before Income Tax	(1,852,603)	268,901	(244,340)	387,924	362,340
Income Tax Expense	(22,284)	(67,306)	(38,685)	(9,775)	(33,931)
Profit/(Loss) for the Year from Continuing Operations	(1,874,887)	201,596	(283,026)	378,149	328,408
Profit/(Loss) after tax for the year from discontinued operations	(145,692)	(198,052)	-	-	-
Profit/(Loss) for the year	(2,020,579)	3,544	(283,026)	378,149	328,408

Five Year Summary of Financial Position

For the year ended 31st March,	2016	2015	2014	2013	2012
	Rs.000	Restated Rs.000	Restated Rs.000	Rs.000	Rs.000
ASSETS					
Non - Current Assets					
Property, Plant & Equipment	4,952,487	3,769,174	4,098,107	212,809	228,536
Leasehold Property	25,114	25,276	25,520	-	-
Intangible Assets	75,895	34,915	36,975	24,062	25,636
Biological Assets	39,702	53,178	51,419	51,387	44,005
Investment Property	1,802,670	1,500,012	1,135,967	161,727	161,727
Investments in Equity Accounted Investees	-	2,608,241	2,112,381	2,321,531	2,575,081
Other Financial Assets	35,345	590,177	149,351	-	24,772
Deferred Tax Asset	78,657	26,153	19,100	3,160	3,246
Deposit with Colombo Stock Exchange	2,750	2,750	2,750	2,750	2,750
	7,012,621	8,609,875	7,631,570	2,777,426	3,065,753
Current Assets					
Inventories	2,418,686	2,272,837	2,147,318	-	-
Other Financial Assets	2,223,351	1,516,417	797,217	763,491	299,678
Trade & Other Receivables	1,857,933	2,176,226	3,243,764	2,243,589	2,995,452
Amounts Due from Related Parties	7,492	27,763	31,014	24,258	207,088
Income Tax Recoverable	30,031	19,076	30,911	7,894	4,576
Cash & Cash Equivalents	438,104	364,221	926,660	9,056	210,428
Assets classified as Held for Sale	-	44,618	-	-	-
	6,975,597	6,421,157	7,176,882	3,048,289	3,717,222
Total Assets	13,988,218	15,031,032	14,808,452	5,825,714	6,782,975
LIABILITIES AND EQUITY					
Equity					
Stated Capital	1,053,643	1,053,643	1,053,643	209,414	209,414
Retained Earnings	2,218,277	3,683,431	2,276,462	2,704,872	2,320,481
Available For Sale Reserve	-	33,175	-	-	-
Foreign Currency Translation Reserve	(6,023)	-	-	-	-
Revaluation Reserves	407,065	-	-	-	-
Other Capital Reserves	-	192,364	-	-	-
Equity Attributable to Equity Holders of the Company	3,672,962	4,962,614	3,330,105	2,914,286	2,529,895
Non Controlling Interests	1,730,158	1,834,860	4,651,618	1,688	4,287
Total Equity	5,403,120	6,797,474	7,981,724	2,915,974	2,534,182
Non Current Liabilities					
Interest Bearing Loans & Borrowings	583,396	516,176	577,979	-	-
Retirement Benefit Obligations	267,158	236,741	232,764	7,023	6,205
Deferred Tax Liability	250,823	274,205	279,835	-	-
Deferred Income	811	1,234	1,657	-	-
	1,102,187	1,028,356	1,092,234	7,023	6,205
Current Liabilities					
Trade and Other Payables	1,746,067	1,895,759	1,449,259	200,372	467,441
Amount Due to Related Companies	118,234	148,430	374,848	492,052	950,341
Income Tax Payable	46,551	82,682	74,274	2,238	15,023
Interest Bearing Loans & Borrowings	5,572,058	5,040,062	3,836,114	2,208,056	2,809,783
Liabilities Directly Associated with Assets Classified as Held For Sale	-	38,270	-	-	-
	7,482,910	7,205,202	5,734,494	2,902,718	4,242,588
Total Equity and Liabilities	13,988,218	15,031,032	14,808,452	5,825,714	6,782,975

Investor Information

STOCK EXCHANGE LISTING - The issued Ordinary Shares of Taprobane Holdings PLC are listed with the Colombo Stock Exchange.

ORDINARY SHAREHOLDERS - Share Structure as at 31 March 2016 - Holdings

(Number)	No. of Holders	Total Holding	% Holding
1 to 1,000 Shares	348	73,329	0.01
1,001 to 10,000 Shares	140	608,866	0.06
10,001 to 100,000 Shares	61	2,575,775	0.26
100,001 to 1,000,000 Shares	25	6,181,677	0.62
1,000,001 to 10,000,000 Shares	-	-	-
Over 10,000,001 Shares	4	993,285,168	99.05
	578	1,002,724,815	100.00

Categories of Shareholders

Local Individuals	538	8,581,313	0.86
Local Institutions	34	993,877,141	99.11
Foreign Individuals	6	266,361	0.03
Foreign Institutions	-	-	-
	578	1,002,724,815	100.00

The Twenty Largest Shareholders of the Company as at 31 March 2016 Were;

	No. of Shares	%
1 CHC Investment (Pvt) Ltd	568,327,024	56.68
2 Seylan Bank PLC/ARRC Capital (Pvt) Ltd	355,526,332	35.46
3 Commercial Bank Ceylon PLC/ARRC Capital (Pvt) Ltd	51,190,106	5.11
4 Seylan Bank Limited/Ruwan Prasanna Sugathadasa	18,241,706	1.82
5 Mr. Sarinda Wasanth Unamboowe	915,700	0.09
6 Mr. Ranil Prasad Pathirana	500,000	0.05
7 Mrs. Shirani Sunila Silva	430,000	0.04
8 Mr. Vemindra Kumara Sangakkara	383,640	0.04
9 Mr. Kandamarachchige Senaka Ravindranath Nissanka	351,855	0.04
10 Mrs. Watuthanthrige Buddhika Sudharshani De Alwis	300,000	0.03
11 Mrs. Banuri Kumari Vanya Wickramasinghe	286,650	0.03
12 Mr. Kangasu Chelvadurai Vignarajah	274,547	0.03
13 Mrs. Sainambo Ummah Adamlebbe	261,904	0.03
14 Ms. Fleur Annaleen Ann Mack	261,100	0.03
15 Dr. Dushantha Harshin Herath Wariyapola	200,000	0.02
16 Mr. Kalyanapriya Jayantha Kiriella	200,000	0.02
17 Mr. Semasinghe Nawaratna Chandrasekara Wanninayaka Mudiyansele	199,600	0.02
18 Mrs. Harshani Marian Sharmalie De Silva	195,000	0.02
19 Mr. Michael De Saram	190,000	0.02
20 Mr. Indunil Upashantha Walpola	158,154	0.02
Sub Total	998,393,318	99.57
Others	4,331,497	0.43
Grand Total	1,002,724,815	100.00

Percentage of Shares held by the Public 0.79 %

No of public share holders as at 31st March 2016 568

Market Value

The Market Value of Taprobane Holdings PLC Ordinary Shares:

	2016	2015
Highest during the year	6.00	5.80
Lowest during the year	3.60	2.50
As at end of the year	4.00	3.90

Notice of Meeting

NOTICE IS HEREBY GIVEN that the Fifth Annual General Meeting of Taprobane Holdings PLC will be held at Havelock City Club House, No 324, Havelock Road, Colombo-06 on Friday, 30 September 2016 at 3.00 pm for the following purposes:

1. To receive and consider the Annual Report of the Board of Directors and the Financial Statements of the Company for the year ended 31st March 2016 and the Report of the Auditors thereon.
2. To re-elect as a Director, Mr. Ajith Lasantha Devasurendra who retires by rotation in terms of Article 87 of the Articles of Association of the Company and being eligible, offers himself for re-election as a Director.
3. To re-elect as a Director, Mr. Ranil Prasad Pathirana who was appointed subsequent to the last Annual General Meeting as a Director of the Company in terms of Article 93 of the Articles of Association of the Company.
4. To re-elect as a Director, Mr. Sarinda Wasanth Unamboowe who was appointed subsequent to the last Annual General Meeting as a Director of the Company in terms of Article 93 of the Articles of Association of the Company.
5. To re-elect as a Director, Mr. Shiran Harsha Amarasekara who was appointed subsequent to the last Annual General Meeting as a Director of the Company in terms of Article 93 of the Articles of Association of the Company.
6. To re-elect as a Director Mr. Sanjeev Edward Gardiner who was appointed subsequent to the last Annual General Meeting as a Director of the Company in terms of Article 93 of the Articles of Association of the Company.
7. To re-elect, Mr. Parakrama Devasiri Rodrigo who was appointed subsequent to the last Annual General Meeting as a Director of the Company in terms of Article 93 of the Articles of Association and to propose the following resolution as an ordinary resolution for the re-appointment of Mr. Parakrama Devasiri Rodrigo who is over 70 years of age.

“IT IS HEREBY RESOLVED that the age limit referred to in section 210 of the Companies Act No.07 of 2007 shall not apply to Mr. Parakrama Devasiri Rodrigo who is over 70 years of age prior to the Annual General Meeting and that he be re-appointed as a Director of the Company”.

8. To appoint Messrs. Ernst & Young, Chartered Accountants as the Auditors of the Company to hold office from the conclusion of this meeting until the conclusion of the next Annual General Meeting and to authorize the Directors to determine their remuneration.

By Order of the Board

TAPROBANE HOLDINGS PLC

Sgd.

MANAGERS & SECRETARIES (PRIVATE) LIMITED

Director/Secretaries

26th August 2016

Colombo.

NOTE:

1. A member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote on his/her behalf. A proxy need not be a member of the Company.
2. A form of proxy is enclosed for this purpose.
3. The instrument appointing a proxy must be completed and deposited at the Registered Office of the Company, No. 10, Gothami Road, Colombo 8, not less than forty eight hours prior to the time appointed for holding the meeting.

Form of Proxy

I/We, of
being a member/s* of Taprobane Holdings PLC do hereby appoint
of.....or failing him.

Mr. S. E. Gardiner or failing him,
Mr. A. L. Devasurendra or failing him,
Mr. N. M. Prakash or failing him,
Mr. P. D. Rodrigo or failing him,
Mr. S. W. Unamboowe or failing him,
Mr. S. H. Amarasekara or failing him,
Mr. R. P. Pathirana or failing him,
Mr. P. D. J. Fernando

As my/our* Proxy to vote and speak as indicated hereunder for me/us* and on my/our* behalf at the Fifth Annual General Meeting of the Company to be held on Friday, 30 September 2016 at Havelock City Club House, No 324, Havelock Road Colombo-06 at 3.00 pm and at any adjournment thereof, and at every poll which may be taken in consequence thereof:

	For	Against
1. To receive and consider the Annual Report of the Board of Directors and the Financial Statements of the Company for the year ended 31st March 2016 and the Report of the Auditors thereon.	☐	☐
2. To re-elect as a Director, Mr. Ajith Lasantha Devasurendra who retires by rotation in terms of Article 87 of the Articles of Association of the Company and being eligible, offers himself for re-election as a Director.	☐	☐
3. To re-elect as a Director, Mr. Ranil Prasad Pathirana who was appointed subsequent to the last Annual General Meeting as a Director of the Company in terms of Article 93 of the Articles of Association of the Company.	☐	☐
4. To re-elect as a Director, Mr. Sarinda Wasanth Unamboowe who was appointed subsequent to the last Annual General Meeting as a Director of the Company in terms of Article 93 of the Articles of Association of the Company.	☐	☐
5. To re-elect as a Director, Mr. Shiran Harsha Amarasekara who was appointed subsequent to the last Annual General Meeting as a Director of the Company in terms of Article 93 of the Articles of Association of the Company.	☐	☐
6. To re-elect as a Director, Mr. Sanjeev Edward Gardiner who was appointed subsequent to the last Annual General Meeting as a Director of the Company in terms of Article 93 of the Articles of Association of the Company.	☐	☐
7. To re-elect, Mr. Parakrama Devasiri Rodrigo who was appointed subsequent to the last Annual General Meeting as a Director of the Company in terms of Article 93 of the Articles of Association and to propose the re-appointment of Mr. Parakrama Devasiri Rodrigo who is over 70 years of age.	☐	☐
8. To appoint Messrs. Ernst & Young, Chartered Accountants as the Auditors of the Company to hold office from the conclusion of this meeting until the conclusion of the next Annual General Meeting and to authorize the Directors to determine their remuneration.	☐	☐

Signed this day of Two Thousand and Sixteen

.....
Signature of Shareholder/s

Note:

- * Please delete the inappropriate words.
- Instructions as to completion are noted on the reverse hereof.

Instructions for Completion of Form of Proxy

1. Kindly perfect the Form of Proxy by filling in legibly your full name and address, signing in the space provided and filling in the date of signature.
2. In the case of a company/corporation, the proxy must be under its common seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
3. The completed Form of Proxy should be deposited at the Registered Office of the Company at No.10, Gothami Road, Colombo 8.

Corporate Information

The Company

Taprobane Holdings PLC

Legal Form

The company was incorporated in Sri Lanka on 20th September 2006 as a public limited liability company and re-registered under the Company's Act No. 07 of 2007 on 3rd August 2009. On 17th May 2012 the company was successfully listed on the Diri Savi Board of Colombo Stock Exchange.

Company Registration No

PB 1090 PQ

Registered & Business Office

No. 10, Gothami Road, Colombo 08.

Tel : +94 115 328100 | Fax : +94 115 328109

E-mail : info@taprobane.lk | Website : www.taprobane.lk

Board of Directors

Mr. Sanjeev Gardiner - Chairman

Mr. Ajith Devasurendra - Deputy Chairman

Mr. Murali Prakash - Group Managing Director/CEO

Mr. Priyantha Fernando - Director

Mr. Harsha Amarasekera - Director

Mr. Ranil Pathirana - Director

Mr. Sarinda Unamboowe - Director

Desamanya Deva Rodrigo - Director

Company Secretary

Managers & Secretaries (Pvt) Ltd.

No. 08, Tickell Road, Colombo 08.

Tel : +94 115 579900 | Fax : +94 115 579960

E-mail : ms1@msl.lk

Auditors to the Company

Messrs KPMG

Chartered Accountants

No. 32A, Sir Mohamed Macan Marker Mawatha, Colombo 03.

Bankers to the Company

National Development Bank PLC
No 40, Nawam Mawatha,
Colombo 02.

Seylan Bank PLC
No. 90, Galle Road,
Colombo 03.

Pan Asia Banking Corporation PLC
450, Galle Road,
Colombo 03.

Taprobane Holdings PLC

No. 10, Gothami Road, Colombo 08.

Tel : +94 115 328100

Fax : +94 115 328109

E-mail : info@taprobane.lk

Website : www.taprobane.lk